BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN
İSTANBUL TURKEY MAIN, ANKARA
AND İZMİR BRANCHES

INDEPENDENT AUDITOR'S REPORT,
FINANCIAL STATEMENTS AND NOTES
FOR THE YEAR ENDED
31 DECEMBER 2017
(TRANSLATED INTO ENGLISH FROM THE
ORIGINAL TURKISH REPORT)
SEE NOTE I. OF SECTION THREE

CONVENIENCE TRANSLATION INTO ENGLISH OF INDEPENDENT AUDITOR'S REPORT ORIGINALLY ISSUED IN TURKISH

INDEPENDENT AUDITOR'S REPORT

To the Board of Managers of Bank Mellat, Head Office: Tahran-Iran İstanbul Turkey Main, Ankara and İzmir Branches

A. Audit of the Unconsolidated Financial Statements

1. Opinion

We have audited the accompanying unconsolidated financial statements of Bank Mellat, Head Office: Tahran-Iran İstanbul Turkey Main, Ankara and İzmir Branches (the "Branch"), which comprise the statement of unconsolidated balance sheet as at 31 December 2017, unconsolidated income statement, unconsolidated statement of income and expense items under shareholders' equity, unconsolidated statement of changes in shareholders' equity, unconsolidated statement of cash flows for the year then ended and the notes to the unconsolidated financial statements and a summary of significant accounting policies and unconsolidated financial statement notes.

In our opinion, the unconsolidated financial statements present fairly, in all material respects, the unconsolidated financial position of the Branch as at 31 December 2017, and its unconsolidated financial performance and its unconsolidated cash flows for the year then ended in accordance with the Banking Regulation and Supervision Agency ("BRSA") Accounting and Financial Reporting Legislation which includes "Regulation on Accounting Applications for Banks and Safeguarding of Documents" published in the Official Gazette no.26333 dated 1 November 2006, and other regulations on accounting records of Banks published by Banking Regulation and Supervision Agency and circulars and interpretations published by BRSA and Turkish Accounting Standards ("TAS") for those matters not regulated by the aforementioned regulations.

2. Basis for Opinion

Our audit was conducted in accordance with the "Regulation on Independent Audit of Banks" published by the BRSA on the Official Gazette No.29314 dated 2 April 2015 and the Standards on Independent Auditing (the "SIA") that are part of Turkish Standards on Auditing issued by the Public Oversight Accounting and Auditing Standards Authority (the "POA"). Our responsibilities under these standards are further described in the "Auditor's Responsibilities for the Audit of the Unconsolidated Financial Statements" section of our report. We hereby declare that we are independent of the Branch in accordance with the Ethical Rules for Independent Auditors (the "Ethical Rules") and the ethical requirements regarding independent audit in regulations issued by POA that are relevant to our audit of the unconsolidated financial statements. We have also fulfilled our other ethical responsibilities in accordance with the Ethical Rules and regulations. We believe that the audit evidence we have obtained during the independent audit provides a sufficient and appropriate basis for our opinion.

pwc

3. Other Matter

The unconsolidated financial statements of the Branch as of 31 December 2016 were audited by another audit firm whose audit report dated 14 April 2017 expressed an unqualified opinion on those financial statements.

4. Responsibilities of Management and Those Charged with Governance for the Unconsolidated Financial Statements

The Branch management is responsible for the preparation and fair presentation of the unconsolidated financial statements in accordance with the BRSA Accounting and Financial Reporting Legislation, and for such internal control as management determines is necessary to enable the preparation of unconsolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the unconsolidated financial statements, management is responsible for assessing the Branch's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Branch or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Branch's financial reporting process.

5. Auditor's Responsibilities for the Audit of the Unconsolidated Financial Statements

Responsibilities of independent auditors in an independent audit are as follows:

Our aim is to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an independent auditor's report that includes our opinion. Reasonable assurance expressed as a result of an independent audit conducted in accordance with "Regulation on Independent Audit of Banks" published by the BRSA on the Official Gazette No.29314 dated 2 April 2015 and SIA is a high level of assurance but does not guarantee that a material misstatement will always be detected. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these unconsolidated financial statements.

As part of an independent audit conducted in accordance with "Regulation on Independent Audit of Banks" published by the BRSA on the Official Gazette No.29314 dated 2 April 2015 and SIA, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement in the unconsolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Assess the internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Branch's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Branch ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the unconsolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our independent auditor's report. However, future events or conditions may cause the Branch to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the unconsolidated financial statements, including the disclosures, and whether the unconsolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence. We also communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

pwc

B. Other Responsibilities Arising From Regulatory Requirements

1. No matter has come to our attention that is significant according to subparagraph 4 of Article 402 of Turkish Commercial Code ("TCC") No. 6102 and that causes us to believe that the Branch's bookkeeping activities concerning the period from 1 January to 31 December 2017 period are not in compliance with the TCC and provisions of the Branch's articles of association related to financial reporting.

2. In accordance with subparagraph 4 of Article 402 of the TCC, the Board of Managers submitted the necessary explanations to us and provided the documents required within the context of our audit.

Additional Paragraph for Convenience Translation

The effects of differences between accounting principles and standards explained in detail in Section Three and accounting principles generally accepted in countries in which the accompanying unconsolidated financial statements are to be distributed and International Financial Reporting Standards ("IFRS") have not been quantified in the accompanying unconsolidated financial statements. Accordingly, the accompanying unconsolidated financial statements are not intended to present the financial position, results of operations and changes in financial position and cash flows in accordance with the accounting principles generally accepted in such countries and IFRS.

PwC Bağımsız Denetim ve
Serbest Muhasebeci Mali Müşavirlik A.Ş.

Talar Gül, SMMM
Partner

Istanbul, 29 March 2018

bank mellat
TÜRKİYE

MERKEZİ TAHRAN İSTANBUL
TÜRKİYE MERKEZ ŞUBESİ
Büyükdere Caddesi Binbirçiçek Sokak No. 1
34330, 1.Levent - İSTANBUL - TÜRKİYE
Telefon : (0212) 279 80 15 (pbx)
Faks : (0212) 284 62 14 - 284 66 57
Tic. Sic. No.: 181790 - İstanbul
Swift : BKMTTRIS
E-mail : mellat@mellatbank.com
Web : www.mellatbank.com
Mersis No. : 0140003254400014

THE UNCONSOLIDATED FINANCIAL REPORT OF BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN, ANKARA AND İZMİR BRANCHES AS OF 31 DECEMBER 2017

Headquarter's Address	: No: 276, Taleghani Ave, Tahran – İran
Turkey Main Branch Address	: Büyükdere Cd. Binbirçiçek Sk. No:1 34330 1.Levent-İstanbul/Türkiye
Telephone	: (0212) 279 80 15
Fax	: (0212) 284 62 14
Website	: www.mellatbank.com
E-mail address	: mellat@mellatbank.com

The year end unconsolidated financial report designed by the Banking Regulation and Supervision Agency in line with Communiqué on Financial Statements to be Publicly Announced and the Related Policies and Disclosures consists of the sections listed below:

- GENERAL INFORMATION ABOUT THE BRANCH AND HEAD OF BRANCH
- UNCONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH
- EXPLANATIONS ON THE CORRESPONDING ACCOUNTING POLICIES APPLIED IN THE RELATED PERIOD
- INFORMATION ON FINANCIAL STRUCTURE OF THE BRANCH
- EXPLANATORY DISCLOSURES AND FOOTNOTES ON UNCONSOLIDATED FINANCIAL STATEMENTS
- OTHER EXPLANATIONS
- INDEPENDENT AUDITOR'S REPORT

The unconsolidated financial statements and the explanatory footnotes and disclosures, unless otherwise indicated, are prepared in **thousands of Turkish Lira**, in accordance with the Communique on Banks' Accounting Practice and Maintaining Documents, Turkish Accounting Standards, Turkish Financial Reporting Standards, related communiqués and the Banks' records, have been independently audited and presented as attached.

Aziz Akhondi Asl	Mohammadhossein Abbasi	Ahmad Jamehdor	Erol Asma
Chairman of the Board of Managers	Member of the Board of Managers and General Manager	Member of the Board of Managers and Asst. General Manager	Member of the Board of Managers and Internal Systems Executive

Information related to responsible personnel for the questions can be raised about financial statements:

Name-Surname / Title	: Yener Bozkurt / Accounting Department Chief
Phone No	: (0212) 279 80 15
Fax No	: (0212) 284 62 14

SECTION ONE
General Information

SECTION TWO
Unconsolidated Financial Statements

SECTION THREE
Explanations On Accounting Policies

SECTION FOUR

Information Related To Financial Structure And Risk Management Of The Branch

SECTION FIVE

Explanatory Disclosures And Footnotes On Unconsolidated Financial Statements

SECTION SIX

Other Explanations

SECTION SEVEN

Explanations On Independent Auditor's Report

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION ONE

GENERAL INFORMATION

I. HISTORY OF THE BRANCH, INCLUDING ITS ESTABLISHMENT DATE, INITIAL LEGAL STATUS AND AMENDMENTS TO LEGAL STATUS, IF ANY:

Bank Mellat, Head Office: Tahran-İran İstanbul Türkiye Main, Ankara and İzmir Branches ("the Branch"), which is based in Tahran, Iran, established its branches in Istanbul, Ankara and Izmir on 18 August 1981, 23 February 1984 and 16 January 1992, respectively. The branches are registered under the scope of Foreign Capital Encouragement Law No. 6224, which permits the transfer of distributable profits to the Headquarter. The branches started operations after getting the approval from the Treasury Undersecretariat in April 1982, May 1985 and October 1992, respectively.

II. EXPLANATION ABOUT THE BRANCH'S SHAREHOLDING STRUCTURE, SHAREHOLDERS WHO INDIVIDUALLY OR JOINTLY HAVE POWER TO CONTROL THE MANAGEMENT AND AUDIT DIRECTLY OR INDIRECTLY, CHANGES REGARDING THESE SUBJECTS DURING THE YEAR, IF ANY, AND INFORMATION ABOUT THE CONTROLLING GROUP OF THE BRANCH:

The shareholding structure of the main shareholder of the Branch – Bank Mellat Tahran, Iran, is as follows:

Shareholders	31 December 2017 (**)Share Percentage (%)	31 December 2016 (*)Share Percentage (%)
Justice share recipients (provincial investors)	30,00	30,00
Islamic Republic of Iran	17,00	17,00
Saba Tamin Investment Co.	4,22	8,71
Bank Mellat's Staff Future Security Fund	6,45	6,45
Social Security Organisation of Iran	3,81	3,81
Mellat Financial Group Co.	3,77	3,40
Other Shares Quoted on Stock Exchange	34,75	30,63
Total	**100,00**	**100,00**

(*) Shareholding structure as of 31 December 2016, announced by the Bank Mellat General Directorate of Financial Affairs, Stock Exchange and Shareholders of Iran.

(**) Shareholding structure as of 31 December 2017, announced by the Bank Mellat General Directorate of Financial Affairs, Stock Exchange and Shareholders of Iran.

III. EXPLANATION ABOUT THE BRANCH'S CHAIRMAN AND MEMBERS OF THE BOARD OF MANAGERS, MEMBERS OF THE AUDIT COMMITTEE, PRESIDENT AND EXECUTIVE VICE PRESIDENTS, ANY CHANGES, AND THE INFORMATION ABOUT THE BRANCH SHARES THEY HOLD:

Title	Name	Responsibility	Education
Chairman of the Board of Managers:	Aziz Akhondi Asl	Chairman	Under Graduate
Member of the Board of Managers:	Mohammadhossein Abbasi	General Manager	Under Graduate
	Ahmad Jamehdor	Member	Under Graduate
	Erol Asma	Member Responsible For Internal Systems	Under Graduate
Assistant General Manager / Vice General Managers:	Ahmad Jamehdor	Financial Controlling, Treasury, Accounting, Human Resources, Information Systems, Administrative and Operations Assistant Responsible General Manager	Under Graduate
	Nader Motedaien	Current Accounts Responsible Assistant General Manager	Under Graduate
	Mostafa Sharafi	Loans and Foreign Operations Responsible General Manager	Under Graduate

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

GENERAL INFORMATION (Continued)

IV. INFORMATION ON SHAREHOLDERS HAVING QUALIFIED SHARES:

Explanations of shareholders and entities that have share in the capital of Bank Mellat Tahran Iran, which has all of the capital of the company;

	31 December 2017			
Name/Commercial Title	**Share amounts**	**Share percentage**	**Paid-in capital**	**Unpaid portion**
Justice share recipients (provincial investors)	60.000	%30,00	60.000	-
Islamic Republic of Iran	34.000	%17,00	34.000	-
	31 December 2016			
Name/Commercial Title	**Share amounts**	**Share percentage**	**Paid-in capital**	**Unpaid portion**
Justice share recipients (provincial investors)	60.000	%30,00	60.000	-
Islamic Republic of Iran	34.000	%17,00	34.000	-

V. BRIEF INFORMATION ON THE BRANCH'S SERVICES AND AREAS OF OPERATION:

The Branch operates in banking services and its core business activity is financing the commercial activities between The Republic of Turkey and Islamic Republic of Iran.

As of 31 December 2017, the Branch has 50 employees (31 December 2016: 50 employees).

VI. DIFFERENCES BETWEEN THE COMMUNIQUE ON PREPARATION OF FINANCIAL STATEMENTS OF BANKS AND TURKISH ACCOUNTING STANDARDS AND SHORT EXPLANATION ABOUT THE ENTITIES SUBJECT TO FULL CONSOLIDATION OR PROPORTIONAL CONSOLIDATION AND ENTITIES WHICH ARE DEDUCTED FROM EQUITY OR ENTITIES WHICH ARE NOT INCLUDED IN THESE THREE METHODS:

The Branch does not have investments in subsidiaries and associates subject to consolidation.

VII. CURRENT OR LIKELY, ACTUAL OR LEGAL BARRIERS TO IMMEDIATE TRANSFER OF EQUITY OR REPAYMENT OF DEBTS BETWEEN BRANCH AND ITS SUBSIDIARIES:

None.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION TWO

UNCONSOLIDATED FINANCIAL STATEMENTS

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)

	ASSETS	Note	CURRENT PERIOD 31 December 2017			PRIOR PERIOD 31 December 2016		
			TL	FC	Total	TL	FC	Total
I.	**CASH AND BALANCES WITH CENTRAL BANK**	**(I-a)**	**23.042**	**110.366**	**133.408**	**22.233**	**52.679**	**74.912**
II.	**FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS (Net)**	**(I-b)**	-	-	-	-	-	-
2.1	Trading Financial Assets		-	-	-	-	-	-
2.1.1	Public Debt Securities		-	-	-	-	-	-
2.1.2	Share Certificates		-	-	-	-	-	-
2.1.3	Trading Derivative Financial Assets		-	-	-	-	-	-
2.1.4	Other Marketable Securities		-	-	-	-	-	-
2.2	Financial Assets Designated at Fair Value through Profit or Loss		-	-	-	-	-	-
2.2.1	Public Debt Securities		-	-	-	-	-	-
2.2.2	Share Certificates		-	-	-	-	-	-
2.2.3	Loans		-	-	-	-	-	-
2.2.4	Other Marketable Securities		-	-	-	-	-	-
III.	**BANKS**	**(I-c)**	**97.167**	**386.348**	**483.515**	**47.961**	**152.774**	**200.735**
IV.	**MONEY MARKETS**		-	-	-	-	-	-
4.1	Interbank Money Market Placements		-	-	-	-	-	-
4.2	Receivables from Istanbul Stock Exchange Money Market		-	-	-	-	-	-
4.3	Receivables from Reverse Repurchase Agreements		-	-	-	-	-	-
V.	**AVAILABLE-FOR-SALE FINANCIAL ASSETS (Net)**	**(I-d)**	**376.764**	-	**376.764**	**232.561**	-	**232.561**
5.1	Share Certificates		755	-	755	654	-	654
5.2	Public Debt Securities		100.228	-	100.228	60.904	-	60.904
5.3	Other Marketable Securities		275.781	-	275.781	171.003	-	171.003
VI.	**LOANS AND RECEIVABLES**	**(I-e)**	**6.466**	**1.486**	**7.952**	**6.838**	**1.126**	**7.964**
6.1	Loans and Receivables		1.333	1.486	2.819	2.668	1.126	3.794
6.1.1	Bank's Risk Group		182	1.486	1.668	74	-	74
6.1.2	Public Debt Securities		-	-	-	-	-	-
6.1.3	Other		1.151	-	1.151	2.594	1.126	3.720
6.2	Non-Performing Loans		8.305	-	8.305	6.957	-	6.957
6.3	Specific Provisions (-)		(3.172)	-	(3.172)	(2.787)	-	(2.787)
VII.	**FACTORING RECEIVABLES**		-	-	-	-	-	-
VIII.	**HELD-TO-MATURITY SECURITIES (Net)**	**(I-g)**	-	-	-	-	-	-
8.1	Public Debt Securities		-	-	-	-	-	-
8.2	Other Marketable Securities		-	-	-	-	-	-
IX.	**INVESTMENTS IN ASSOCIATES (Net)**	**(I-h)**	-	-	-	-	-	-
9.1	Consolidated Based on Equity Method		-	-	-	-	-	-
9.2	Unconsolidated		-	-	-	-	-	-
9.2.1	Financial Investments in Associates		-	-	-	-	-	-
9.2.2	Non-Financial Investments in Associates		-	-	-	-	-	-
X.	**SUBSIDIARIES (Net)**	**(I-i)**	-	-	-	-	-	-
10.1	Unconsolidated Financial Subsidiaries		-	-	-	-	-	-
10.2	Unconsolidated Non-financial Subsidiaries		-	-	-	-	-	-
XI.	**ENTITIES UNDER COMMON CONTROL (JOINT VENT.) (Net)**	**(I-j)**	-	-	-	-	-	-
11.1	Consolidated Based on Equity Method		-	-	-	-	-	-
11.2	Unconsolidated		-	-	-	-	-	-
11.2.1	Financial Joint Ventures		-	-	-	-	-	-
11.2.2	Non-Financial Joint Ventures		-	-	-	-	-	-
XII.	**FINANCIAL LEASE RECEIVABLES (Net)**	**(I-k)**	-	-	-	-	-	-
12.1	Financial Lease Receivables		-	-	-	-	-	-
12.2	Operating Lease Receivables		-	-	-	-	-	-
12.3	Other		-	-	-	-	-	-
12.4	Unearned Income (-)		-	-	-	-	-	-
XIII.	**HEDGING DERIVATIVE FINANCIAL ASSETS**	**(I-l)**	-	-	-	-	-	-
13.1	Fair Value Hedge		-	-	-	-	-	-
13.2	Cash Flow Hedge		-	-	-	-	-	-
13.3	Foreign Net Investment Hedge		-	-	-	-	-	-
XIV.	**TANGIBLE ASSETS (Net)**	**(I-m)**	**8.930**	-	**8.930**	**8.226**	-	**8.226**
XV.	**INTANGIBLE ASSETS (Net)**	**(I-n)**	**452**	-	**452**	**388**	-	**388**
15.1	Goodwill		-	-	-	-	-	-
15.2	Other		452	-	452	388	-	388
XVI.	**INVESTMENT PROPERTY (Net)**	**(I-o)**	-	-	-	-	-	-
XVII.	**TAX ASSET**	**(I-p)**	**662**	-	**662**	**698**	-	**698**
17.1	Current Tax Asset		-	-	-	-	-	-
17.2	Deferred Tax Asset		662	-	662	698	-	698
XVIII.	**ASSETS HELD FOR RESALE AND RELATED TO DISCONTINUED OPERATIONS (Net)**	**(I-r)**	-	-	-	-	-	-
18.1	Held for Sale Purposes		-	-	-	-	-	-
18.2	Related to Discontinued Operations		-	-	-	-	-	-
XIX.	**OTHER ASSETS**	**(I-s)**	**654**	**301**	**955**	**527**	**121**	**648**
	TOTAL ASSETS		**514.137**	**498.501**	**1.012.638**	**319.432**	**206.700**	**526.132**

The accompanying explanations and notes form an integral part of these financial statements.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION) (Devamı)

	LIABILITIES	Note	CURRENT PERIOD 31 December 2017			PRIOR PERIOD 31 December 2016		
			TL	FC	Total	TL	FC	Total
I.	**DEPOSITS**	**(II-a)**	**252.014**	**456.231**	**708.245**	**99.964**	**175.627**	**275.591**
1.1	Deposits of Bank's Risk Group		239.568	175.927	415.495	56.340	52.561	108.901
1.2	Other		12.446	280.304	292.750	43.624	123.066	166.690
II.	**TRADING DERIVATIVE FINANCIAL LIABILITIES**	**(II-b)**	-	-	-	-	-	-
III.	**FUNDS BORROWED**	**(II-c)**	-	-	-	-	-	-
IV.	**MONEY MARKETS**		-	-	-	-	-	-
4.1	Funds from Interbank Money Market		-	-	-	-	-	-
4.2	Funds from Istanbul Stock Exchange Money Market		-	-	-	-	-	-
4.3	Funds Provided Under Repurchase Agreements		-	-	-	-	-	-
V.	**MARKETABLE SECURITIES ISSUED (Net)**		-	-	-	-	-	-
5.1	Bills		-	-	-	-	-	-
5.2	Asset Backed Securities		-	-	-	-	-	-
5.3	Bonds		-	-	-	-	-	-
VI.	**FUNDS**		-	-	-	-	-	-
6.1	Borrower Funds		-	-	-	-	-	-
6.2	Other		-	-	-	-	-	-
VII.	**SUNDRY CREDITORS**		**547**	**103**	**650**	**1.245**	**464**	**1.709**
VIII.	**OTHER LIABILITIES**	**(II-d)**	**2.204**	**313**	**2.517**	**1.316**	**187**	**1.503**
IX.	**FACTORING PAYABLES**		-	-	-	-	-	-
X.	**FINANCIAL LEASE PAYABLES (Net)**	**(II-e)**	-	-	-	-	-	-
10.1	Financial Lease Payables		-	-	-	-	-	-
10.2	Operational Lease Payables		-	-	-	-	-	-
10.3	Other		-	-	-	-	-	-
10.4	Deferred Financial Lease Expenses (-)		-	-	-	-	-	-
XI.	**HEDGING DERIVATIVE FINANCIAL LIABILITIES**	**(II-f)**	-	-	-	-	-	-
11.1	Fair Value Hedge		-	-	-	-	-	-
11.2	Cash Flow Hedge		-	-	-	-	-	-
11.3	Foreign Net Investment Hedge		-	-	-	-	-	-
XII.	**PROVISIONS**	**(II-g)**	**3.461**	**1.391**	**4.852**	**3.623**	**126**	**3.749**
12.1	General Loan Loss Provision		868	1.291	2.159	1.765	32	1.797
12.2	Restructuring Provisions		-	-	-	-	-	-
12.3	Reserve for Employee Rights		2.537	-	2.537	1.734	-	1.734
12.4	Insurance Technical Provisions (Net)		-	-	-	-	-	-
12.5	Other Provisions		56	100	156	124	94	218
XIII.	**TAX LIABILITY**	**(II-h)**	**3.999**	-	**3.999**	**3.608**	-	**3.608**
13.1	Current Tax Liability		3.999	-	3.999	3.608	-	3.608
13.2	Deferred Tax Liability		-	-	-	-	-	-
XIV.	**PAYABLES RELATED TO ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS (Net)**	**(II-i)**	-	-	-	-	-	-
14.1	Held for Sale		-	-	-	-	-	-
14.2	Discontinued Operations		-	-	-	-	-	-
XV.	**SUBORDINATED LOANS**	**(II-j)**	-	-	-	-	-	-
XVI.	**SHAREHOLDERS' EQUITY**	**(II-k)**	**292.375**	-	**292.375**	**239.972**	-	**239.972**
16.1	Paid-in capital		200.000	-	200.000	200.000	-	200.000
16.2	Capital Reserves		(908)	-	(908)	(422)	-	(422)
16.2.1	Share Premium		-	-	-	-	-	-
16.2.2	Share Cancellation Profits		-	-	-	-	-	-
16.2.3	Marketable Securities Valuation Differences	**(II-l)**	(602)	-	(602)	(169)	-	(169)
16.2.4	Tangible Assets Revaluation Differences		-	-	-	-	-	-
16.2.5	Intangible Assets Revaluation Differences		-	-	-	-	-	-
16.2.6	Revaluation differences of investment property		-	-	-	-	-	-
16.2.7	Bonus Shares from Investments in Associates, Subsidiaries and Joint Ventures (Business Partners)		-	-	-	-	-	-
16.2.8	Hedging Funds (Effective Portion)		-	-	-	-	-	-
16.2.9	Accumulated valuation differences from assets held for sale and from discontinued operations		-	-	-	-	-	-
16.2.10	Other Capital Reserves		(306)	-	(306)	(253)	-	(253)
16.3	Profit Reserves		698	-	698	724	-	724
16.3.1	Legal Reserves		-	-	-	-	-	-
16.3.2	Status Reserves		-	-	-	-	-	-
16.3.3	Extraordinary Reserves		698	-	698	724	-	724
16.3.4	Other Profit Reserves		-	-	-	-	-	-
16.4	Profit or (Loss)		92.585	-	92.585	39.670	-	39.670
16.4.1	Prior Years' Income or (Loss)		39.696	-	39.696	11.302	-	11.302
16.4.2	Current Year Income or (Loss)		52.889	-	52.889	28.368	-	28.368
	TOTAL LIABILITIES		**554.600**	**458.038**	**1.012.638**	**349.728**	**176.404**	**526.132**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

II. STATEMENT OF OFF-BALANCE SHEET

	OFF-BALANCE SHEET COMMITMENTS	Note	CURRENT PERIOD 31 December 2017			PRIOR PERIOD 31 December 2016		
			TL	FC	Total	TL	FC	Total
A.	**OFF-BALANCE SHEET COMMITMENTS (I+II+III)**		**5.809**	**3.201**	**9.010**	**4.445**	**883**	**5.328**
I.	**GUARANTEES AND WARRANTIES**	**(III-a-2, 3)**	**5.722**	**3.201**	**8.923**	**4.365**	**883**	**5.248**
1.1.	Letters of Guarantee		5.722	266	5.988	4.365	508	4.873
1.1.1	Guarantees Subject to State Tender Law		-	-	-	-	-	-
1.1.2	Guarantees Given for Foreign Trade Operations		-	-	-	-	-	-
1.1.3	Other Letters of Guarantee		5.722	266	5.988	4.365	508	4.873
1.2.	Bank Acceptances		-	-	-	-	-	-
1.2.1	Import Letter of Acceptance		-	-	-	-	-	-
1.2.2	Other Bank Acceptances		-	-	-	-	-	-
1.3.	Letters of Credit		-	2.935	2.935	-	375	375
1.3.1	Documentary Letters of Credit		-	2.935	2.935	-	375	375
1.3.2	Other Letters of Credit		-	-	-	-	-	-
1.4	Prefinancing Given as Guarantee		-	-	-	-	-	-
1.5.	Endorsements		-	-	-	-	-	-
1.5.1	Endorsements to the Central Bank of the Republic of Turkey		-	-	-	-	-	-
1.5.2	Other Endorsements		-	-	-	-	-	-
1.6	Securities Issue Purchase Guarantees		-	-	-	-	-	-
1.7	Factoring Guarantees		-	-	-	-	-	-
1.8	Other Guarantees		-	-	-	-	-	-
1.9	Other Collaterals		-	-	-	-	-	-
II.	**COMMITMENTS**	**(III-a-1)**	**87**	**-**	**87**	**80**	**-**	**80**
2.1.	Irrevocable Commitments		87	-	87	80	-	80
2.1.1	Forward Asset Purchase Commitments		-	-	-	-	-	-
2.1.2	Forward Deposit Purchase and Sales Commitments		-	-	-	-	-	-
2.1.3	Share Capital Commitments to Associates and Subsidiaries		-	-	-	-	-	-
2.1.4	Loan Granting Commitments		-	-	-	-	-	-
2.1.5	Securities Underwriting Commitments		-	-	-	-	-	-
2.1.6	Commitments for Reserve Deposit Requirements		-	-	-	-	-	-
2.1.7	Commitments for Cheques		87	-	87	80	-	80
2.1.8	Tax and Fund Liabilities from Export Commitments		-	-	-	-	-	-
2.1.9	Commitments for Credit Card Limits		-	-	-	-	-	-
2.1.10	Commitments for Credit Cards and Banking Services Promotions		-	-	-	-	-	-
2.1.11	Receivables from Short Sale Commitments of Marketable Securities		-	-	-	-	-	-
2.1.12	Payables for Short Sale Commitments of Marketable Securities		-	-	-	-	-	-
2.1.13	Other Irrevocable Commitments		-	-	-	-	-	-
2.2.	Revocable Commitments		-	-	-	-	-	-
2.2.1	Revocable Loan Granting Commitments		-	-	-	-	-	-
2.2.2	Other Revocable Commitments		-	-	-	-	-	-
III.	**DERIVATIVE FINANCIAL INSTRUMENTS**	**(III-b)**	-	-	-	-	-	-
3.1.	Hedging Derivative Financial Instruments		-	-	-	-	-	-
3.1.1	Transactions for Fair Value Hedge		-	-	-	-	-	-
3.1.2	Transactions for Cash Flow Hedge		-	-	-	-	-	-
3.1.3	Transactions for Foreign Net Investment Hedge		-	-	-	-	-	-
3.2.	Trading Transactions		-	-	-	-	-	-
3.2.1.	Forward Foreign Currency Buy/Sell Transactions		-	-	-	-	-	-
3.2.1.1	Forward Foreign Currency Transactions-Buy		-	-	-	-	-	-
3.2.1.2	Forward Foreign Currency Transactions-Sell		-	-	-	-	-	-
3.2.2.	Swap Transactions Related to Foreign Currency and Interest Rates		-	-	-	-	-	-
3.2.2.1	Foreign Currency Swap-Buy		-	-	-	-	-	-
3.2.2.2	Foreign Currency Swap-Sell		-	-	-	-	-	-
3.2.2.3	Interest Rate Swap-Buy		-	-	-	-	-	-
3.2.2.4	Interest Rate Swap-Sell		-	-	-	-	-	-
3.2.3.	Foreign Currency, Interest Rate and Securities Options		-	-	-	-	-	-
3.2.3.1	Foreign Currency Options-Buy		-	-	-	-	-	-
3.2.3.2	Foreign Currency Options-Sell		-	-	-	-	-	-
3.2.3.3	Interest Rate Options-Buy		-	-	-	-	-	-
3.2.3.4	Interest Rate Options-Sell		-	-	-	-	-	-
3.2.3.5	Securities Options-Buy		-	-	-	-	-	-
3.2.3.6	Securities Options-Sell		-	-	-	-	-	-
3.2.4.	Foreign Currency Futures		-	-	-	-	-	-
3.2.4.1	Foreign Currency Futures-Buy		-	-	-	-	-	-
3.2.4.2	Foreign Currency Futures-Sell		-	-	-	-	-	-
3.2.5.	Interest Rate Futures		-	-	-	-	-	-
3.2.5.1	Interest Rate Futures-Buy		-	-	-	-	-	-
3.2.5.2	Interest Rate Futures-Sell		-	-	-	-	-	-
3.2.6	Other		-	-	-	-	-	-
B.	**CUSTODY AND PLEDGES RECEIVED (IV+V+VI)**		**63.736**	**1.458.708**	**1.522.444**	**70.827**	**1.211.035**	**1.281.862**
IV.	**ITEMS HELD IN CUSTODY**		**-**	**1.072**	**1.072**	**-**	**16**	**16**
4.1	Customer Fund and Portfolio Balances		-	-	-	-	-	-
4.2	Investment Securities Held in Custody		-	-	-	-	-	-
4.3	Checks Received for Collection		-	1.072	1.072	-	16	16
4.4	Commercial Notes Received for Collection		-	-	-	-	-	-
4.5	Other Assets Received for Collection		-	-	-	-	-	-
4.6	Assets Received for Public Offering		-	-	-	-	-	-
4.7	Other Items Under Custody		-	-	-	-	-	-
4.8	Custodians		-	-	-	-	-	-
V.	**PLEDGES RECEIVED**		**10.616**	**227.599**	**238.215**	**21.614**	**190.166**	**211.780**
5.1	Marketable Securities		-	-	-	-	-	-
5.2	Guarantee Notes		2.744	65.131	67.875	8.687	55.029	63.716
5.3	Commodity		-	-	-	-	-	-
5.4	Warranty		-	-	-	-	-	-
5.5	Immovable		7.872	162.223	170.095	12.697	134.820	147.517
5.6	Other Pledged Items		-	245	245	230	317	547
5.7	Pledged Items-Depository		-	-	-	-	-	-
VI.	**ACCEPTED INDEPENDENT GUARANTEES AND WARRANTIES**		**53.120**	**1.230.037**	**1.283.157**	**49.213**	**1.020.853**	**1.070.066**
	TOTAL OFF-BALANCE SHEET COMMITMENTS (A+B)		**69.545**	**1.461.909**	**1.531.454**	**75.272**	**1.211.918**	**1.287.190**

The accompanying explanations and notes form an integral part of these financial statements.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

III. STATEMENT OF INCOME

	INCOME AND EXPENSE ITEMS	Note	CURRENT PERIOD (01/01/2017-31/12/2017)	PRIOR PERIOD (01/01/2016-31/12/2016)
I.	**INTEREST INCOME**	**(IV-a)**	**46.926**	**28.097**
1.1	Interest on Loans	(IV-a-1)	471	2.312
1.2	Interest Received from Reserve Requirements		1.247	428
1.3	Interest Received from Banks	(IV-a-2)	8.352	6.815
1.4	Interest Received from Money Market Transactions		-	193
1.5	Interest Received from Marketable Securities Portfolio	(IV-a-3)	36.856	18.348
1.5.1	Trading Financial Assets		-	-
1.5.2	Financial Assets at Fair Value Through Profit or Loss		-	-
1.5.3	Available-for-sale Financial Assets		36.856	18.348
1.5.4	Held-to-Maturity Investments		-	-
1.6	Financial Lease Income		-	-
1.7	Other Interest Income		-	1
II.	**INTEREST EXPENSE**	**(IV-b)**	**(3.154)**	**(520)**
2.1	Interest on Deposits	(IV-b-4)	(3.154)	(518)
2.2	Interest on Funds Borrowed	(IV-b-1)	-	-
2.3	Interest Expense on Money Market Transactions		-	-
2.4	Interest on Securities Issued	(IV-b-3)	-	-
2.5	Other Interest Expenses		-	(2)
III.	**NET INTEREST INCOME (I + II)**		**43.772**	**27.577**
IV.	**NET FEES AND COMMISSIONS INCOME**		**26.527**	**9.694**
4.1	Fees and Commissions Received		26.805	9.770
4.1.1	Non-cash Loans		1.589	519
4.1.2	Other		25.216	9.251
4.2	Fees and Commissions Paid		(278)	(76)
4.2.1	Non-cash Loans		-	-
4.2.2	Other		(278)	(76)
V.	**DIVIDEND INCOME**	**(IV-c)**	-	-
VI.	**TRADING INCOME/(LOSS) (Net)**	**(IV-d)**	**10.475**	**6.545**
6.1	Trading Gains / (Losses) on Securities		-	-
6.2	Trading Gains/(Losses) on Derivative Financial Instruments		-	-
6.3	Foreign Exchange Gains / (Losses)		10.475	6.545
VII.	**OTHER OPERATING INCOME**	**(IV-e)**	**1.185**	**2.883**
VIII.	**TOTAL OPERATING INCOME (III+IV+V+VI+VII)**		**81.959**	**46.699**
IX.	**PROVISION FOR LOAN LOSSES AND OTHER RECEIVABLES (-)**	**(IV-f)**	**(2.272)**	**(1.481)**
X.	**OTHER OPERATING EXPENSES (-)**	**(IV-g)**	**(13.409)**	**(9.871)**
XI.	**NET OPERATING INCOME/(LOSS) (VIII+IX+X)**		**66.278**	**35.347**
XII.	**EXCESS AMOUNT RECORDED AS INCOME AFTER MERGER**		-	-
XIII.	**GAIN / (LOSS) ON EQUITY METHOD**		-	-
XIV.	**GAIN / (LOSS) ON NET MONETARY POSITION**		-	-
XV.	**PROFIT/(LOSS) FROM CONTINUED OPERATIONS BEFORE TAXES (XI+…+XIV)**	**(IV-h)**	**66.278**	**35.347**
XVI.	**PROVISION FOR TAXES ON INCOME FROM CONTINUING OPERATIONS (±)**	**(IV-i)**	**(13.389)**	**(6.979)**
16.1	Current Tax Provision		(13.300)	(7.012)
16.2	Deferred Tax Provision		(89)	33
XVII.	**NET PROFIT/LOSSES FROM CONTINUING OPERATIONS (XV±XVI)**		**52.889**	**28.368**
XVIII.	**INCOME FROM DISCONTINUED OPERATIONS**		-	-
18.1	Income on assets held for sale		-	-
18.2	Income on sale of associates, subsidiaries and entities under common control (Joint vent.)		-	-
18.3	Income on other discontinued operations		-	-
XIX.	**LOSS FROM DISCONTINUED OPERATIONS (-)**		-	-
19.1	Loss from assets held for sale		-	-
19.2	Loss on sale of associates, subsidiaries and jointly controlled entities (Joint vent.)		-	-
19.3	Loss from other discontinued operations		-	-
XX.	**PROFIT /LOSSES BEFORE TAXES FROM DISCONTINUED OPERATIONS (XVIII-XIX)**		-	-
XXI.	**PROVISION FOR INCOME TAXES FROM DISCONTINUED OPERATIONS (±)**		-	-
21.1	Current Tax Provision		-	-
21.2	Deferred Tax Provision		-	-
XXII.	**NET PROFIT/LOSSES FROM DISCONTINUED OPERATIONS (XX±XXI)**		-	-
XXIII.	**NET PROFIT/LOSSES (XVII+XXII)**	**(IV-j)**	**52.889**	**28.368**
	Earnings/(Loss) per share		-	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

IV. STATEMENT OF PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY

	PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY	CURRENT PERIOD 1 January - 31 December 2017	PRIOR PERIOD 1 January - 31 December 2016
I.	**ADDITIONS TO THE MARKETABLE VALUATION DIFFERENCES FROM THE AVAILABLE FOR SALE FINANCIAL ASSETS**	**(433)**	**765**
II.	**TANGIBLE ASSETS REVALUATION DIFFERENCES**	**-**	**-**
III.	**INTANGIBLE ASSETS REVALUATION DIFFERENCES**	**-**	**-**
IV.	**CURRENCY TRANSLATION DIFFERENCES FOR FOREIGN CURRENCY TRANSACTIONS**	**-**	**-**
V.	**PROFIT OR LOSS ON CASH FLOW HEDGE DERIVATIVE FINANCIAL ASSETS (Effective part of the fair value differences)**	**-**	**-**
VI.	**THE EFFECT OF CORRECTION OF ERRORS AND CHANGES IN ACCOUNTING POLICIES**	**-**	**-**
VII.	**EFFECTS OF CHANGES IN ACCOUNTING POLICY AND ADJUSTMENT OF ERRORS**	**-**	**-**
VIII.	**OTHER PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY ACCORDING TO TAS**	**(53)**	**70**
IX.	**DEFERRED TAX RELATED TO VALUATION DIFFERENCES**	**-**	**(167)**
X.	**NET PROFIT OR LOSS ACCOUNTED DIRECTLY UNDER SHAREHOLDERS' EQUITY (I+II+...+IX)**	**(486)**	**668**
XI.	**CURRENT YEAR PROFIT/LOSS**	**52.889**	**28.368**
1.1	Net change in fair value of marketable securities (transfer to profit-loss)	169	781
1.2	Reclassification of cash flow hedge transactions and presentation of the related under income statement	-	-
1.3	Reclassification of foreign net investment hedge transactions and presentation of the related part under income statement	-	-
1.4	Other	52.720	27.587
XII.	**TOTAL PROFIT/LOSS RELATED TO THE CURRENT PERIOD (X-XI)**	**52.403**	**29.036**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

V. STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY

	PRIOR PERIOD 01/01/2016 – 31/12/2016	Note	Paid-in Capital	Adjustment to Share Capital	Share Premiums	Share Cancellation Profits	Legal Reserves	Status Reserves	Extraordinary Reserves	Other Reserves	Current Period Net Income/(Loss)	Prior Period Net Income/ (Loss)	Marketable Securities Value Increase Fund	Tangible and Intangible Assets Revaluation Fund	Bonus Shares From Investment in Associates and Subsidiaries	Hedging Transactions Funds	Held for Resale/ Discontinued Operations Revaluation Fund	Total Shareholders' Equity
I.	**Prior Period End Balance**		**156.914**	**-**	**-**	**-**	**-**	**-**	**1.352**	**(309)**	**11.431**	**39.394**	**(781)**	**-**	**-**	**-**	**-**	**208.001**
II.	**Corrections According to Turkish Accounting Standard No.8**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2.1	Corrections of Errors		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2.2	Changes in Accounting Policies		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
III.	**Adjusted Beginning Balance (I + II)**		**156.914**	**-**	**-**	**-**	**-**	**-**	**1.352**	**(309)**	**11.431**	**39.394**	**(781)**	**-**	**-**	**-**	**-**	**208.001**
	Changes during the period		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IV.	**Increase/Decrease due to the Merger**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
V.	**Marketable Securities Valuation Differences**	**(V-d)**	-	-	-	-	-	-	-	-	-	-	**612**	-	-	-	-	**612**
VI.	**Hedging Funds (Effective Portion)**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6.1	Cash Flow Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6.2	Foreign Investment Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VII.	**Tangible Assets Revaluation Differences**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VIII.	**Intangible Assets Revaluation Differences**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IX.	**Bonus Shares Obtained from Associates, Subsidiaries and Entities Under Common Control (Joint vent.)**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
X.	**Foreign Exchange Differences**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XI.	**The Disposal of Assets**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.	**The Reclassification of Assets**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIII.	**Effect of the Changes in Investment in Associates' Equity to the Bank's Equity**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIV.	**Capital Increase (*)**	**(V-c)**	**43.086**	**-**	**-**	**-**	**-**	**-**	**(757)**	**-**	**-**	**(39.394)**	**-**	**-**	**-**	**-**	**-**	**2.935**
14.1	Cash Increase		2.935	-	-	-	-	-	-	-	-	-	-	-	-	-	-	2.935
14.2	Internal Resources		40.151	-	-	-	-	-	(757)	-	-	(39.394)	-	-	-	-	-	-
XV.	**Share Premium**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVI.	**Share Cancellation Profits**								-	-	-	-	-	-	-	-	-	-
XVII.	**Paid in-capital Adjustment Difference**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVIII.	**Other**		-	-	-	-	-	-	-	**56**	-	-	-	-	-	-	-	**56**
XIX.	**Current Year Income or Loss**		-	-	-	-	-	-	-	-	**28.368**	-	-	-	-	-	-	**28.368**
XX.	**Profit Distribution**	**(V-a)**	-	-	-	-	-	-	**129**	-	**(11.431)**	**11.302**	-	-	-	-	-	-
20.1	Dividend Paid		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
20.2	Transfers to Reserves	**(V-b)**	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
20.3	Other		-	-	-	-	-	-	129	-	(11.431)	11.302	-	-	-	-	-	-
	Period End Balance (I+….+XVIII)		**200.000**	**-**	**-**	**-**	**-**	**-**	**724**	**(253)**	**28.368**	**11.302**	**(169)**	**-**	**-**	**-**	**-**	**239.972**

(*) The branch has increased its capital to TL 200.000 with an increase of TL 43.086 in capital which comes TL 39.394 of it from the previous year profits, TL 757 from the reserve funds and the remaining TL 2.935 from the cash.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

V. STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY (Continued)

	PRIOR PERIOD 01/01/2017 – 31/12/2017	Note	Paid-in Capital	Adjustment to Share Capital	Share Premiums	Share Cancellation Profits	Legal Reserves	Status Reserves	Extraordinary Reserves	Other Reserves	Current Period Net Income/ (Loss)	Prior Period Net Income/ (Loss)	Marketable Securities Value Increase Fund	Tangible and Intangible Assets Revaluation Fund	Bonus Shares From Investment in Associates and Subsidiaries	Hedging Transactions Funds	Held for Resale/ Discontinued Operations Revaluation Fund	Total Shareholders'Equity
I.	**Prior Period End Balance**		**200.000**	**-**	**-**	**-**	**-**	**-**	**724**	**(253)**	**28.368**	**11.302**	**(169)**	**-**	**-**	**-**	**-**	**239.972**
II.	**Corrections According to Turkish Accounting Standard No.8**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2.1	Corrections of Errors		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2.2	Changes in Accounting Policies		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
III.	**Adjusted Beginning Balance (I + II)**		**200.000**	**-**	**-**	**-**	**-**	**-**	**724**	**(253)**	**28.368**	**11.302**	**(169)**	**-**	**-**	**-**	**-**	**239.972**
	Changes during the period		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IV.	**Increase/Decrease due to the Merger**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
V.	**Marketable Securities Valuation Differences**	**(V-d)**	-	-	-	-	-	-	-	-	-	-	**(433)**	-	-	-	-	**(433)**
VI.	**Hedging Funds (Effective Portion)**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6.1	Cash Flow Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6.2	Foreign Investment Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VII.	**Tangible Assets Revaluation Differences**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VIII.	**Intangible Assets Revaluation Differences**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IX.	**Bonus Shares Obtained from Associates, Subsidiaries and Entities Under Common Control (Joint vent.)**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
X.	**Foreign Exchange Differences**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XI.	**The Disposal of Assets**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.	**The Reclassification of Assets**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIII.	**Effect of the Changes in Investment in Associates' Equity to the Bank's Equity**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIV.	**Capital Increase**	**(V-c)**	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14.1	Cash Increase		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14.2	Internal Resources		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XV.	**Share Premium**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVI.	**Share Cancellation Profits**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVII.	**Paid in-capital Adjustment Difference**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVIII.	**Other**		-	-	-	-	-	-	-	**(53)**	-	-	-	-	-	-	-	**(53)**
XIX.	**Current Year Income or Loss**		-	-	-	-	-	-	-	-	**52.889**	-	-	-	-	-	-	**52.889**
XX.	**Profit Distribution**	**(V-a)**	-	-	-	-	-	-	**(26)**	-	**(28.368)**	**28.394**	-	-	-	-	-	-
20.1	Dividend Paid		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
20.2	Transfers to Reserves	**(V-b)**	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
20.3	Other		-	-	-	-	-	-	(26)	-	(28.368)	28.394	-	-	-	-	-	-
	Period End Balance (I+….+XVIII)		**200.000**	**-**	**-**	**-**	**-**	**-**	**698**	**(306)**	**52.889**	**39.696**	**(602)**	**-**	**-**	**-**	**-**	**292.375**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

VI. STATEMENT OF CASH FLOWS

	STATEMENT OF CASH FLOWS	Note	CURRENT PERIOD (01/01/2017 – 31/12/2017)	PRIOR PERIOD (01/01/2016 – 31/12/2016)
A.	**CASH FLOWS FROM BANKING OPERATIONS**			
1.1	**Operating Profit before changes in operating assets and liabilities**		**37.687**	**26.006**
1.1.1	Interest received		39.358	24.422
1.1.2	Interest paid		(3.045)	(512)
1.1.3	Dividend received		-	-
1.1.4	Fees and commissions received		26.805	9.770
1.1.5	Other income		140	116
1.1.6	Collections from previously written-off loans and other receivables		3	762
1.1.7	Payments to personnel and service suppliers		(8.162)	(5.925)
1.1.8	Taxes paid		(14.875)	(5.239)
1.1.9	Other		(2.537)	2.612
1.2	**Changes in operating assets and liabilities**		**431.746**	**156.037**
			-	
1.2.1	Net (increase) / decrease in trading financial assets		-	-
1.2.2	Net (increase) / decrease in fair value through profit/loss financial assets		-	-
1.2.3	Net (increase) / decrease in banks		(272)	(190)
1.2.4	Net (increase) / decrease in loans		(37)	1.794
1.2.5	Net (increase) / decrease in other assets		(76)	2.398
1.2.6	Net increase in bank deposits		323.218	93.452
1.2.7	Net increase / (decrease) in other deposits		109.479	57.278
1.2.8	Net (decrease) in funds borrowed		-	-
1.2.9	Net increase / (decrease) in payables		-	-
1.2.10	Net increase in other liabilities		(566)	1.305
I.	**Net cash provided from banking operations**		**469.433**	**182.043**
B.	**CASH FLOWS FROM INVESTING ACTIVITIES**			
II.	**Net cash provided from investing activities**		**(137.876)**	**(78.074)**
2.1	Cash paid for purchase of entities under common control, associates and subsidiaries (Joint Vent.)		-	-
2.2	Cash obtained from sale of entities under common control, associates and subsidiaries (Joint Vent.)		-	-
2.3	Fixed assets purchases		(358)	(54)
2.4	Fixed assets sales		-	12
2.5	Cash paid for purchase of investments available-for-sale		(322.318)	(210.858)
2.6	Cash obtained from sale of investments available-for-sale		184.800	133.300
2.7	Cash paid for purchase of investment securities		-	-
2.8	Cash obtained from sale of investment securities		-	-
2.9	Other		-	(474)
C.	**CASH FLOWS FROM FINANCING ACTIVITIES**			
III.	**Net cash provided from financing activities**		**-**	**2.935**
3.1	Cash obtained from funds borrowed and securities issued		-	-
3.2	Cash used for repayment of funds borrowed and securities issued		-	-
3.3	Capital increase		-	2.935
3.4	Dividends paid		-	-
3.5	Payments for finance leases		-	-
3.6	Other		-	-
IV.	**Effect of change in foreign exchange rate on cash and cash equivalents**	**(VI-a)**	**9.561**	**1.120**
V.	**Net increase in cash and cash equivalents (I + II + III + IV)**		**341.118**	**108.024**
VI.	**Cash and cash equivalents at beginning of the period**	**(VI-a)**	**275.295**	**167.271**
VII.	**Cash and cash equivalents at end of the period (V + VI)**	**(VI-a)**	**616.413**	**275.295**

PROFIT DISTRIBUTION TABLE FOR THE YEAR ENDED 31 DECEMBER 2017

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

VII. PROFIT DISTRIBUTION TABLE

		(*) CURRENT PERIOD (01/01/2017 – 31/12/2017)	PRIOR PERIOD (01/01/2016 – 31/12/2016)
I.	**DISTRIBUTION OF CURRENT YEAR INCOME**		
1.1	Current Year Income	66.278	35.347
1.2	Taxes And Duties Payable (-)	(13.389)	(6.979)
1.2.1	Corporate Tax (Income tax)	(13.300)	(7.012)
1.2.2	Income withholding tax	-	-
1.2.3	Other taxes and duties (**)	(89)	33
A.	**NET INCOME FOR THE YEAR (1.1-1.2)**	**52.889**	**28.368**
1.3	Prior Year Losses (-)	-	-
1.4	First Legal Reserves (-)	-	-
1.5	Other Statutory Reserves (-)	-	-
B.	**NET INCOME AVAILABLE FOR DISTRIBUTION [(A+(1.3+1.4+1.5)]**	**52.889**	**28.335**
1.6	First Dividend To Shareholders (-)	-	-
1.6.1	To Owners Of Ordinary Shares	-	-
1.6.2	To Owners Of Preferred Shares	-	-
1.6.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.6.4	To Profit Sharing Bonds	-	-
1.6.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.7	Dividends To Personnel (-)	-	-
1.8	Dividends To Board Of Directors (-)	-	-
1.9	Second Dividend To Shareholders (-)	-	-
1.9.1	To Owners Of Ordinary Shares	-	-
1.9.2	To Owners Of Preferred Shares	-	-
1.9.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.9.4	To Profit Sharing Bonds	-	-
1.9.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.10	Second Legal Reserves (-)	-	-
1.11	Statutory Reserves (-)	-	-
1.12	Extraordinary Reserves	-	-
1.13	Other Reserves	-	-
1.14	Special Funds	-	-
II.	**DISTRIBUTION OF RESERVES**		
2.1	Distributed Reserves	-	-
2.2	Second Legal Reserves (-)	-	-
2.3	Dividends To Shareholders (-)	-	-
2.3.1	To Owners Of Ordinary Shares	-	-
2.3.2	To Owners Of Preferred Shares	-	-
2.3.3	To Owners Of Preferred Shares	-	-
2.3.4	To Profit Sharing Bonds	-	-
2.3.5	To Holders Of Profit And Loss Sharing Certificates	-	-
2.4	Dividends To Personnel (-)	-	-
2.5	Dividends To Board Of Directors (-)	-	-
III.	**EARNINGS PER SHARE**		
3.1	To Owners Of Ordinary Shares	-	-
3.2	To Owners Of Ordinary Shares (%)	-	-
3.3	To Owners Of Preferred Shares	-	-
3.4	To Owners Of Preferred Shares (%)	-	-
IV.	**DIVIDEND PER SHARE**		
4.1	To Owners Of Ordinary Shares	-	-
4.2	To Owners Of Ordinary Shares (%)	-	-
4.3	To Owners Of Preferred Shares	-	-
4.4	To Owners Of Preferred Shares (%)	-	-

(*) As at date of these financial statements, profit distribution for 2016 has not yet been determined.

(**) Deferred tax income is presented under other tax and legal duties. Deferred tax income should be deducted during profit distribution, thus it is classified under extraordinary reserves.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

VIII. CONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH'S HEADQUARTER

As of 20 March 2017, the financial statements issued by the Headquarters of the Branch is presented below.

BANK MELLAT (IRAN)
CONSOLIDATED COMPARATIVE BALANCE SHEET
(THOUSANDS OF USD)

	(*) CURRENT PERIOD (20 March 2017)	**(**) PRIOR PERIOD (20 March 2016)**
Cash and cash equivalents	640.240	755.974
Central bank	7.506.226	6.746.183
Other assets	49.237.101	46.868.828
Total Assets	**57.383.567**	**54.370.985**
Deposits	37.956.629	37.956.629
Other liabilities	17.274.639	14.372.876
Shareholders' equity	2.152.299	2.041.480
Total Liabilities	**57.383.567**	**54.370.985**

BANK MELLAT (IRAN)
CONSOLIDATED COMPARATIVE BALANCE SHEET
(THOUSANDS OF USD)

	(*) CURRENT PERIOD (20 March 2017)	**(**) PRIOR PERIOD (20 March 2016)**
Interest and investment income	7.286.802	5.654.155
Interest expense on deposits	(4.528.905)	(4.180.041)
Other expenses	(1.978.288)	(1.175.993)
Other income	1.543.732	1.865.245
Total net income	2.323.341	2.163.366
Personnel and operating expenses	(2.187.506)	(2.160.767)
Profit before tax	135.835	2.599
Taxes payables	(39.076)	(37.602)
Net Profit	**96.759**	**(35.003)**

(*) Since the financial statements for the period 1 January – 31 December 2017 have not been published, the financial statements prepared by the headquarters of the Branch dated 20 March 2017 are presented.

(**) The prior period has been revised.

SECTION THREE

EXPLANATIONS ON ACCOUNTING POLICIES

I. EXPLANATIONS ON THE BASIS OF PRESENTATION:

The preparation of the financial statements and related notes and explanations in accordance with the Turkish Accounting Standards and Regulation on the Accounting Applications for Banks and Safeguarding of Documents:

The Branch, financial statements in accordance with "the Banking Regulation and Supervision Agency ("BRSA") Accounting and Reporting Regulation" which includes the regulation on "The Procedures and Principles Regarding Banks' Accounting Practices and Maintaining Documents" published in the Official Gazette dated 1 November 2006 with No. 26333, and other regulations on accounting records of banks published by the Banking Regulation and Supervision Board and circulars and pronouncements published by the BRSA and Turkish Accounting Standards published by the Public Oversight Accounting and Auditing Standards Authority for the matters not regulated by the aforementioned legislations.

Standard Amendments and Interpretations

Implementations of New or Revised Turkish Financial Reporting Standards and Interpretations

The amendments of TAS and TFRS which have entered into force as of 1 January 2017 have no material impact on the Branch's accounting policies, financial position and performance. The amendments of TAS and TFRS which are published but not yet effective as of finalization date of financial statement, will have no impact on the accounting policies, financial condition and performance of the Branch.

Explanations on TFRS 9 Financial Instruments Standard

The Branch's impairment provision for the loans and receivables is calculated in accordance with the "Regulation on the Procedures and Principles Regarding the Determination of the Qualifications of Loans and Other Receivables and Provisions for These Loans by Banks" ("Provisions Regulation"), published by the BRSA in Official Gazette No. 26333 dated 1 November 2006. The Branch will not apply the principles of TFRS 9 regarding impairment, which will be effective from 1 January 2018, as per the BRSA exception dated 5 January 2018 and numbered 32521522-101.02.02.-E.225. The Branch will calculate and recognize a provision for impairment in accordance with the "Regulation on the Procedures and Principles for Classification of Loans by Banks and Provisions to be Set Aside", issued by the BRSA on 1 January 2018, within the scope of Clause 6 of Article 9 of the Regulation. The provision calculation method is not based on the expected loan loss model of TFRS 9 but it is based on the 10th, 11th, 13th and 15th articles of the Regulation, according to "Specific provisions accounted for by banks that do not apply TFRS 9", until otherwise stated. In future periods, if the transaction volume and diversification of the Branch increase, it will take the actions necessary to calculate provisions for loans in accordance with TFRS 9.

Additional paragraph for convenience of translation into English:

The differences between accounting principles, as described in the preceding paragraphs, and accounting principles generally accepted in countries in which these accompanying unconsolidated financial statements are to be distributed and International Financial Reporting Standards ("IFRS") have not been quantified in the accompanying unconsolidated financial statements. Accordingly, the accompanying unconsolidated financial statements are not intended to present the financial position, results of operations and changes in financial position and cash flows in accordance with the accounting principles generally accepted in such countries and IFRS.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

II. EXPLANATIONS ON STRATEGY OF USING FINANCIAL INSTRUMENTS AND FOREIGN CURRENCY TRANSACTIONS:

The Branch's operation scope involves all commercial banking operations and business lines described in the banking legislation.

The Branch invests the funds obtained through fixed rate deposits, loans from Head Office and cash guarantees to short-term, high interest bearing and relatively low risk bank placements and credit for banks. The Branch manages the liquidity risk by providing sufficient cash and cash equivalent sources for its current and contingent liabilities. In this context, the Branch aims at ensuring a liquidity structure which matches liabilities due.

The Branch protects itself from interest rate risk, currency risk and price fluctuations by its investments in short-term placements and provides cash collaterals.

The Branch takes a position according to the currency basket of the Central Bank of the Republic of Turkey ("CBRT") in order to hedge itself against possible foreign exchange risks. The Branch with the change in the currency system to floating currency, limits the total foreign currency position in accordance with the legal limits because of the increasing uncertainties in the changing currency path.

As of 31 December 2017, rates used for conversion of foreign currency balances into Turkish Lira are TL 3,7719 for USD, TL 4,5155 for Euro and TL 0,03342 for Yen.

III. EXPLANATIONS ON INVESTMENTS IN ASSOCIATES AND SUBSIDIARIES:

As of 31 December 2017 and 31 December 2016, the Branch has no investments in associates and subsidiaries.

IV. EXPLANATIONS ON FORWARD TRANSACTIONS, OPTIONS AND DERIVATIVE INSTRUMENTS:

Derivative instruments are measured at fair value on initial recognition and are subsequently re-measured at their fair values. The accounting method for the income or loss arising from derivative instruments depends on the derivative being used for hedging purposes or not and depends on the type of the item being hedged.

As of 31 December 2017, the Branch has no derivative instruments that qualify for hedge accounting. The Branch has no forward transactions, options or other derivative instruments.

V. EXPLANATIONS ON INTEREST INCOME AND EXPENSE:

Interest income and expenses are recognised in the income statement on an accrual basis using the effective interest method.

The Branch, ceases accruing interest income on non-performing loans according to the related regulation.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VI. EXPLANATIONS ON FEE AND COMMISSION INCOME AND EXPENSES:

All fees and commission income/expenses are recognised on an accrual basis, except for certain commission income and fees for various banking services which are accounted for as income when collected. Borrowing fees and commission expenses paid to other financial institutions are recognised as operational costs and recorded using the “effective interest method”. Contract based fees or fees received in return for services such as the purchase and sale of assets on behalf of a third party or legal person are recognised as income at the time of collection.

VII. EXPLANATIONS ON FINANCIAL ASSETS:

The Branch classifies and accounts its financial assets as “Fair value through profit or loss”, “Available- for-sale”, “Loans and receivables” or “Held-to-maturity”. Sales and purchases of the financial assets mentioned above are recognised at the “settlement dates”. The appropriate classification of financial assets is determined at inception according to Branch management’s purpose of purchase.

a. Financial assets at fair value through profit or loss:

This category has two sub categories: “Trading financial assets” and “Financial assets designated at fair value through profit or loss at initial recognition.”

Trading financial assets are financial assets which were either acquired for generating a profit from short-term fluctuations in prices or dealers’ margin, or are financial assets included in a portfolio in which a pattern of short-term profit making exists.

Trading financial assets are initially recognised at fair value and are subsequently re-measured at their fair value. However, if fair values cannot be obtained from the fair market transactions, it is accepted that the fair value cannot be measured reliably and financial assets are measured using the official prices announced by the CBRT. All gains and losses arising from these evaluations are recognised in the income statement. Interest earned while holding financial assets is reported as interest income and dividends received are included separately in dividend income.

Derivative financial instruments are classified as trading financial assets unless they are not designated as hedge instruments.

The Branch has no financial assets designated as financial assets at fair value through profit or loss.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VII. EXPLANATIONS ON FINANCIAL ASSETS: (Continued)

b. Loans and receivables:

Financial assets that are originated by the Branch by providing money, services or goods to borrowers are categorised as loans and receivables. Loans and receivables originated by the Branch are carried initially at cost and subsequently recognised at the amortised cost value calculated using the "effective yield method".

If the collectability of any receivable is identified as limited or doubtful by the management through assessments and estimates; the Branch, as per the provisions "Communiqué Related to Principles and Procedures on Determining the Qualifications of Banks' Loans and Other Receivables and the Provision for These Loans and Other Receivables" as published in the Official Gazette dated 1 November 2006 with No. 26333, categorizes them under group III, IV and V loans and provides specific provisions. The Bank may allocate specific provisions above the minimum rates as provided for the tier of the relevant loans which are financially weak and/or insolvent loans.

Provision expenses are deducted from the net income for the period. Uncollectible receivables are written-off after all the legal procedures are finalised. If there is a subsequent collection from a receivable that was already provisioned in the previous years, the recovery amount is presented in other income.

c. Held-to-maturity financial assets:

Held-to-maturity financial assets are assets that are not classified under "loans and receivables" with fixed maturities and fixed or determinable payments where management has the intent and ability to hold the financial assets to maturity. Held-to-maturity financial assets are initially recognised at cost, and subsequently carried at amortised cost using the "effective yield method"; interest earned whilst holding held-to-maturity securities is reported as interest income. Interest income from held-to-maturity financial assets is reflected in the income statement.

There are no financial assets that were previously classified as held-to-maturity but which cannot be subject to this classification for two years due to the contradiction of classification principles.

The Branch has no financial assets that are classified as held-to-maturity as of 31 December 2017 and 31 December 2016.

d. Available-for-sale financial assets:

Debt securities classified as available-for-sale financial assets are subsequently remeasured at fair value. Unrealised gains and losses arising from changes in the fair value of securities classified as available-for-sale are recognised in shareholders' equity as "Marketable securities value increase fund", unless there is a permanent decline in the fair values of such assets or they are disposed of. When these securities are disposed of or impaired, the related fair value differences accumulated in the shareholders' equity are transferred to the income statement.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VIII. EXPLANATIONS ON IMPAIRMENT OF FINANCIAL ASSETS:

Where the estimated recoverable amount of the financial asset, being the present value of the expected future cash flows discounted based on the "effective interest method", or the fair value if one exists is lower than its carrying value, then it is concluded that the asset under consideration is impaired. A provision is made for the diminution in value of the impaired financial asset and it is charged against the income for the year.

The principles regarding the accounting of provisions of loans and receivables are explained in detail in Note VII.b. of this section.

IX. EXPLANATIONS ON OFFSETTING FINANCIAL INSTRUMENTS:

Financial assets and liabilities are offset and the net amount is reported in the balance sheet when the Branch has a legally enforceable right to offset the recognised amounts and there is an intention to collect/pay related financial assets and liabilities on a net basis or to realise the asset and settle the liability simultaneously.

X. EXPLANATIONS ON SALES AND REPURCHASE AGREEMENTS AND SECURITIES LENDING TRANSACTIONS:

The Branch does not have any sales and repurchase agreements and securities lending transactions as of 31 December 2017 and 31 December 2016.

Securities subject to repurchase agreements ("repo") are classified as "Fair value difference through profit or loss", "Available-for-sale" and "Held-to-maturity" according to the investment purposes of the Branch and measured according to the portfolio to which they belong. Funds obtained from repurchase agreements are accounted under "Funds Provided under Repurchase Agreements" in liabilities and the difference between the sale and repurchase price is accrued over the life of repurchase agreements using the "effective interest method".

Funds given against securities purchased under agreements ("reverse repo") to resell are accounted under "Receivables from Reverse Repurchase Agreements" in the balance sheet. The difference between the purchase and determined resell price is accrued over the life of repurchase agreements using the "effective interest method".

XI. ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS AND EXPLANATIONS ON OBLIGATIONS RELATED TO THESE ASSETS:

The Branch has no discontinued operations and obligations related to these assets as at the balance sheet date (31 December 2016: None).

XII. EXPLANATIONS ON GOODWILL AND OTHER INTANGIBLE ASSETS:

The Branch has no goodwill as of 31 December 2017 and 31 December 2016.

Intangible assets consist of softwares. The intangible assets are amortized in their useful lifes, between 3 and 5 years, on a straight-line basis. At the balance sheet date TL 240 of amortization expense (31 December 2016: TL 159).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XIII. EXPLANATIONS ON TANGIBLE FIXED ASSETS:

Property and equipment is measured at its cost when initially recognised and any directly attributable costs of setting the asset in working order for its intended use are included in the initial measurement. Subsequently, property and equipment is carried at cost less accumulated depreciation and impairment, if any.

Depreciation is calculated over of the cost of property and equipment using the straight-line method. The expected useful lives are stated below:

Buildings	50 years
Furniture, fixture and vehicles	5 years

The depreciation charge for items remaining in property and equipment for less than an accounting period at the balance sheet date is calculated in proportion to the period the item remained in property and equipment.

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written-down immediately to its recoverable amount and the impairment for the diminution in value is charged to the income statement.

Gains and losses on the disposal of property and equipment are determined by deducting the net book value of the property and equipment from its sales revenue.

Expenditures for the repair and renewal of property and equipment are recognised as expense. The capital expenditures made in order to increase the capacity of the tangible asset or to increase its future benefits are capitalised over the cost of the tangible asset. The capital expenditures include the cost components which are used either to increase the useful life or the capacity of the asset or the quality of the product or to decrease the costs.

There are no pledges, mortgages or purchase commitments on property and equipment as of 31 December 2017 and 31 December 2016.

XIV. EXPLANATIONS ON LEASING TRANSACTIONS:

The Branch has no leasing transactions as of 31 December 2017 and 31 December 2016.

XV. EXPLANATIONS ON PROVISIONS AND CONTINGENT COMMITMENTS:

Provisions and contingent liabilities are accounted in accordance with "Turkish Accounting Standard for Provisions, Contingent Liabilities and Contingent Assets" ("TAS 37").

Provisions are recognised when the Branch has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made. The provision for contingent liabilities arising from past events should be recognised in the same period of occurrence in accordance with the matching principle. When the amount of the obligation cannot be estimated and there is no possibility of an outflow of resources from the Branch, it is considered that a "contingent" liability exists and it is disclosed in the related notes to the financial statements.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVI. EXPLANATIONS ON OBLIGATIONS RELATED TO EMPLOYEE RIGHTS:

a. Defined Benefit Plans:

Under the Turkish Labour Law, the Branch is obliged to pay a certain employment termination benefit to the employees who have been retired or whose employment is terminated other than the reasons specified in the Turkish Labour Law.

In accordance with "Turkish Accounting Standard for Employee Rights" ("TAS 19") the reserve for employment termination benefits is calculated by using Projection Method based on personnel service completion time and previous experience gained. The reserve for employment termination benefits is discounted by the rate of return of the government bonds at the balance sheet date.

Branch Management has evaluated the impact of the actuarial profit/loss for calculating the employment termination benefit on the current balance sheets and recognized the effect in the statement of income, since it's not material for the financial statements.

The Branch has no employees who are members of any foundation or likewise corporations.

b. Defined Contribution Plans:

In accordance with the law the Branch is obliged to pay a contribution fee to Social Security Institution ("SSI") on behalf of the employees. The Branch has no other payment obligations to employees or "SSI". These contribution fees are reflected to personnel expenses at the date of accrual.

c. Short-Term Benefits to Employees:

Vacation fees defined as "Short-Term Benefits to Employees" in accordance with "Turkish Accounting Standard for Employee Rights" ("TAS 19") are accrued in the periods that they were entitled to and they cannot be discounted.

XVII. EXPLANATIONS ON TAXATION:

a. Current tax:

"Corporate Tax Law" ("New Tax Law") No.5520 was taken into effect after being published in the Official Gazette dated 21 June 2006 No.26205. Many clauses of the "New Tax Law" are effective from 1 January 2006. According to this Law, the corporate tax rate is 20% for the year 2017 (2016: 20%). Corporate tax is calculated on the total income of the Bank after adjusting for certain disallowable expenses, exempt income (eg. gain on subsidiaries, investment incentives) and investments and other allowances (eg. research and development expenses). No further tax is payable unless the profit is distributed.

The Law numbered 7061 on "Amendment of Certain Taxes and Laws and Other Acts" was published on the Official Gazette dated 5 December 2017 and numbered 30261. As amended in the clause 10 of the Law, the 20% corporate tax rate, will be applied as 22% for entities' corporate income belonging to the taxation periods of 2018, 2019 and 2020. The rate of 22% will be applicable for the provisional tax returns for the same years.

Dividends paid to non-resident corporations, which have a place of business in Turkey or are resident corporations, are not subject to withholding tax. Otherwise, dividends paid are subject to withholding tax at the rate of 15% after 23 July 2006. An increase in capital via issuing bonus shares is not considered as profit distribution and thus does not incur withholding tax.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVII. EXPLANATIONS ON TAXATION: (Continued)

Corporations are required to pay advance corporate tax quarterly at a rate of 20% (2018, 2019, 2020: 22%) on their corporate income. Advance tax is declared by the 14th and paid by the 17th day of the second month following each calendar quarter end. Advance tax paid by corporations is for the current period is credited against the annual corporation tax calculated on their annual corporate income in the following year. Despite the offset, if temporary prepaid tax remains, this balance can be refunded or used to offset any other financial liabilities to the government.

A 75% portion of the capital gains derived from the sale of equity investments and 50% for immovable sales beginning from 5 December 2017, if such gains are added to paid-in capital or held in a special account under shareholders' equity for five years.

In Turkey, there is no procedure for a final and definitive agreement on tax assessments. Companies file their tax returns until the twenty fifth day of the following fourth month after the closing of the accounting year to which they relate.

Tax returns are open for five years from the beginning of the year following the date of filing during which period the tax authorities have the right to audit tax returns, and the related accounting records on which they are based, and may issue re-assessments based on their findings. Under the Turkish Corporate Tax Law, losses can be carried forward to offset against future taxable income for up to five years. Tax losses cannot be carried back to offset profits from previous periods.

b. Deferred tax:

The Branch calculates and accounts for deferred income taxes for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in these financial statements in accordance with "Turkish Accounting Standard for Income Taxes" ("TAS 12"). In the deferred tax calculation, the enacted tax rate, in accordance with the tax legislation, is used as of the balance sheet date. According to the Law, which was approved in the Grand National Assembly on 28 November 2017 and published in the Official Gazette dated 5 December 2017, the rate of Corporate Tax for the years 2018, 2019 and 2020 was increased from 20% to 22%. Therefore, deferred tax assets and liabilities are measured at the tax rate of 22% that are expected to apply to these periods when the assets is realised or the liability is settled, based on the Law that have been enacted. For the periods 2021 and after, the reversals of temporary differences are measured by 20%.

Deferred tax liabilities are recognized for all resulting temporary differences whereas deferred tax assets resulting from temporary differences are recognized to the extent that it is probable that future taxable profit will be available against which the deferred tax assets can be utilized. The calculated deferred tax assets and deferred tax liabilities are presented on a net basis in these financial statements.

XVIII. EXPLANATIONS ON BORROWINGS:

Trading financial liabilities and derivative instruments are valued at the fair value and other financial liabilities are carried at amortised cost using the "effective interest method".

XIX. EXPLANATIONS ON ISSUANCE OF SHARE CERTIFICATES:

Direct transaction costs regarding the issuance of share certificates are recorded under shareholders' equity after eliminating the tax effects. The Branch has no share certificates issued as of 31 December 2017 and 31 December 2016.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XX . EXPLANATIONS ON ACCEPTANCES AND AVAILED DRAFTS:

Avalied drafts and acceptances are the contingent liabilities of the Branch and are included in the off-balance sheet commitments.

XXI. EXPLANATIONS ON GOVERNMENT GRANTS:

The Branch has no government grants at as of 31 December 2017 and 31 December 2016.

XXII. EXPLANATIONS ON PROFIT RESERVES AND PROFIT APPROPRIATION:

Retained earnings are available for profit distribution, subject to the written permission of BRSA.

XXIII. EXPLANATIONS ON EARNINGS PER SHARE:

Earnings per share disclosed in the income statement is calculated by dividing net profit for the year to the weighted average number of shares outstanding during the period concerned. In Turkey, companies can increase their share capital by making a pro-rata distribution of shares "bonus shares" to existing shareholders from retained earnings. Such "bonus shares" distributions are treated as issued shares in earnings per share calculations. Accordingly, the weighted average number of shares used in these calculations is determined by taking into account the retrospective effects of such share issuances. If the issued share price increases after the balance sheet date but only because of the distribution of the bonus shares prior to the preparation date of the financial statements, the calculation of earnings per share is made considering the total new share name. Earnings per share have not been calculated since the branch is not publicly traded.

XXIV. EXPLANATIONS ON RELATED PARTIES:

For the purpose of these financial statements, shareholders, key management personnel and board members together with their families and companies controlled by/affiliated with them, and associated companies are considered and referred to as related parties in accordance with "Turkish Accounting Standard for Related Parties" ("TAS 24"). The transactions with related parties are disclosed in detail in Note VII of Section Five.

XXV. EXPLANATIONS ON CASH AND CASH EQUIVALENTS:

For the purposes of the cash flow statement, cash includes cash, effectives and demand deposits including balances with the Central Bank; and cash equivalents include interbank money market placements and time deposits at banks with original maturity periods of less than three months.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVI. EXPLANATIONS ON SEGMENT REPORTING:

Information related with areas of operations of the bank prepared in line with the organizational and internal reporting structure of the branch and in accordance with "Turkish Financial Reporting Standards related with Segment Reporting" ("TFRS 8") are disclosed.

The Branch manages its banking operations through three strategic business units: Retail banking, Corporate and Commercial banking and Treasury operations.

Retail banking provides deposits and loans to individual and small business customers. Other products and services include foreign currency exchange, cheques and bills and money orders.

Corporate and Commercial banking provided corporate and commercial customers financial solutions and banking services. Products and services include FC and TL loans, foreign trade finance, domestic and international non-cash credit line facilities such as letters of credit and guarantees, foreign exchange and deposits.

Treasury operations are managed by the Treasury Department. The Treasury Department has transactions such as purchases-sales of domestic marketable securities and TL and FC placement transactions.

Informations about the operating segments as of 31 December 2017 are presented on the table below:

	Retail Banking	Corporate and Commercial Banking	Treasury	Other (*)	Total operations of the Branch
31 December 2017					
Interest Income	12	459	46.455	-	46.926
Net Fees and Commissions Income	-	26.527	-	-	26.527
Other Operating Income and Trading Income/(Loss) (Net)	-	11.660	-	-	11.660
Operating Revenue	**12**	**38.646**	**46.455**	**-**	**85.113**
Interest Expense	(4)	(477)	(2.673)	-	(3.154)
Other Operating Expense and Provision for Loan Losses and Other Receivables	(1.882)	(10.663)	(3.136)	-	(15.681)
Operating Expense	**(1.886)**	**(11.140)**	**(5.809)**	**-**	**(18.835)**
Operating Profit	**(1.874)**	**27.506**	**40.646**	**-**	**66.278**
	-	-	-	-	-
Profit Before Tax	**-**	**-**	**-**	**66.278**	**66.278**
Corporate Tax	-	-	-	(13.389)	(13.389)
Minority Rights	-	-	-	-	-
Net Profit	**-**	**-**	**-**	**52.889**	**52.889**
Segment Assets (*)	2.819	5.133	993.687	10.999	1.012.638
Investment in Associates and Subsidiaries	-	-	-	-	-
Total Assets	**2.819**	**5.133**	**993.687**	**10.999**	**1.012.638**
Segment Liabilities (*)	5.456	192.941	510.498	11.368	720.263
Shareholders' Equity	-	-	-	292.375	292.375
Total Liabilities	**5.456**	**192.941**	**510.498**	**303.743**	**1.012.638**

(*) "Segment Assets" in "Other" column amounting to TL 10.999 include tangible assets amounting to TL ; 8.930, intangible assets amounting to TL 452, tax assets amounting to TL 662 and other assets amounting to TL 955; "Segment Liabilities" in the "Other" column amounting to TL 11.368 include other liabilities amounting to TL 2.517, provisions amounting to TL 4.852 and tax liability amounting to TL 3.999.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVI. EXPLANATIONS ON SEGMENT REPORTING (Continued)

	Retail Banking	Corporate and Commercial Banking	Treasury	Other (*)	Total operations of the Branch
31 December 2016					
Interest Income	15	2.298	25.784	-	28.097
Net Fees and Commissions Income	-	9.694	-	-	9.694
Other Operating Income and Trading Income/(Loss) (Net)	-	9.428	-	-	9.428
Operating Revenue	**15**	**21.420**	**25.784**	**-**	**47.219**
Interest Expense	(14)	(479)	(27)	-	(520)
Other Operating Expense and Provision for Loan Losses and Other Receivables	(1.363)	(7.720)	(2.269)	-	(11.352)
Operating Expense	**(1.377)**	**(8.199)**	**(2.296)**	**-**	**(11.872)**
Operating Profit	**(1.362)**	**13.221**	**23.488**	**-**	**35.347**
	-	-	-	-	-
Profit Before Tax	**-**	**-**	**-**	**35.347**	**35.347**
Corporate Tax	-	-	-	(6.979)	(6.979)
Minority Rights	-	-	-	-	-
Net Profit	**-**	**-**	**-**	**28.368**	**28.368**
Segment Assets (*)	5.264	2.700	508.208	9.960	526.132
Investment in Associates and Subsidiaries	-	-	-	-	-
Total Assets	**5.264**	**2.700**	**508.208**	**9.960**	**526.132**
Segment Liabilities (*)	6.768	33.176	237.356	8.860	286.160
Shareholders' Equity	-	-	-	239.972	239.972
Total Liabilities	**6.768**	**33.176**	**237.356**	**248.832**	**526.132**

(*) "Segment Assets" in "Other" column amounting to TL 9.960 include tangible assets amounting to TL 8.226, intangible assets amounting to TL 388, tax assets amounting to TL 698 and other assets amounting to TL 648; "Segment Liabilities" in the "Other" column amounting to TL 8.860 include other liabilities amounting to TL 1.503, provisions amounting to TL 3.749 and tax liability amounting to TL 3.608.

XXVII. RECLASSIFICATIONS

There are no reclassifications to the 31 December 2016 financial statements in order to be in conformity with the financial statements as of 31 December 2017.

XXVIII. OTHER INFORMATION

None.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION FOUR

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY:

Total capital and capital adequacy ratio have been calculated in accordance with the "Regulation on Equity of Banks" and "Regulation on Measurement and Assessment of Capital Adequacy of Banks".

The capital adequacy ratio of the Branch is 62,83% (31 December 2016: 80,21%)

	31 December 2017	Amount for application before 1/1/2014
Common Equity Tier I Capital	**293.283**	
Paid-in Capital to be Entitled for Compensation after All Creditors	200.000	
Share Premiums	-	
Reserves	698	
Gains reflected to equity according to Turkish Accounting Standards (TAS)		
Profit	92.585	
Current Period Profit	52.889	
Prior Period Profit	39.696	
Bonus Shares from Associates, Subsidiaries and Joint-Ventures not Accounted in Current Period's Profit	-	
Minority Interest	-	
Common Equity Tier I Capital Before Deductions	**293.283**	
Deductions From Common Equity Tier I Capital		
Valuation adjustments calculated as per the article 9. (i) of the Regulation on Bank Capital	-	-
Current and Prior Periods' Losses not Covered by Reserves, and Losses Accounted under Equity according to TAS (-)	(908)	-
Leasehold Improvements on Operational Leases (-)	-	-
Goodwill Netted with Deferred Tax Liabilities	-	-
Other Intangible Assets Netted with Deferred Tax Liabilities Except Mortgage Servicing Rights	(362)	(362)
Net Deferred Tax Asset/Liability (-)	(530)	-
Differences arise when assets and liabilities not held at fair value, are subjected to cash flow hedge accounting	-	-
Total credit losses that exceed total expected loss calculated according to the Regulation on Calculation of Credit Risk by Internal Ratings Based Approach	-	-
Securitization gains	-	-
Unrealized gains and losses from changes in bank's liabilities' fair values due to changes in creditworthiness	-	-
Net amount of defined benefit plans	-	-
Direct and Indirect Investments of the Bank on its own Tier I Capital (-)	-	-
Shares Obtained against Article 56, Paragraph 4 of the Banking Law (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Mortgage Servicing Rights Exceeding the 10% Threshold of Tier I Capital (-)	-	-
Net Deferred Tax Assets arising from Temporary Differences Exceeding the10% Threshold of Tier I Capital (-)	-	-
Amount Exceeding the 15% Threshold of Tier I Capital as per the Article 2, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital not deducted from Tier I Capital (-)	-	-
Mortgage Servicing Rights not deducted (-)	-	-
Excess Amount arising from Deferred Tax Assets from Temporary Differences (-)	-	-
Other items to be Defined by the BRSA (-)	-	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	31 December 2017	Amount for application before 1/1/2014
Deductions from Tier I Capital in cases where there are no adequate Additional Tier I or Tier II Capitals (-)	-	
Total Deductions from Common Equity Tier I Capital	**(1.800)**	
Total Common Equity Tier I Capital	**291.483**	
ADDITIONAL TIER I CAPITAL		
Preferred Stock not Included in Common Equity Tier I Capital and the Related Share Premiums	-	
Debt Instruments and the Related Issuance Premiums Defined by the BRSA	-	
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Covered by Temporary Article 4)	-	
Third parties' shares in additional main capital		
The shares of third parties in additional main capital (those under Temporary Article 3)	-	
Additional Tier I Capital before Deductions	-	
Deductions from Additional Tier I Capital		
Direct and Indirect Investments of the Bank on its own Additional Tier I Capital (-)	-	-
Investments in Equity Instruments Issued by Banks or Financial Institutions Invested in Bank's Additional Tier I Capital and Having Conditions Stated in the Article 7 of the Regulation	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital (-)	-	-
Other items to be defined by the BRSA (-)	-	-
Items to be Deducted from Tier I Capital during the Transition Period		
Goodwill and Other Intangible Assets and Related Deferred Taxes not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	(90)	-
Net Deferred Tax Asset/Liability not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	(132)	-
Deduction from Additional Tier I Capital when there is not enough Tier II Capital (-)	-	-
Total Deductions from Additional Tier I Capital	**(222)**	
Total Additional Tier I Capital	-	-
Total Tier I Capital (Tier I Capital= Common Equity Tier I Capital + Additional Tier I Capital)	**291.261**	
TIER II CAPITAL	-	
Debt Instruments and the Related Issuance Premiums Defined by the BRSA	-	
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Covered by Temporary Article 4)	-	
Provisions (Amounts explained in the first paragraph of the article 8 of the Regulation on Bank Capital)	2.159	
Total Deductions from Tier II Capital	**2.159**	
Deductions from Tier II Capital	-	
Direct and Indirect Investments of the Bank on its own Tier II Capital (-)	-	-
Investments in Equity Instruments Issued by Banks and Financial Institutions Invested in Bank's Tier II Capital and Having Conditions Stated in the Article 8 of the Regulation	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital and Tier II Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of Tier I Capital (-)	-	-
Other items to be defined by the BRSA (-)	-	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	31 December 2017	Amount for application before 1/1/2014
Total Deductions from Tier II Capital	**-**	
Total Tier II Capital	**2.159**	
Total Equity (Total Tier I and Tier II Capital)	**293.420**	
Total Tier I Capital and Tier II Capital (Total Equity)		
Loans Granted against the Articles 50 and 51 of the Banking Law (-)	-	
Net Book Values of Movables and Immovables Exceeding the Limit Defined in the Article 57, Clause 1 of the Banking Law and the Assets Acquired against Overdue Receivables and Held for Sale but Retained more than Five Years (-)	-	
Other items to be Defined by the BRSA (-)	-	
Items to be Deducted from the Sum of Tier I and Tier II Capital (Capital) During the Transition Period	-	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Tier I Capital, Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital, of the Net Deferred Tax Assets arising from Temporary Differences and of the Mortgage Servicing Rights not deducted from Tier I Capital as per the Temporary Article 2, Clause 2, Paragraph (1) and (2) and Temporary Article 2, Clause 1 of the Regulation (-)	-	-
CAPITAL		
Total Capital (Total of Tier I Capital and Tier II Capital)	293.420	-
Total Risk Weighted Assets	467.013	-
CAPITAL ADEQUACY RATIOS		-
CET1 Capital Ratio (%)	62,41	-
Tier I Capital Ratio (%)	62,37	-
Capital Adequacy Ratio (%)	62,83	-
BUFFERS		-
Bank-specific total CET1 Capital Ratio	-	-
Capital Conservation Buffer Ratio (%)	1,25	-
Bank-specific Counter-Cyclical Capital Buffer Ratio (%)	-	-
Additional CET1 Capital Over Total Risk Weighted Assets Ratio Calculated According to the Article 4 of Capital Conservation and Counter-Cyclical Capital Buffers Regulation	-	-
Amounts Lower Than Excesses as per Deduction Rules		
Remaining Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital	-	-
Remaining Total of Net Long Positions of the Investments in Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% or less of the Issued Share Capital	-	-
Remaining Mortgage Servicing Rights	-	-
Net Deferred Tax Assets arising from Temporary Differences	-	-
Limits for Provisions Used in Tier II Capital Calculation		
General Loan Provisions for Exposures in Standard Approach (before limit of one hundred and twenty five per ten thousand)	-	-
General Loan Provisions for Exposures in Standard Approach Limited by 1.25% of Risk Weighted Assets	2.159	-
Total Loan Provision that Exceeds Total Expected Loss Calculated According to Communiqué on Calculation of Credit Risk by Internal Ratings Based Approach	-	-
Total Loan Provision that Exceeds Total Expected Loss Calculated According to Communiqué on Calculation of Credit Risk by Internal Ratings Based Approach, Limited by 0.6% Risk Weighted Assets	-	-
Debt Instruments Covered by Temporary Article 4 (effective between 1.1.2018-1.1.2022)		
Upper Limit for Additional Tier I Capital Items subject to Temporary Article 4	-	-
Amount of Additional Tier I Capital Items Subject to Temporary Article 4 that Exceeds Upper Limit	-	-
Upper Limit for Additional Tier II Capital Items subject to Temporary Article 4	-	-
Amount of Additional Tier II Capital Items Subject to Temporary Article 4 that Exceeds Upper Limit	-	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	31 December 2016
Common Equity Tier I Capital	**240.394**
Paid-in Capital to be Entitled for Compensation after All Creditors	200.000
Share Premium	-
Share Cancellation Profits	-
Reserves	724
Other Comprehensive Income according to TAS	-
Profit	39.670
Current Period Profit	28.368
Prior Period Profit	11.302
General Reserves for Possible Losses	-
Bonus Shares from Associates, Subsidiaries and Joint-Ventures not Accounted in Current Period's Profit	-
Common Equity Tier I Capital Before Deductions	240.394
Deductions From Common Equity Tier I Capital	
Current and Prior Periods' Losses not Covered by Reserves, and Losses Accounted under Equity according to TAS (-)	(422)
Leasehold Improvements on Operational Leases (-)	-
Goodwill and Other Intangible Assets and Related Deferred Taxes (-)	-
Net Deferred Tax Asset/Liability (-)	-
Shares Obtained against Article 56, Paragraph 4 of the Banking Law (-)	-
Direct and Indirect Investments of the Bank on its own Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
Mortgage Servicing Rights Exceeding the 10% Threshold of Tier I Capital (-)	(233)
Net Deferred Tax Assets arising from Temporary Differences Exceeding the10% Threshold of Tier I Capital (-)	(419)
Amount Exceeding the 15% Threshold of Tier I Capital as per the Article 2, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital not deducted from Tier I Capital (-)	-
Mortgage Servicing Rights not deducted (-)	-
Excess Amount arising from Deferred Tax Assets from Temporary Differences (-)	-
Other items to be Defined by the BRSA (-)	-
Deductions from Tier I Capital in cases where there are no adequate Additional Tier I or Tier II Capitals (-)	-
Total Deductions from Common Equity Tier I Capital	(1.074)
Total Common Equity Tier I Capital	**239.320**
ADDITIONAL TIER I CAPITAL	-
Preferred Stock not Included in Common Equity Tier I Capital and the Related Share Premiums	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Issued or Obtained after 1.1.2014)	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Issued or Obtained before 1.1.2014)	-
Additional Tier I Capital before Deductions	-
Deductions from Additional Tier I Capital	
Direct and Indirect Investments of the Bank on its own Additional Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital (-)	-
Other items to be Defined by the BRSA (-)	-
Deductions from Additional Tier I Capital in cases where there are no adequate Tier II Capital (-)	-
Total Deductions from Additional Tier I Capital	-
Total Additional Tier I Capital	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	31 December 2016
Deductions from Tier I Capital	**(434)**
Goodwill and Other Intangible Assets and Related Deferred Taxes not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	**(155)**
Net Deferred Tax Asset/Liability not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	**(279)**
Total Tier I Capital	**238.886**
General Provisions	1.797
Tier II Capital before Deductions	**1.797**
Deductions from Tier II Capital	
Direct and Indirect Investments of the Bank on its own Tier II Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital and Tier II Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of Tier I Capital (-)	-
Other items to be Defined by the BRSA (-)	-
Total Deductions from Tier II Capital	-
Total Tier II Capital	**1.797**
CAPITAL BEFORE DEDUCTIONS	**240.683**
Loans Granted against the Articles 50 and 51 of the Banking Law (-)	-
Net Book Values of Movables and Immovables Exceeding the Limit Defined in the Article 57, Clause 1 of the Banking Law and the Assets Acquired against Overdue Receivables and Held for Sale but Retained more than Five Years (-)	-
Loans to Banks, Financial Institutions (domestic/foreign) or Qualified Shareholders in the form of Subordinated Debts or Debt Instruments Purchased from Such Parties and Qualified as Subordinated Debts (-)	-
Deductions as per the Article 20, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-
Other items to be Defined by the BRSA (-)	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Tier I Capital, Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital, of the Net Deferred Tax Assets arising from Temporary Differences and of the Mortgage Servicing Rights not deducted from Tier I Capital as per the Temporary Article 2, Clause 2, Paragraph (1) and (2) and Temporary Article 2, Clause 1 of the Regulation (-)	-
TOTAL CAPITAL	**240.683**
Amounts lower than Excesses as per Deduction Rules	**-**
Remaining Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital	-
Remaining Total of Net Long Positions of the Investments in Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% or less of the Issued Share Capital	-
Remaining Mortgage Servicing Rights	-
Net Deferred Tax Assets arising from Temporary Differences	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

b. Reconciliation of capital items to balance sheet:

Current Period	Carrying value	Amount of correction	Value of the capital report	Explanation of differences
Paid-in capital	200.000	-	200.000	
Capital Reserves	-	-	-	
Other Comprehensive Income According to TAS	**(602)**	-	**(602)**	
Securities Value Increase Fund	(602)	-	(602)	
Revaluation Surplus on Tangible Assets	-	-	-	
Revaluation Surplus on Intangible Assets	-	-	-	
Revaluation Surplus on Investment Property	-	-	-	
Hedging Reserves (Effective Portion)	-	-	-	
Revaluation Surplus on Assets Held for Sale and Assets of Discontinued Operations	-	-	-	
Other Capital Reserves	(306)	-	(306)	
Bonus Shares of Associates, Affiliates and Joint-Ventures	-	-	-	
Share Premium	-	-	-	
Profit Reserves	698	-	698	
Profit or Loss	92.585	-	92.585	
Prior Periods Profit/Loss	39.696	-	39.696	
Current Period Net Profit/Loss	52.889	-	52.889	
Minority Shares	-	-	-	
Deductions from Common Equity Tier I Capital (-)	(892)		(892)	
Common Equity Tier I Capital	**291.483**		**291.483**	

Current Period	Carrying value	Amount of correction	Value of the capital report	Explanation of differences
Subordinated Debts			-	
Deductions from Tier I Capital (-)			(222)	
Tier I Capital			-	
Subordinated Debts			-	
General Provisions			2.159	
Deductions from Tier II Capital (-)			-	
Tier II Capital			**2.159**	
Deductions from Total Capital (-)			**(222)**	
Total			**293.420**	

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

Prior Period	**Carrying value**	**Amount of correction**	**Value of the capital report**	**Explanation of differences**
Paid-in capital	200.000	-	200.000	
Capital Reserves	-	-	-	
Other Comprehensive Income According to TAS	**(169)**	**-**	**(169)**	
Securities Value Increase Fund	(169)	-	(169)	
Revaluation Surplus on Tangible Assets	-	-	-	
Revaluation Surplus on Intangible Assets	-	-	-	
Revaluation Surplus on Investment Property	-	-	-	
Hedging Reserves (Effective Portion)	-	-	-	
Revaluation Surplus on Assets Held for Sale and Assets of Discontinued Operations	-	-	-	
Other Capital Reserves	(253)	-	(253)	
Bonus Shares of Associates, Affiliates and Joint-Ventures	-	-	-	
Share Premium	-	-	-	
Profit Reserves	724	-	724	
Profit or Loss	39.670	-	39.670	
Prior Periods Profit/Loss	11.302	-	11.302	
Current Period Net Profit/Loss	28.368	-	28.368	
Minority Shares	-	-	-	
Deductions from Common Equity Tier I Capital (-)	(652)		(652)	
Common Equity Tier I Capital	**239.320**		**239.320**	

Prior Period	**Carrying value**	**Amount of correction**	**Value of the capital report**	**Explanation of differences**
Subordinated Debts			-	
Deductions from Tier I Capital (-)			(434)	
Tier I Capital			**-**	
Subordinated Debts			-	
General Provisions			1.797	
Deductions from Tier II Capital (-)			-	
Tier II Capital			**1.797**	
Deductions from Total Capital (-)			**(434)**	
Total			**240.683**	

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

c. Approaches applied to assess the adequacy of internal capital requirement in terms of current and future activities

The Branch prepares 'Internal Capital Assessment Process' document on the basis of 'Risk Management Policies and Implementation Procedures' approved by the Board of Managers on November 27, 2012 and updated on November 20, 2017. It has been aimed to determine the needed capital size in the period of next one year by evaluating and calculating effectively all risks that Branch will be met due to this document. Branch prepared taking into account the latest information 2015 "2016, 2017, 2018 Internal Capital Requirement Analysis" March 30, 2016, No. 7 was accepted by the Board of Managers. Branch prepared taking into account the latest information 2016 "2017, 2018, 2019 Internal Capital Requirement Analysis" March 31, 2017, No. 13 was accepted by the Board of Managers.

In the Analysis of Internal Capital Requirement, the Branch's activities and services, the main and sub-risk elements that may be exposed to them and the current legal capital requirement are analyzed based on the recent developments over the financial data of the previous year and the forecasts and anticipations calculated for the next three years of operation within the scope of the scenario submitted by BRSA. Besides of these matters, the main and sub-types of risk that has been considered for Branch, and the quantification of these risks are included in the calculation of internal capital requirements for these risks has been placed. It has been considered credit risk (in general, country), market risk (currency and interest rate) and operational risk in addition to banking accounts that cannot quantify with re-pricing risk with reputational risk.

II. EXPLANATIONS ON CREDIT RISK:

a. The branch tries to reduce credit risk by classifying the credibility with high banks and financial institutions. The Branch requires additional guarantees from the real persons and entities that the Branch extends loans to who were assessed as high risk after performing detailed risk ratings on individual loans. Due to the imposed sanctions, the credit transactions of the Branch decreased after 2014.

The credit worthiness of borrowers is monitored regularly. Audited information is obtained for the new rendered loans if possible. Unaudited information is examined in detail by loan department of the Branch.

b. At 31 December 2017, the Branch has no forward and option contracts or any other similar agreements.

c. At 31 December 2017, the Branch has been faced with an insignificant amount of credit risk exposure.

d. The Branch subjects the non-cash loans which are reimbursed, to the same risk weight as the loans which are passed due but not collected.

Rescheduled or restructured loans are monitored by the Branch according to the risk management and monitoring principles of the Branch. The financial conditions and commercial operations of the related customers are continuously analysed where interest and capital payments according to new payment plans are closely monitored.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK: (Continued)

e. The Branch's transactions in foreign countries with regard to banking operations and credit facilities are mainly held with corporations based in Islamic Republic of Iran, where the head office of the Branch is also based.

f. The Branch is not active in international banking market.

g. 1. The proportion of the largest 100 cash loan balances in the total cash loan portfolio of the Branch is 100% (31 December 2016: 100%).

2. The proportion of the largest 100 non-cash loan balances in the total non-cash loan portfolio of the Branch is 100% (31 December 2016: 100%).

3. The proportion of the cash and non-cash loan balances in the total assets and non-cash loans is 1,67% (31 December 2016: 2,50%).

h. The general loan loss provision amount provided for credit risk is TL 2.159 (31 December 2016: TL 1.797).

Exposure Categories (Current Year)	**Current Period Risk Amount (*)**	**Current Period Average Risk Amount (**)**
Conditional and unconditional receivables from central governments or central banks	221.283	160.181
Conditional and unconditional receivables from regional or local governments	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-
Conditional and unconditional receivables from multilateral development banks	-	-
Conditional and unconditional receivables from international organizations	-	-
Conditional and unconditional receivables from banks and brokerage houses	763.224	632.525
Conditional and unconditional receivables from corporates	3.138	1.420
Conditional and unconditional retail receivables	4.350	3.419
Conditional and unconditional receivables secured by mortgages	-	-
Past due receivables	8.706	5.552
Items in regulatory high-risk categories	-	-
Exposures in the form of bonds secured by mortgages	-	-
Securitization positions	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-
Exposures in the form of collective investment undertakings	-	-
Shares	1.237	876
Other items	36.421	37.363
Total	**1.038.359**	**841.336**

(*) Includes total risk amounts before the effect of credit risk mitigation but after credit conversions.
(**) Average risk amounts are the arithmetical average of the amounts in monthly reports prepared according to "the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

Exposure Categories (Current Year)	**Current Period Risk Amount (*)**	**Current Period Average Risk Amount (**)**
Conditional and unconditional receivables from central governments or central banks	127.116	150.734
Conditional and unconditional receivables from regional or local governments	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-
Conditional and unconditional receivables from multilateral development banks	-	-
Conditional and unconditional receivables from international organizations	-	-
Conditional and unconditional receivables from banks and brokerage houses	350.561	256.734
Conditional and unconditional receivables from corporates	6.400	8.631
Conditional and unconditional retail receivables	498	848
Conditional and unconditional receivables secured by mortgages	-	-
Past due receivables	4.451	4.417
Items in regulatory high-risk categories	-	-
Exposures in the form of bonds secured by mortgages	-	-
Securitization positions	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-
Exposures in the form of collective investment undertakings	-	-
Shares	654	655
Other items	22.077	23.490
Total	**511.757**	**445.509**

(*) Includes total risk amounts before the effect of credit risk mitigation but after credit conversions.
(**) Average risk amounts are the arithmetical average of the amounts in monthly reports prepared according to "the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

i. Profile of significant exposures in major regions:

	Exposure Categories (*)																
31 December 2017	Conditional and unconditional receivables from central governments or central banks	Conditional and unconditional receivables from regional or local governments	Conditional and unconditional receivables from administrative units and non-commercial enterprises	Conditional and unconditional receivables from multilateral development banks	Conditional and unconditional receivables from international organizations	Conditional and unconditional receivables from banks and brokerage houses	Conditional and unconditional receivables from corporates	Conditional and unconditional retail receivables	Conditional and unconditional receivables secured by mortgages	Past due receivables	Receivables defined in high risk category by BRSA	Securities collateralized by mortgages	Securitization positions	Short-term receivables from banks, brokerage houses and corporates	Investments similar to collective investment funds	Other receivables	Total
Current Period																	
1. Domestic	221.283	-	-	-	-	592.437	3.138	4.135	-	8.706	-	-	-	-	-	36.421	866.120
2. European Union (EU)	-	-	-	-	-	126.319	-	-	-	-	-	-	-	-	-	-	126.319
3. OECD Countries (**)	-	-	-	-	-	34	-	-	-	-	-	-	-	-	-	-	34
4. Off-Shore Banking Regions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5. USA, Canada	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6. Other Countries	1.491	-	-	-	-	44.180	-	215	-	-	-	-	-	-	-	-	45.886
7. Associates, Subsidiaries and Joint –Ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
8. Unallocated Assets/Liabilities (***)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	**222.774**	**-**	**-**	**-**	**-**	**762.970**	**3.138**	**4.350**	**-**	**8.706**	**-**	**-**	**-**	**-**	**-**	**36.421**	**1.038.359**

(*) The risk classes in the Regulation on Measurement and Evaluation of Capital Adequacy of Banks shall be taken into consideration.
(**) Includes OECD countries other than EU countries, USA and Canada
(***) Includes asset and liability items that can not be allocated on a consistent basis.

	Exposure Categories (*)																
31 December 2016	Conditional and unconditional receivables from central governments or central banks	Conditional and unconditional receivables from regional or local governments	Conditional and unconditional receivables from administrative units and non-commercial enterprises	Conditional and unconditional receivables from multilateral development banks	Conditional and unconditional receivables from international organizations	Conditional and unconditional receivables from banks and brokerage houses	Conditional and unconditional receivables from corporates	Conditional and unconditional retail receivables	Conditional and unconditional receivables secured by mortgages	Past due receivables	Receivables defined in high risk category by BRSA	Securities collateralized by mortgages	Securitization positions	Short-term receivables from banks, brokerage houses and corporates	Investments similar to collective investment funds	Other receivables	Total
Prior Period																	
1. Domestic	126.021	-	-	-	-	321.520	7.700	490	-	7.332	-	-	-	-	-	22.731	485.794
2. European Union (EU)	-	-	-	-	-	482	-	-	-	-	-	-	-	-	-	-	482
3. OECD Countries (**)	-	-	-	-	-	28	-	-	-	-	-	-	-	-	-	-	28
4. Off-Shore Banking Regions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5. USA, Canada	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6. Other Countries	-	-	-	-	-	25.173	256	24	-	-	-	-	-	-	-	-	25.453
7. Associates, Subsidiaries and Joint –Ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
8. Unallocated Assets/Liabilities (***)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	**126.021**	**-**	**-**	**-**	**-**	**347.203**	**7.956**	**514**	**-**	**7.332**	**-**	**-**	**-**	**-**	**-**	**22.731**	**511.757**

(*) The risk classes in the Regulation on Measurement and Evaluation of Capital Adequacy of Banks shall be taken into consideration.
(**) Includes OECD countries other than EU countries, USA and Canada
(***) Includes asset and liability items that can not be allocated on a consistent basis.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

j. Risk profile by sectors or counterparties:

	Exposure Categories (*)																		
Current Period	**Conditional and unconditional receivables from central governments or central**	**Conditional and unconditional receivables from regional or local governments**	**Conditional and unconditional receivables from administrative units and non-commercial enterprises**	**Conditional and unconditional receivables from multilateral development banks**	**Conditional and unconditional receivables from international organizations**	**Conditional and unconditional receivables from banks and brokerage houses**	**Conditional and unconditional receivables from banks and brokerage houses**	**Conditional and unconditional retail receivables**	**Conditional and unconditional receivables secured by mortgages**	**Past due receivables**	**Receivables defined in high risk category by BRSA**	**Securities collateralized by mortgages**	**Securitization positions**	**Short-term receivables from banks, brokerage houses and corporates**	**Investments similar to collective investment funds**	**Other receivables**	**TL**	**FC**	**Total**
Agriculture	-	-	-	-	-	-	-	-	-	108	-	-	-	-	-	-	108	-	108
Farming and Stockbreeding	-	-	-	-	-	-	-	-	-	108	-	-	-	-	-	-	108	-	108
Forestry	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Fishery	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	-	-	-	2	-	1.325	-	-	-	-	-	-	1.327	-	1.327
Mining and Quarrying	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Production	-	-	-	-	-	-	-	2	-	1.325	-	-	-	-	-	-	1.327	-	1.327
Electricity, Gas and Water	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Construction	-	-	-	-	-	-	-	571	-	-	-	-	-	-	-	-	571	-	571
Services	127.138	-	-	-	-	593.636	4.629	2.950	-	7.016	-	-	1.237	-	-	-	509.203	227.403	736.606
Wholesale and Retail Trade	-	-	-	-	-	-	4.491	2.833	-	7.016	-	-	-	-	-	-	9.914	4.426	14.340
Accommodation and Dining	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Transportation and Telecom.	-	-	-	-	-	-	138	87	-	-	-	-	-	-	-	-	100	125	225
Financial Institutions	127.138	-	-	-	-	593.636	-	-	-	-	-	-	1.237	-	-	-	499.159	222.852	722.011
Real Estate and Rental Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Professional Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Educational Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	30	-	-	-	-	-	-	-	-	30	-	30
Others	94.145	-	-	-	-	168.097	-	827	-	257	-	-	-	-	-	36.421	25.744	274.003	299.747
Total	**221.283**	**-**	**-**	**-**	**-**	**761.733**	**4.629**	**4.350**	**-**	**8.706**	**-**	**-**	**1.237**	**-**	**-**	**36.421**	**536.953**	**501.406**	**1.038.359**

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

	Exposure Categories (*)																		
Prior Period	**Conditional and unconditional receivables from central governments or central**	**Conditional and unconditional receivables from regional or local governments**	**Conditional and unconditional receivables from administrative units and non-commercial enterprises**	**Conditional and unconditional receivables from multilateral development banks**	**Conditional and unconditional receivables from international organizations**	**Conditional and unconditional receivables from banks and brokerage houses**	**Conditional and unconditional receivables from banks and brokerage houses**	**Conditional and unconditional retail receivables**	**Conditional and unconditional receivables secured by mortgages**	**Past due receivables**	**Receivables defined in high risk category by BRSA**	**Securities collateralized by mortgages**	**Securitization positions**	**Short-term receivables from banks, brokerage houses and corporates**	**Investments similar to collective investment funds**	**Other receivables**	**TL**	**FC**	**Total**
Agriculture	-	-	-	-	-	-	-	-	-	107	-	-	-	-	-	-	107	-	107
Farming and Stockbreeding	-	-	-	-	-	-	-	-	-	107	-	-	-	-	-	-	107	-	107
Forestry	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Fishery	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	-	-	1.698	-	-	-	-	-	-	-	-	-	698	1.000	1.698
Mining and Quarrying	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Production	-	-	-	-	-	-	1.698	-	-	-	-	-	-	-	-	-	698	1.000	1.698
Electricity, Gas and Water	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Construction	-	-	-	-	-	-	1.621	-	-	257	-	-	-	-	-	-	1.878	-	1.878
Services	-	-	-	-	-	346.986	4.606	-	-	375	-	-	-	-	-	22.731	221.166	153.533	374.698
Wholesale and Retail Trade	-	-	-	-	-	-	4.108	-	-	375	-	-	-	-	-	-	4.108	375	4.483
Accommodation and Dining	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Transportation and Telecom.	-	-	-	-	-	-	458	-	-	-	-	-	-	-	-	-	64	394	458
Financial Institutions	-	-	-	-	-	346.986	-	-	-	-	-	-	-	-	-	22.731	216.953	152.764	369.717
Real Estate and Rental Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Professional Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Educational Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	40	-	-	-	-	-	-	-	-	-	40	-	40
Others	126.021	-	-	-	-	217	31	514	-	6.593	-	-	-	-	-	-	92.587	40.789	133.376
Total	**126.021**	**-**	**-**	**-**	**-**	**347.203**	**7.956**	**514**	**-**	**7.332**	**-**	**-**	**-**	**-**	**-**	**22.731**	**316.435**	**195.322**	**511.757**

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira (“TL”).

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

k. Analysis of maturity-bearing exposures according to remaining maturities:

	Term to Maturity				
31 December 2017	**1 month**	**1–3 months**	**3–6 mounts**	**6–12 months**	**Over 1 year**
Exposure Classifications (*) (**)					
Conditional and unconditional receivables from central governments or central banks	-	-	19.429	40.687	40.111
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	178.966	118.172	71.813	18.401	-
Conditional and unconditional receivables from corporates	68	-	-	-	-
Conditional and unconditional retail receivables	85	215	16	1.442	2.154
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-
Past due receivables	-	-	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-
Securities collateralized by mortgages	-	-	-	-	-
Securitization positions	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-
Other receivables	-	-	-	-	-
TOTAL	**179.119**	**118.387**	**91.258**	**60.530**	**42.265**

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.
(**) Credit risk amounts which have no maturities do not comprise in the table.

	Term to Maturity				
31 December 2016	**1 month**	**1–3 months**	**3–6 mounts**	**6–12 months**	**Over 1 year**
Exposure Classifications (*) (**)					
Conditional and unconditional receivables from central governments or central banks	-	5.087	14.789	-	40.250
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	54.451	117.830	65.032	1	-
Conditional and unconditional receivables from corporates	492	632	1.020	1.551	47
Conditional and unconditional retail receivables	-	25	3	87	215
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-
Past due receivables	-	-	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-
Securities collateralized by mortgages	-	-	-	-	-
Securitization positions	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-
Other receivables	-	-	-	-	-
TOTAL	**54.943**	**123.574**	**80.844**	**1.639**	**40.512**

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.
(**) Credit risk amounts which have no maturities do not comprise in the table.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

l. Exposure Categories:

External risk ratings are not used to determine the risk weights of the risk categories as per the Article 6 of the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

m. Exposures by risk weights:

Current Period Risk weights	**0%**	**10%**	**20%**	**50%**	**75%**	**100%**	**150%**	**200%**	**1250%**	**Deductions from Equity**
Exposures before Credit Risk Mitigation	243.743	-	486.711	41.224	-	256.920	458	-	-	-
Exposures after Credit Risk Mitigation	244.184	-	486.711	41.224	-	256.479	458	-	-	-

Prior Period Risk weights	**0%**	**10%**	**20%**	**50%**	**75%**	**100%**	**150%**	**200%**	**1250%**	**Deductions from Equity**
Exposures before Credit Risk Mitigation	99.047	-	159.159	78.387	-	174.949	215	-	-	-
Exposures after Credit Risk Mitigation	100.689	-	159.159	78.387	-	173.307	215	-	-	-

n. Information by major sectors and type of counterparties:

As per the TAS and TFRS;

Impaired Credits; are the credits that either overdue more than 90 days as of the reporting date or are treated as impaired due to their creditworthiness. For such credits, "specific provisions" are allocated as per the Provisioning Regulation.

Past Due Credits; are the credits that overdue up to 90 days but not impaired. For such credits, "general provisions" are allocated as per the Provisioning Regulation.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

31 December 2017	Credits			
	Impaired Credits	Past Due Credits	Value Adjustments (*)	Provisions(**)
Agriculture	**108**	**-**	**-**	**108**
Farming and Stockbreeding	108	-	-	108
Forestry	-	-	-	-
Fishery	-	-	-	-
Manufacturing	**1.325**	**-**	**-**	**362**
Mining and Quarrying	-	-	-	-
Production	1.325	-	-	362
Electricity, Gas and Water	-	-	-	-
Construction	**-**	**-**	**-**	**-**
Services	**6.614**	**-**	**-**	**2.627**
Wholesale and Retail Trade	6.614	-	-	2.627
Accommodation and Dining	-	-	-	-
Transportation and Telecom.	-	-	-	-
Financial Institutions	-	-	-	-
Real Estate and Rental Services	-	-	-	-
Professional Services	-	-	-	-
Educational Services	-	-	-	-
Health and Social Services	-	-	-	-
Others	**258**	**-**	**-**	**75**
Total	**8.305**	**-**	**-**	**3.172**

(*) The figures represent the general provision amount for past due loans.
(**) The figures represent the specific provisions amount for impaired loans.
(***) The figures represent the non-cash loan risk is not included in the related table.

31 December 2016	Credits			
	Impaired Credits	Past Due Credits	Value Adjustments (*)	Provisions(**)
Agriculture	**-**	**-**	**-**	**-**
Farming and Stockbreeding	-	-	-	-
Forestry	-	-	-	-
Fishery	-	-	-	-
Manufacturing	**-**	**-**	**-**	**-**
Mining and Quarrying	-	-	-	-
Production	-	-	-	-
Electricity, Gas and Water	-	-	-	-
Construction	**6.699**	**-**	**-**	**2.712**
Services	**-**	**-**	**-**	**-**
Wholesale and Retail Trade	-	-	-	-
Accommodation and Dining	-	-	-	-
Transportation and Telecom.	-	-	-	-
Financial Institutions	-	-	-	-
Real Estate and Rental Services	-	-	-	-
Professional Services	-	-	-	-
Educational Services	-	-	-	-
Health and Social Services	-	-	-	-
Others	**258**	**1.545**	**-**	**105**
Total	**6.957**	**1.545**	**-**	**2.817**

(*) The figures represent the general provision amount for past due loans.
(**) The figures represent the specific provisions amount for impaired loans.
(***) The figures represent the non-cash loan risk is not included in the related table.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

o. Movements in value adjustments and provisions:

Current Period	Opening Balance	Provision for Period	Provision Reversals	Other Adjustments	Closing Balance
Specific Provisions	2.787	388	(3)	-	3.172
General Provisions	1.797	1.281	(919)	-	2.159

Prior Period	Opening Balance	Provision for Period	Provision Reversals	Other Adjustments	Closing Balance
Specific Provisions	3.156	107	(476)	-	2.787
General Provisions	2.287	1.374	(1.864)	-	1.797

III. EXPLANATIONS ON CURRENCY RISK:

The Branch with the change in the currency system to floating currency, limits the total foreign currency position in accordance with the legal limits because of the increasing uncertainties in the changing currency path. The Branch does not hedge its foreign exchange debt instruments and net foreign exchange investments by the hedging derivatives.

The Branch holds position in line with the currency basket of CBRT to hedge the currency risk. Foreign Exchange asset-liability management has been effected as such all rates may be kept to be within liquidity and credit risks determined within the framework of risk-return profile of the Branch and in a way to ensure the sustainable profitability. Measurable and manageable risks have been undertaken as per the ratios that must be adhered to.

The foreign currency position risk of the Branch is monitored as per the limits and measured by "standard method"

The Branch's foreign exchange bid rates as of the date of the financial statements and for the last five days prior to that date are presented below:

	USD	Euro	100 Japanese Yen	U.A.E. Dirham
As of 29 December 2017	3,7719	4,5155	3,3421	1,02780
As of 28 December 2017	3,8197	4,5385	3,3659	1,04090
As of 27 December 2017	3,8029	4,5116	3,3482	1,03640
As of 26 December 2017	3,8087	4,5205	3,3546	1,03800
As of 25 December 2017	3,8113	4,5171	3,3538	1,03870

The simple arithmetical averages of the Branch's foreign exchange bid rates for the last thirty days are:

USD	3,8457
Euro	4,5541
100 Japanese Yen	3,3992
U.A.E. Dirham	1,04799

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

III. EXPLANATIONS ON CURRENCY RISK: (Continued)

Information on the foreign currency exchange rate risk of the Branch

	Euro	USD	Other FC	Total
31 December 2017				
Assets				
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	45.938	64.203	225	110.366
Banks	360.011	26.239	98	386.348
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Available-for-Sale Financial Assets	-	-	-	-
Loans and Receivables	1.486	-	-	1.486
Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-
Held to Maturity Securities	-	-	-	-
Hedging Derivative Financial Assets	-	-	-	-
Tangible Assets	-	-	-	-
Intangible Assets	-	-	-	-
Other Assets	301	-	-	301
Total Assets	**407.736**	**90.442**	**323**	**498.501**
Liabilities				
Bank Deposits	198.964	62.845	3	261.812
Foreign Currency Deposits	183.976	9.943	500	194.419
Funds from Interbank Money Market	-	-	-	-
Borrowings	-	-	-	-
Marketable Securities Issued	-	-	-	-
Sundry Creditors	59	44	-	103
Hedging Derivative Financial Liabilities	-	-	-	-
Other Liabilities	54	359	-	413
Total Liabilities	**383.053**	**73.191**	**503**	**456.747**
Net On-Balance Sheet Position	**24.683**	**17.251**	**(180)**	**41.754**
Net Off Balance Sheet Position				
Financial Derivative Assets	-	-	-	-
Financial Derivative Liabilities	-	-	-	-
Non-Cash Loans	**2.658**	**443**	**-**	**3.101**
31 December 2016				
Total Assets	136.862	69.531	307	206.700
Total Liabilities	121.040	54.836	496	176.372
Net On-Balance Sheet Position	**15.822**	**14.695**	**(189)**	**30.328**
Net Off Balance Sheet Position				
Financial Derivative Assets	-	-	-	-
Financial Derivative Liabilities	-	-	-	-
Non-Cash Loans	**419**	**370**	**-**	**789**

The table above summarizes the Branch's exposure to foreign currency exchange rate risk, categorised by currency. Foreign currency indexed assets, classified as Turkish lira assets according to the Uniform Chart of Accounts, are considered as foreign currency assets for the calculation of net foreign currency position. As of 31 December 2017, the Branch has no foreign currency indexed loans (December 31, 2016: None) that is recorded on the TL column in the balance sheet has not been included in the table above. Besides, general loan loss provision amounting to TL 1.291 (31 December 2016: TL 32) has also not been included in the table above. The provision was determined for non-cash loan in the amount of TL 100 (31 December 2016: TL 94).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IV. EXPLANATIONS ON INTEREST RATE RISK

"Interest rate risk" is defined as the impact of interest rate changes on interest-sensitive assets and liabilities of the Branch.

The Branch evaluates interest rate in two dimensions. This is maturity risk originating from the differences of maturity structures and repricing risk originating from the fluctuations of net interest margin. Interest rate risk is managed using natural hedges that arise from offsetting interest rate sensitive assets with interest rate sensitive liabilities.

Interest rate sensitivity of assets, liabilities and off-balance sheet items (based on repricing dates):

31 December 2017	Up to 1 Month	1 – 3 Months	3 – 12 Months	1– 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	79.566	-	-	-	-	53.842	133.408
Banks	96.861	33.545	2.724	-	-	350.385	483.515
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-
Interbank Money Market Placements	-	-	-	-	-	-	-
Available-for-Sale Financial Assets	106.003	87.221	142.674	40.111	-	755	376.764
Loans and Receivables	1.514	215	624	466	-	5.133	7.952
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets (*)	-	-	-	-	-	10.999	10.999
Total Assets	**283.944**	**120.981**	**146.022**	**40.577**	**-**	**421.114**	**1.012.638**
Liabilities							
Bank Deposits	120.120	9.968	-	-	-	380.410	510.498
Other Deposits	21	-	-	-	-	197.726	197.747
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	650	650
Marketable Securities Issued	-	-	-	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-
Other Liabilities (**)	1.093	-	83	-	-	302.567	303.743
Total Liabilities	**121.234**	**9.968**	**83**	**-**	**-**	**881.353**	**1.012.638**
Balance Sheet Long Position	**162.710**	**111.013**	**145.939**	**40.577**	**-**	**-**	**460.239**
Balance Sheet Short Position	**-**	**-**	**-**	**-**	**-**	**(460.239)**	**(460.239)**
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	**162.710**	**111.013**	**145.939**	**40.577**	**-**	**(460.239)**	**-**

(*) "Other Assets'' line includes Deferred Tax Assets, Tangible Assets, Assets Held for Resale and Other Assets.
(**) Shareholders' equity is presented under "Other liabilities" item in the "Non interest bearing" column.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IV. EXPLANATIONS ON INTEREST RATE RISK (Continued)

31 December 2016	Up to 1 Month	1 – 3 Months	3 – 12 Months	1– 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	56.837	-	-	-	-	18.075	74.912
Banks	47.742	21.699	-	-	-	131.294	200.735
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-
Interbank Money Market Placements	-	-	-	-	-	-	-
Available-for-Sale Financial Assets	22.910	87.862	80.418	40.716	-	655	232.561
Loans and Receivables	353	652	2.574	215	-	4.170	7.964
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets (*)	12	-	-	-	-	9.948	9.960
Total Assets	**127.854**	**110.213**	**82.992**	**40.931**	**-**	**164.142**	**526.132**
Liabilities							
Bank Deposits	-	9.973	-	-	-	177.337	187.310
Other Deposits	806	-	868	-	-	86.607	88.281
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	1.709	1.709
Marketable Securities Issued	-	-	-	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-
Other Liabilities (**)	617	-	9	-	-	248.206	248.832
Total Liabilities	**1.423**	**9.973**	**877**	**-**	**-**	**513.859**	**526.132**
Balance Sheet Long Position	**126.431**	**100.240**	**82.115**	**40.931**	**-**	**-**	**349.717**
Balance Sheet Short Position	**-**	**-**	**-**	**-**	**-**	**(349.717)**	**(349.717)**
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	**126.431**	**100.240**	**82.115**	**40.931**	**-**	**(349.717)**	**-**

(*) "Other Assets'' line includes Tangible Assets, Deferred Tax Assets, and Other Assets.

(**) Shareholders' equity is presented under "Other liabilities" item in the "Non interest bearing" column.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IV. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Effective average interest rates for monetary financial instruments:

Interest rates in the below tables are the weighted average rates of the related balance sheet items.

31 December 2017	Euro	USD	Yen	TL
	%	%	%	%
Assets				
Cash and Central Bank of Turkey	-	1,29	-	3,94
Banks and Other Institutions	1,01	2,50	-	10,32
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Available-for-Sale Financial Assets	-	-	-	13,27
Loans and Receivables	8,00	-	-	13,57
Held to Maturity Securities	-	-	-	-
Liabilities				
Bank Deposits	-	-	-	5,89
Other Deposits	-	-	-	4,00
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	-	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-

31 December 2016	Euro	USD	Yen	TL
	%	%	%	%
Assets				
Cash and Central Bank of Turkey	-	0,49	-	4,90
Banks and Other Institutions	0,50	1,40	-	8,56
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Available-for-Sale Financial Assets	-	-	-	10,74
Loans and Receivables	9,00	-	-	16,08
Held to Maturity Securities	-	-	-	-
Liabilities				
Bank Deposits	-	0,25	-	4,50
Other Deposits	0,25	0,75	-	4,30
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	-	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IV. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Interest rate risk resulting from banking book:

According to "Regulation on Equities of Banks" published in the official gazette no 28756 dated 5 September 2013 and items followed in the trading book; interest rate risk is arising from all balance sheet and off-balance sheet items which are sensitive to interest except subordinated debts which are taken into account when equity is calculated. The interest rate risk resulting repricing risk, yield-curve risk, base risk and option risk.

Repricing Risk

The repricing risk is defined as probable loss from bank's net interest income and negative economic value caused by the interest rate fluctuations. On demand assets and liabilities in the Branch's balances sheet are not affected the fluctuations of interest rate change. Assets and liabilities, which having a fixed term, are sensitive to the repricing risk.

Yield Curve Risk

The yield curve risk is defined as probable loss from bank's net interest income and negative economic value caused by the alteration of yield curve. The Branch has not used financial instruments which are exposed to the yield curve risk. The Branch has not exposed to the yield curve risk.

Base Risk

The base risk is defined as probable loss from bank's net interest income and negative economic value caused by the base of interest rate increase or decrease in the Bank's operations. The Branch has not used the different base of the operations.

Option risk

The option risk is defined as probable loss from bank's net interest income and negative economic value caused by the option right/liability included embedded. The Branch has not used derivative instruments. There is no interest sensitive items including option except time deposit and the part of amount is immaterial.

The interest rate risk resulting from the banking book is measured legally as per the "Regulation on Measurement and Evaluation of Interest Rate Risk Resulting from Banking Book as per Standard Shock Method". Economic value differences arising from interest rate fluctuations table is prepared in accordance with "Standard Shock Method" and presented as below.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

V EXPLANATIONS ON POSITION RISK OF EQUITY SECURITIES IN BANKING BOOK:

Position risk of equity shares on banking book

a) Relation of risks with gains accounted under equity and analyzing according to their aims including strategic reasons and the accounting policies applied and general information about valuation techniques with assumptions in this application, the elements that manipulate valuation and important changes:

The branch does not have stocks that are not traded on the stock exchange.

b) For balance sheet values of equity investments, fair value and for those traded on the stock exchange, the comparison with the market price if the market value differs significantly from the fair value:

31 December 2017		**Comparison**		
	Equity Investments	**Carrying Value**	**Fair Value**	**Market Value**
1	**Securities Available for Sale**	**755**	**755**	-
	Traded on Stock Exchange	755	755	-
2	**Associates**	**-**	-	-
	Traded on Stock Exchange	-	-	-
3	**Subsidiaries**	**-**	-	-
	Traded on Stock Exchange	-	-	-

31 December 2016		**Comparison**		
	Equity Investments	**Carrying Value**	**Fair Value**	**Market Value**
1	**Securities Available for Sale**	**654**	**654**	-
	Traded on Stock Exchange	654	654	-
2	**Associates**	**-**	-	-
	Traded on Stock Exchange	-	-	-
3	**Subsidiaries**	**-**	-	-
	Traded on Stock Exchange	-	-	-

c) Realized gains/losses, revaluation surpluses and unrealized gains/losses on equity securities and results included in core and supplementary capital

None.

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

VI. EXPLANATIONS ON LIQUIDITY RISK:

The liquidity risk of the Branch is the risk of being unable to fulfill its payment obligations on time due to not having enough cash sources or cash inflows to finance its cash outflows fully and on time due to cash flow instabilities. It has been evaluated in two main categories:

Funding Liquidity Risk: It is a kind of risk which does not meet the any unexpected loss and non defaulting debts and liabilities.

Market Liquidity Risk: It is a kind of risk which consists of the position that cannot be sold without affecting market price due to insufficient market depth or market conditions' deterioration or that cannot be completed with the position of market price for any reasons.

a. Information on liquidity risk management, including the risk capacity of the branch, the responsibilities and structure of the liquidity risk management, the reporting of the liquidity risk within the bank, the liquidity risk strategy, and how the policies and practices are communicated to the board and lines of business:

The applications and responsibilities related to the liquidity risk has been determined according to the Treasury Liquidity and Market Management Policies and Practices approved by Board of Managers. The Branch's liquidity policy is to own sufficient liquidity reserve and opportunities to meet its liabilities even in cases of stress, resulting from the market conditions or other conditions specific to the Branch.

Branch has a high risk coverage ratio due to its capital and asset / liability structure. The liquidity coverage ratio of the Branch which is able to meet the cash outflows with high quality liquid asset stake is considered to be well above the market averages and quite high. There are also ready-to-use limits for the CBRT

In the daily / weekly / periodically structured meetings of the Assets and Liabilities Committee and the Risk Committee attended by the senior management, the indicators related to the liquidity status are examined and the liquidity risk is addressed. In addition, the Board of Managers is informed through the regular reports prepared by the Risk Management Department and the Audit Committee.

For liquidity risk management, the Risk Management Unit monitors the funding and liquidity risk, market conditions, the distribution of accounts in different foreign currency types, the maturity structure, costs and expected future cash flow obligations.

The Risk Management Unit monitors the limits on liquidity risk determined by the Board of Managers. In addition to these, the Risk Management Unit implements periodic liquidity stress tests to measure the effects of adverse scenarios on the liquidity situation of the Branch. The Fund Management Department manages the funding and liquidity risk to prevent inadequate funding at any time or any source and regularly reports on the liquidity position of the Assets and Liabilities Committee and the Branch's liquidity position. The General Accounting Unit Financial Reporting Service monitors the liquidity coverage ratio and regularly reports to the BRSA.

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

VI. EXPLANATIONS ON LIQUIDITY RISK (Continued):

b. Information on the centralization degree of liquidity management and funding strategy and the functioning between the Bank and the Bank's subsidiaries:

The Branch's liquidity management is performed by the Asset and Liability Management. The branch has no subsidiary subject to consolidation.

c. Information on the Bank's funding strategy including the policies on funding types and variety of maturities:

Branch spread to the base of demand current and time deposit accounts and that a stable, long-term diversification and aims to be the source of the funds used. Ratio of liquid assets to total assets ratio and risk indicators related to liquidity, credit and the ratio of funds, issues such as the concentration in provided funds are being closely monitored.

ç. Information on liquidity management on the basis of currencies constituting a minimum of five percent of the Branch's total liabilities:

The total liabilities of branches are in Turkish Lira, Euro or US Dollar, and GBP and Iranian Riyal are in foreign currency. TL liquidity of the branch is managed by cash and cash convertible securities held by CBRT and Banks. TL assets are used for funding TL assets and FC liabilities are used for funding of FX assets. Foreign currency funds are provided from foreign currency denominated borrowings and foreign bank deposits held in our Branch. Foreign currency liquidity is held in correspondent bank accounts within limits.

d. Information on liquidity risk mitigation techniques:

Liquidity risk is mitigated by using techniques such as maintaining high quality liquid asset buffer to cover possible fund outflows, diversification of funding sources so far as possible and inclusion to the base, homogenizing the maturity distribution of repayments as far as possible, obtaining limits from funding institutions to use when necessary and ensuring that a determined portion of funding sources are comprised of deposits. In addition, core deposit analysis is performed and concentration on collected funds are closely monitored.

e. Information on the use of stress tests:

In order to analyze the source of the possible liquidity insufficiencies and whether comfortably move exists on existing off-balance sheet and balance sheet positions relevant with liquidity risk expectation, The scenarios are implemented by Risk Management Directorate and 3 types liquidity stress tests are prepared by Banking Regulation and Supervision Agency (BRSA). These includes stress test scenarios are special to the Branch, related with the overall market or scenarios take in consideration both of the situations. Stress tests related with liquidity risk are repeated at monthly periods. Results are tracked with key risk indicators and monitored by Senior Management.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

VI. EXPLANATIONS ON LIQUIDITY RISK (Continued):

f. General information on urgent and unexpected liquidity situation plans:

Necessary strategy and procedures for the management of possible liquidity crisis are determined with the Liquidity Contingency Plan, which is approved and reviewed by the Board of Managers. The plan ultimately aims to protect current and participating account holders, lenders and shareholders. The basic indicators of the Liquidity Emergency Action Plan have been identified, and if the unexpected developments in the liquidity situation or other indicators are triggered, the plan is put into practice. The Risk Committee is responsible for monitoring the plan, and the Asset and Liability Committee is responsible for its implementation.

Analysis of financial liabilities by remaining contractual maturities:

The following table is prepared before the Branch's liabilities are undiscounted and based on the earliest date to the payment.

31 December 2017	Demand and Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 Months	Over 5 Years	Total
Liabilities						
Deposits	698.749	-	10.015	-	-	708.764
Borrowings	-	-	-	-	-	-
Total	**698.749**	**-**	**10.015**	**-**	**-**	**708.764**

31 December 2016	Demand and Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 Months	Over 5 Years	Total
Liabilities						
Deposits	264.750	10.012	874	-	-	275.636
Borrowings	-	-	-	-	-	-
Total	**264.750**	**10.012**	**874**	**-**	**-**	**275.636**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

VI. EXPLANATIONS ON LIQUIDITY RISK (Continued):

Breakdown of assets and liabilities according to their outstanding maturities:

	Demand	Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 years	Over 5 years	Unclassified (*)	Total
31 December 2017								
Assets								
Cash and the Central Bank of the Republic of Turkey	21.984	111.424	-	-	-	-	-	133.408
Banks	350.385	96.861	33.545	2.724	-	-	-	483.515
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-	-
Interbank Money Market Placements	-	-	-	-	-	-	-	-
Available-for-sale Financial Assets	-	106.003	87.221	142.674	40.111	-	755	376.764
Loans and Receivables	-	1.514	215	624	466	-	5.133	7.952
Held-to-maturity Securities	-	-	-	-	-	-	-	-
Other Assets (1)	-	-	-	284	-	-	10.715	10.999
Total Assets	**372.369**	**315.802**	**120.981**	**146.306**	**40.577**	**-**	**16.603**	**1.012.638**
Liabilities								
Bank Deposits	380.410	120.120	9.968	-	-	-	-	510.498
Other Deposits	197.726	21	-	-	-	-	-	197.747
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-	-
Funds From Interbank Money Market	-	-	-	-	-	-	-	-
Marketable Securities Issued	-	-	-	-	-	-	-	-
Sundry Creditors	650	-	-	-	-	-	-	650
Other Liabilities (**)	-	1.093	-	83	-	-	302.567	303.743
Total Liabilities	**578.786**	**121.234**	**9.968**	**83**	**-**	**-**	**302.567**	**1.012.638**
Net Liquidity Gap	**(206.417)**	**194.568**	**111.013**	**146.223**	**40.577**	**-**	**(285.964)**	**-**
31 December 2016								
Total Assets	145.134	132.089	110.213	83.196	40.931	-	14.569	526.132
Total Liabilities	265.653	1.423	9.973	877	-	-	248.206	526.132
Net Liquidity Gap	**(120.519)**	**130.666**	**100.240**	**82.319**	**40.931**	**-**	**(233.637)**	**-**

(*) Assets that are necessary for banking activities and that cannot be liquidated in the short-term, such as tangible assets, subsidiaries, stationary, pre-paid expenses and non-performing loans, are classified in this column.

(**) Shareholders' Equity is presented under the "Other Liabilities" item in the "Unallocated" column.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

VI. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Leverage Ratio:

The leverage ratio table prepared in accordance with the communiqué "Regulation on Measurement and Assessment of Leverage Ratios of Banks" published in the Official Gazette no. 28812 dated 5 November 2013 is presented below. As of 31 December 2017, the leverage ratio calculated by three-month average amounts is 28,94% (31 December 2016: 41,33%).

On-balance sheet assets		Current Period (*)	Prior Period (*)
1	On-balance sheet items (excluding derivative financial instruments and credit derivatives but including collateral)	983.759	562.221
2	(Assets deducted in determining Tier I capital)	(1.074)	(1.113)
3	Total on-balance sheet risks (sum of lines 1 and 2)	982.685	561.108
	Derivative financial instruments and credit derivatives	-	-
4	Replacement cost associated with all derivative instruments and credit derivatives	-	-
5	Add-on amounts for PFE associated with all derivative instruments and credit derivatives	-	-
6	Total risks of derivative financial instruments and credit derivatives (sum of lines 4 to 5)	-	-
	Securities or commodity financing transactions (SCFT)	-	-
7	Risks from SCFT assets (excluding on-balance sheet)	-	-
8	Risks from brokerage activities related exposures	-	-
9	Total risks related with securities or commodity financing transactions (sum of lines 7 to 8)	-	-
	Other off-balance sheet transactions	-	-
10	Gross notional amounts of off-balance sheet transactions	8.848	5.466
11	(Adjustments for conversion to credit equivalent amounts)	-	-
12	Total risks of off-balance sheet items (sum of lines 10 and 11)	8.848	5.466
	Capital and total risks		
13	Tier I capital	286.819	234.174
14	Total risks (sum of lines 3, 6, 9 and 12)	991.533	566.574
	Leverage ratio		
15	Leverage ratio	28,94	41,33

(*) Amounts in the table are three-month average amounts.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

VI. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Liquidity Coverage Ratio

		Total Unweighted Value (Average) (*)		Total Weighted Value (Average) (*)	
Current Period		**TL+FC**	**FC**	**TL+FC**	**FC**
High-Quality Liquid Assets				**214.029**	**102.867**
1	Total high-quality liquid assets (HQLA)	214.029	102.867	214.029	102.867
Cash Outflows					
2	Retail deposits and deposits from small business customers	**6.162**	**6.027**	**469**	**460**
3	Stable deposits	2.954	2.843	148	142
4	Less stable deposits	3.208	3.184	321	318
5	Unsecured wholesale funding	**639.862**	**449.194**	**521.901**	**348.916**
6	Operational deposits	927	926	232	232
7	Non-operational deposits	195.444	165.973	78.178	66.389
8	Unsecured funding	443.491	282.295	443.491	282.295
9	Secured wholesale funding			-	-
10	Other cash outflows of which:	-	-	-	-
11	Outflows related to derivative exposures and other collateral requirements	-	-	-	-
12	Outflows related to restructured financial instruments	-	-	-	-
13	Payment commitments and other off-balance sheet commitments granted for debts to financial markets	-	-	-	-
14	Other revocable off-balance sheet commitments and contractual obligations	-	-	-	-
15	Other irrevocable or conditionally revocable off-balance sheet obligations	**7.630**	**2.148**	**884**	**336**
16	**Total Cash Outflows**			**523.254**	**349.712**
Cash Inflows					
17	Secured receivables	-	-	-	-
18	Unsecured receivables	-	-	-	-
19	Other cash inflows	434.526	374.680	434.526	374.680
20	**Total Cash Inflows**	**434.526**	**374.680**	**434.526**	**374.680**
21	**Total HQLA**			214.029	102.867
22	**Total Net Cash Outflows**			130.813	87.428
23	**Liquidity Coverage Ratio (%)**			163,90	117,66

(*) The average of last three months' liquidity coverage ratio calculated by weekly simple averages.

The table below presents lowest, highest and average liquidity coverage ratios as of 31 December 2017.

Current Period	Highest	Date	Lowest	Date	Average
TL+FC	189,13	10.10.2017	139,43	23.10.2017	164,07
FC	138,97	26.12.2017	96,11	23.10.2017	117,58

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

VI. EXPLANATIONS ON LIQUIDITY RISK (Continued)

		Total Unweighted Value (Average) (*)		Total Weighted Value (Average) (*)	
Prior Period		**TL+FC**	**FC**	**TL+FC**	**FC**
High-Quality Liquid Assets				**108.637**	**31.873**
1	Total high-quality liquid assets (HQLA)	131.121	46.511	108.637	31.873
Cash Outflows					
2	Retail deposits and deposits from small business customers	**7.610**	**6.857**	**572**	**523**
3	Stable deposits	3.792	3.253	190	163
4	Less stable deposits	3.818	3.604	382	360
5	Unsecured wholesale funding	**313.718**	**147.430**	**248.295**	**120.555**
6	Operational deposits	2.198	2.039	550	510
7	Non-operational deposits	106.292	42.243	42.517	16.897
8	Unsecured funding	205.228	103.148	205.228	103.148
9	Secured wholesale funding			-	-
10	Other cash outflows of which:	-	-	-	-
11	Outflows related to derivative exposures and other collateral requirements	-	-	-	-
12	Outflows related to restructured financial instruments	-	-	-	-
13	Payment commitments and other off-balance sheet commitments granted for debts to financial markets	-	-	-	-
14	Other revocable off-balance sheet commitments and contractual obligations	-	-	-	-
15	Other irrevocable or conditionally revocable off-balance sheet obligations	4.466	1.202	551	218
16	**Total Cash Outflows**			**249.418**	**121.297**
Cash Inflows					
17	Secured receivables	-	-	-	-
18	Unsecured receivables	-	-	-	-
19	Other cash inflows	263.492	133.404	263.492	133.404
20	**Total Cash Inflows**	**263.492**	**133.404**	**263.492**	**133.404**
21	**Total HQLA**			108.637	31.873
22	**Total Net Cash Outflows**			64.805	30.324
23	**Liquidity Coverage Ratio (%)**			168,13	98,39

(*) The average of last three months' liquidity coverage ratio calculated by weekly simple averages.

The table below presents lowest, highest and average liquidity coverage ratios as of 31 December 2016.

Prior Period	Highest	Date	Lowest	Date	Average
TL+FC	254,54	01.11.2016	96,45	07.10.2016	174,12
FC	133,37	30.12.2016	71,80	18.10.2016	100,64

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

VII. EXPLANATIONS ON FAIR VALUES OF FINANCIAL ASSETS AND LIABILITIES

The estimated fair value of demand deposits refers to the amount to be paid on demand. Estimated fair value of fixed rate deposits is calculated by using discounted cash flow using market interest rates applied to similar loans and other debts.

Fair values of loans are calculated discounting future cash flows at current market interest rates for fixed rateloans. The carrying values of floating-rate loans are deemed an approximation for their fair values.

The table summarizes the book value and fair value of the financial assets and liabilities that were not accounted by the values in Bank's financial statements. Book value is the sum of the acquisition value and accumulated profit share accruals.

	Carrying Value		Fair Value	
	31 December 2017	**31 December 2016**	**31 December 2017**	**31 December 2016**
Financial Assets	**868.231**	**441.260**	**868.231**	**441.260**
Interbank Money Market Placements	-	-	-	-
Banks	483.515	200.735	483.515	200.735
Financial Assets Available-for-Sale	376.764	232.561	376.764	232.561
Loans (*)	7.952	7.964	7.952	7.964
Financial Liabilities	**708.895**	**277.300**	**708.895**	**277.300**
Bank Deposits	309.411	187.310	309.411	187.310
Other Deposits	398.834	88.281	398.834	88.281
Miscellaneous Payables	650	1.709	650	1.709

(*) It is observed that the fair value approximates to the recorded value.

TFRS 7 the standard of "Financial Instruments: Disclosures" requires to be classified according to certain levels, with items presented with fair values on the financial statements. These levels are based on the observability of the data used to calculate the fair value. The classification of the fair value is as follows:

VIII. EXPLANATIONS ON THE ACTIVITIES CARRIED OUT ON BEHALF AND ACCOUNT OF OTHER PERSONS

The Branch does not perform purchases, sales and custody services in the name of others. The Branch has no fiduciary based transactions.

IX. EXPLANATIONS ON RISK MANAGEMENT

Risk Management System refers to the Board of Managers, the Audit Committee, the Risk Management Committee and the Risk Management Department which has been composed in order to manage systemic risks that the Branch is exposed. Board of Managers is the owner of the Branch's Risk Management System and ensures the establishment of an effective, sufficient and appropriate risk management system as well as the continuity of the system. The main objective of the Branch's Risk Management System is to identify, measure, monitor and control the risks that the Branch is exposed to, by determining the policies, limits and procedures to control, to monitor, and if necessary to change the risk-return structure of the Branch's future cash flows and the level & the quality of related activities.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

a. Explanation on risk management and risk weighted amounts:

1. Risk weighted amounts:

	Overview of Risk Weighted Amounts	Risk Weighted Amounts		Minimum Capital Requirements
		Current Period	Prior Period	Current Period
1	Credit risk (excluding counterparty credit risk) (CCR)	374.365	244.001	29.949
2	Of which standardised approach (SA)	374.365	244.001	29.949
3	Of which internal rating-based (IRB) approach	-	-	-
4	Counterparty credit risk	-	-	-
5	Of which standardised approach for counterpary credit risk (SA-CCR)	-	-	-
6	Of which internal model method (IMM)	-	-	-
7	Equity position in banking book under basic risk weighting or internal rating-based	755	654	60
8	Equity investments in funds – look-through approach	-	-	-
9	Equity investments in funds – mandate-based approach	-	-	-
10	Equity investments in funds – 1250% risk weighting approach	-	-	-
11	Settlement risk	-	-	-
12	Securitisation exposures in banking book	-	-	-
13	Of which IRB ratings-based approach (RBA)	-	-	-
14	Of which IRB supervisory formula approach (SFA)	-	-	-
15	Of which SA/simplified supervisory formula approach (SSFA)	-	-	-
16	Market risk	42.075	20.100	3.366
17	Of which standardised approach (SA)	42.075	20.100	3.366
18	Of which internal model approaches (IMM)	-	-	-
19	Operational risk	49.818	35.326	3.985
20	Of which basic indicator approach	49.818	35.326	3.985
21	Of which standardised approach	-	-	-
22	Of which advanced measurement approach	-	-	-
23	Amounts below the thresholds for deduction from capital (subject to 250% risk weight)	-	-	-
24	Floor adjustment	-	-	-
25	**Total (1+4+7+8+9+10+11+12+16+19+23+24)**	**467.013**	**300.080**	**37.360**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

2. Differences and matching between asset and liabilities' carrying values in financial statements and risk amounts in capital adequacy calculation:

		Carrying values of items in accordance with Turkish Accounting Standards			
31 December 2017	*Carrying values in financial statements prepared as per TAS*	*Subject to credit risk*	*Subject to Counterparty credit risk*	*Subject to market risk*	*Not subject to capital requirements or subject to deduction from capital*
Assets					
Cash (Cash on Hand, Money in Transit, Purchased Cheques) and Balances With Central Bank of Turkey	133.408	3	-	-	133.405
Financial Assets Held for Trading	-	-	-	-	-
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-
Banks	483.515	483.515	-	-	-
Interbank Money Markets Placements	-	-	-	-	-
Financial Assets Available-for-Sale	376.764	5.535	-	-	371.229
Loans	7.952	7.952	-	-	-
Factoring Receivables	-	-	-	-	-
Investment Held-to-Maturity	-	-	-	-	-
Investment in Associates	-	-	-	-	-
Investment in Subsidiaries	-	-	-	-	-
Investment in Joint-Ventures	-	-	-	-	-
Lease Receivables	-	-	-	-	-
Derivative Financial Assets Held for Risk Management	-	-	-	-	-
Tangible Assets	8.930	8.930	-	-	-
Intangible Assets	452	-	-	-	452
Investment Property	-	-	-	-	-
Tax Asset	662	662	-	-	-
Assets Held for Sale and Assets of Discontinued Operations	-	-	-	-	-
Other Assets	955	955	-	-	-
Total Assets	**1.012.638**	**507.552**	**-**	**-**	**505.086**
Liabilities					
Deposits	708.245	-	-	-	-
Derivative Financial Liabilities Held for Trading	-	-	-	-	-
Funds Borrowed	-	-	-	-	-
Interbank Money Markets	-	-	-	-	-
Securities Issued	-	-	-	-	-
Funds	-	-	-	-	-
Miscellaneous Payables	650	-	-	-	-
Other External Fundings Payable	2.517	-	-	-	-
Factoring Payables	-	-	-	-	-
Lease Payables	-	-	-	-	-
Derivative Financial Liabilities Held for Risk Management	-	-	-	-	-
Provisions	4.852	-	-	-	-
Tax Liability	3.999	-	-	-	-
Liabilities for Assets Held for Sale and Assets of Discontinued Operations	-	-	-	-	-
Subortinated Debts	-	-	-	-	-
Shareholders' Equity	292.375	-	-	-	-
Total Liabilities	**1.012.638**	**-**	**-**	**-**	**-**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

		Carrying values of items in accordance with Turkish Accounting Standards			
31 December 2016	***Carrying values in financial statements prepared as per TAS***	***Subject to credit risk***	**31 December 2017**	***Carrying values in financial statements prepared as per TAS***	***Subject to credit risk***
Assets					
Cash (Cash on Hand, Money in Transit, Purchased Cheques) and Balances With Central Bank of Turkey	74.912	40.548	-	-	34.126
Financial Assets Held for Trading	-	-	-	-	-
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-
Banks	200.735	200.621	-	-	-
Interbank Money Markets Placements	-	-	-	-	-
Financial Assets Available-for-Sale	232.561	171.657	-	-	56.981
Loans	7.964	7.915	-	-	-
Factoring Receivables	-	-	-	-	-
Investment Held-to-Maturity	-	-	-	-	-
Investment in Associates	-	-	-	-	-
Investment in Subsidiaries	-	-	-	-	-
Investment in Joint-Ventures	-	-	-	-	-
Lease Receivables	-	-	-	-	-
Derivative Financial Assets Held for Risk Management	-	-	-	-	-
Tangible Assets	8.226	8.226	-	-	-
Intangible Assets	388	-	-	-	388
Investment Property	-	-	-	-	-
Tax Asset	698	698	-	-	-
Assets Held for Sale and Assets of Discontinued Operations	-	-	-	-	-
Other Assets	648	4.972	-	-	-
Total Assets	**526.132**	**434.637**	**-**	**-**	**91.495**
Liabilities					
Deposits	275.591	-	-	-	-
Derivative Financial Liabilities Held for Trading	-	-	-	-	-
Funds Borrowed	-	-	-	-	-
Interbank Money Markets	-	-	-	-	-
Securities Issued	-	-	-	-	-
Funds	-	-	-	-	-
Miscellaneous Payables	1.709	-	-	-	-
Other External Fundings Payable	1.503	-	-	-	-
Factoring Payables	-	-	-	-	-
Lease Payables	-	-	-	-	-
Derivative Financial Liabilities Held for Risk Management	-	-	-	-	-
Provisions	3.749	-	-	-	-
Tax Liability	3.608	-	-	-	-
Liabilities for Assets Held for Sale and Assets of Discontinued Operations	-	-	-	-	-
Subortinated Debts	-	-	-	-	-
Shareholders' Equity	239.972	-	-	-	-
Total Liabilities	**526.132**	**-**	**-**	**-**	**-**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

3. Main sources of differences between regulatory exposure amounts and carrying values in financial statements

31 December 2017	Total	Items subject to credit risk framework	Items subject to securitisation framework	Items subject to counterparty credit risk framework	Items subject to market risk framework
1- Carrying Value of Assets in Accordance with TAS (as per template 1B)	1.012.638	518.549	-	-	-
2- Carrying Value of Liabilities in Accordance with TAS (as per template 1B)	-	-	-	-	-
3- Total net amount	1.012.638	518.549	-	-	-
4- Off-balance sheet amounts	3.638	1.572	-	-	-
5- Differences in valuations	-	-	-	-	-
6- Differences due to different netting rules (other than those already included in row 2)	-	-	-	-	-
7- Differences due to consideration of provisions	-	-	-	-	-
8- Differences due to prudential filters	-	-	-	-	-
9-Risk Amount	**1.016.276**	**520.121**	**-**	**-**	**-**

31 December 2016	Total	Items subject to credit risk framework	Items subject to securitisation framework	Items subject to counterparty credit risk framework	Items subject to market risk framework
1- Carrying Value of Assets in Accordance with TAS (as per template 1B)	526.132	434.637	-	-	-
2- Carrying Value of Liabilities in Accordance with TAS (as per template 1B)	-	-	-	-	-
3- Total net amount	526.132	434.637	-	-	-
4- Off-balance sheet amounts	5.328	4.953	-	-	-
5- Differences in valuations	-	-	-	-	-
6- Differences due to different netting rules (other than those already included in row 2)	-	-	-	-	-
7- Differences due to consideration of provisions	-	-	-	-	-
8- Differences due to prudential filters	-	-	-	-	-
9-Risk Amount	**531.460**	**439.590**	**-**	**-**	**-**

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

b. General qualitative information on credit risk:

1. How the business model translates into the components of the Branch's credit risk profile:

The business model of the Branch basically consists of two main business fields: collecting funds by means of demand current accounts, scattered customer time deposit accounts, especially with Bank Melllat Iran and other foreign Iranian banks repo accounts subject to the interest-free banking rules, and using those funds and equity funds to make funds available to customers. Because of these main business fields, the branch's assets have a low credit-weighted structure. Reflecting this business model, its total assets consist mainly of government bonds and domestic marketable bond securities, while the loans provided to customers remain in small proportions. The branch aims to increase the loan amount, taking into account the risk-return balance, and thus to achieve a sustainable growth.

The risk profile of the Branch indicates the types of risks to which it is exposed or expects to be exposed, and its risk level by type of risk. The largest type of risk to which the Branch is exposed or expects to be exposed within its current and target business model is not the SME or commercial customer credit risk. Although the credits remain in the active ratios, the sectoral concentration and maturity structure are followed in the scope of the risk of concentration. Conversion rates and limitations are followed for exposure risk. Intrinsic limits have been set for borrowers and credit risk groups in terms of credit risk intensities, taking into account the coherent size orders. Country limits have been established in order to prevent concentration in the countries determined within the scope of the country risk. Although it is a branch status and ownership structure is naturally higher country risk is Iran, it is considered to include a reasonably low risk. In legal reporting, risks in Iran and other countries are monitored in accordance with BRSA regulations.

2. Criteria and approach used for defining credit risk policy and for setting credit risk limits:

The main purpose of the credit risk policy is to measure the counterparty risk undertaken as part of a credit transaction, to monitor the risk against the legal limits and the Branch's internal limits, to research new techniques and applications for measuring and controlling the risk, to monitor overdue receivables, to analyze the reason of overdue, and to take measures to prevent such reasons from repeating. The term 'credit risk' refers to the potential loss the branch might be exposed to because of credit borrowers' partial or full default of the credit agreements they signed with the branch. This term also includes the loss of market value because of the breakdown of the counterparty's financial position. This term includes on-balance sheet and off-balance sheet transactions too.

Risk limits; as part of the risk appetite structure, are determined by considering the size of the branch in the capital structure and the financial system. In this context the appetite for risk approved by the Board of Managers are divided between and allocated to other levels considered necessary by type of risk. The uses of the limits are closely monitored, and overdrafts are reported to the executive management for ensuring the necessary measures to be taken.

3. Structure and organization of the credit risk management and control function:

Risk Management, by Internal Control - Compliance and Internal Audit Units, works under the Audit Committee is affiliated to the Board of Managers. Risk Management Unit to which it is affiliated are responsible for implementing the strategies and policies approved by the Branch Management Board and for carrying out other duties assigned by the Internal Systems Supervisor performing the Audit Committee mission.

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

4. Relations between the credit risk management, risk control, compliance and internal audit functions:

The units within the scope of the internal systems were established in accordance with the Board of Managers within the branch organization structure. The board of managers has delegated its duties and responsibilities within internal systems to the Audit Committee, which is designated as Internal Systems Responsible. These units carry out their activities under the supervision of the Internal Systems Supervisor.

The internal control function of the Branch is performed by the Internal Control Department. Internal Control System has been founded in such a manner to be capable and efficient to mitigate, manage, monitor and control the exposure risks of the Branch in accordance with the Branch's organizational structure and business fields as well as changing circumstances, and covers all domestic and international branches, head office, consolidated subsidiaries and all business activities of the Branch. The internal control system and internal control activities of the Branch are designed by the Internal Control Department in cooperation with the relevant management executives and are performed at a sufficient and efficient extent.

Compliance checks are carried out within the Internal Control Unit in accordance with the legislation in accordance with the structure of the Branch efforts are being made to ensure that the risk of compliance in the branch is effectively managed and controlled, that such risks are identified and prevented before they occur, and that the activities of the Branch are carried out in accordance with the relevant legislation and regulations in a continuous manner.

Risk Management Department performs the tasks of determining, measuring and managing the exposure risks of the branch. An efficient risk management system infrastructure has been established for credit risk management tasks, credit policy, and risk management activities falling within the credit risk policy. The internal credit risk limits set by the Board of Managers are measured and reported at regular intervals to the Audit Committee.

Internal audit department is in charge of assuring the Board of Managers and the executive management that the Branch's business activities are performed in accordance with the Banking Law, other applicable laws and regulations and the internal strategies, policies, principles and targets of the branch, and that the internal control and risk management systems are efficient and sufficient.

5. Scope and main content of the reporting on credit risk exposure and on the credit risk management function to the executive management and to the Board of Managers:

Risks exposed to the Branch are reported on the basis of risk types in daily / monthly and periodic regular reports provided to the Board of Managers and senior management. Credit risk reporting includes the following main content.

The asset quality is analyzed and compared to the previous period in the framework of the Regulation on the Procedures and Principles for the Determination of the Qualifications of Loans and Other Receivables by Banks and the Provisions to be Subscribed and thus the sustainability of the asset quality is monitored. Credit risk limits and realizations in the related period. Loan disbursements are monitored on the basis of cash, non-cash and total loans. Risk limits and realizations are defined for the risk appetite of the branch.

Distribution of cash loans according to cash flows is monitored. Administrative and legal follow-up customers are monitored as well. In addition, the limits and limits of the Branch Risk Group are being reported.

Country ratings, limits and limit achievements are being followed and compared with the previous period.

In order to observe whether there is an increase or decrease in the value of the real estate collateral acquired during the fund disbursement process, the analysis of the real estate price index is examined and the appraisal values are updated routinely and at necessary intervals.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

Credit quality of assets:

	31 December 2017	Gross carrying value as per TAS		Allowances/ amortisation and impairments	Net values
		Defaulted	Non-defaulted		
1	Loans	8.305	2.819	3.172	7.952
2	Debt securities	-	377.246	482	376.764
3	Off-balance sheet exposures (*)	401	8.709	100	9.010
4	**Total**	**8.706**	**388.774**	**3.754**	**393.726**

(*) Non-indemnified cash non-cash loans are included.

	31 December 2016	Gross carrying value as per TAS		Allowances/ amortisation and impairments	Net values
		Defaulted	Non-defaulted		
1	Loans	6.957	3.794	2.787	7.964
2	Debt securities	-	233.144	583	232.561
3	Off-balance sheet exposures (*)	375	5.047	94	5.328
4	**Total**	**7.332**	**241.985**	**3.464**	**245.853**

(*) Non-indemnified cash non-cash loans are included.

Changes in stock of defaulted loans and debt securities:

		Current Period (*)
1	Defaulted loans and debt securities at end of the previous reporting period	7.332
2	Loans and debt securities that have defaulted since the last reporting period	1.350
3	Receivables back to non-defaulted status	-
4	Amounts written off	-
5	Other changes	24
6	**Defaulted loans and debt securities at end of the reporting period (1+2-3-4±5)**	**8.706**

(*) Non-indemnified cash non-cash loans are included.

		Prior Period (*)
1	Defaulted loans and debt securities at end of the previous reporting period	7.264
2	Loans and debt securities that have defaulted since the last reporting period	-
3	Receivables back to non-defaulted status	-
4	Amounts written off	-
5	Other changes	68
6	**Defaulted loans and debt securities at end of the reporting period (1+2-3-4±5)**	**7.332**

(*) Non-indemnified cash non-cash loans are included.

6. Qualitative disclosures related to the credit quality of assets

a) Scope and definitions of "overdue" and "provision allocated" receivables for accounting purposes and the differences of definitions between "overdue" and "provision allocated", if any

Overdue receivables and provision allocated receivables are determined according to the Communique on Principles and Procedures for the Determination of the Quality of Loans and Other Receivables and Reserves.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

b) The part of the overdue receivables (past 90 days) for which provision is not allocated and reasons for this application

Provisions are made on time and at the required rates within the scope of the legislation. Within the branch capital structure, the amount of credits required to allocate both loans and special provisions in general is very low.

c) Definitions of the methods used when determining the provision amount

The minimum legal reserve requirement ratios stated in the same 7th and 8th articles of the Regulation on loans or other receivables classified in the third, fourth, fifth group defined in Article 4 of the Regulation on the Procedures and Principles for the Determination of the Qualifications of Loans and Other Receivables and the Provisions to be Forbidden by Banks, Including the minimum legal guarantees defined in Articles 9 and 10.

d) Definitions of restructured receivables

According to the Principles and Procedures for the Determination of the Quality of Loans and Other Receivables and Reserves, restructuring for the performing and non-performing loans means new contractural conditions only for the loan obligators encountered or likely to be encountered in repayment as a result of financial difficulties, excluding loan obligators with no repayment difficulties.

e) Breakdown of exposures by geographical areas, industry and aging:

Current Period (*)	Non-performing Loans	Special Provision	Write-Offs
Domestic	8.706	3.272	-
European Union (EU) Countries	-	-	-
OECD Countries	-	-	-
Off-Shore Banking Countries	-	-	-
USA, Canada	-	-	-
Other Countries	-	-	-
Total	**8.706**	**3.272**	**-**

(*) Indemnified- non cash loan amounts which are not included.

Prior Period (*)	Non-performing Loans	Special Provision	Write-Offs
Domestic	7.332	2.881	-
European Union (EU) Countries	-	-	-
OECD Countries	-	-	-
Off-Shore Banking Countries	-	-	-
USA, Canada	-	-	-
Other Countries	-	-	-
Total	**7.332**	**2.881**	**-**

(*) Indemnified- non cash loan amounts which are not included.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

Current Period	Up to 3 Months	3-12 Months	1-3 Years	3-5 Years	5 Years and Over
Corporate and Commercial Loans	1.728	572	56	-	-
Retail Loans	1	52	410	-	-
Credit cards	-	-	-	-	-
Other	-	-	-	-	-
Total	**1.729**	**624**	**466**	**-**	**-**

Prior Period	Up to 3 Months	3-12 Months	1-3 Years	3-5 Years	5 Years and Over
Corporate and Commercial Loans	1.004	2.485	-	-	-
Retail Loans	1	89	215	-	-
Credit cards	-	-	-	-	-
Other	-	-	-	-	-
Total	**1.005**	**2.574**	**215**	**-**	**-**

f) Credit risk mitigation techniques:

In accordance with Article 33 of the Communique on Credit Risk Reduction Techniques, the Branch reduces the credit risk according to the simple financial guarantee method in which the risk reduction effects are calculated based on the fair value determined in accordance with Article 19 of the Communiqué on financial guarantees.

In the credit risk reduction calculations, no tools other than cash or similar assets are considered.

Financial collateral can not be used for credit reduction if the remaining maturity of the collateral is less than the remaining maturity (maturity mismatch) and / or currency incompatibility of receivables.

	31 December 2017	Exposures unsecured: carrying amount as per TAS	Exposures secured by collateral	Collateralized amount of exposures secured by collateral	Exposures secured by financial guarantees	Collateralized amount of exposures secured by financial guarantees	Exposures secured by credit derivatives	Collateralized amount of exposures secured by credit derivatives
1	Loans	2.819	8.639	8.639	-	-	-	-
2	Debt securities	376.764	-	-	-	-	-	-
3	**Total**	**379.583**	**8.639**	**8.639**	**-**	**-**	**-**	**-**
4	Overdue	8.305	5.133	-	-	-	-	-

	31 December 2016	Exposures unsecured: carrying amount as per TAS	Exposures secured by collateral	Collateralized amount of exposures secured by collateral	Exposures secured by financial guarantees	Collateralized amount of exposures secured by financial guarantees	Exposures secured by credit derivatives	Collateralized amount of exposures secured by credit derivatives
1	Loans	3.794	8.901	8.901	-	-	-	-
2	Debt securities	232.561	-	-	-	-	-	-
3	**Total**	**236.355**	**8.901**	**8.901**	**-**	**-**	**-**	**-**
4	Overdue	6.957	4.344	-	-	-	-	-

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

c. Information on counterparty credit risk (CCR):

a) Risk management objectives and policies for CCR:

Determination of the creditworthiness of financial counterparties has been made in addition to the Credit Policy of the Branch in accordance with the regulations published by BRSA and the international practices in order to limit the exposure to be suffered by the Branch in case of financial counterparty default. This annex describes allocation of limit to financial counterparties and continuous monitoring activities. In this respect, the creditworthiness assessments of the financial and non-financial entities for CCRs especially including sovereign assessments and limits are finally decided by the committees specified under the Policy.

b) The method used to allocate the operational limits defined in terms of internal capital for CCR and central counterparty risks:

Internal model method is not used for calculating the capital requirements for counterparty credit risk and central counterparty risks.

c) Policies relating to guarantees and other risk mitigation and assessments concerning counterparty credit risk, including central counterparty risk:

When it is necessary, cash collateral is taken if it is possible and the risk is reduced. As a general principle in risk hedging, risk can be reduced by taking a real estate mortgage lien which has high value margin according to the risk. However, only cash and similar collateral are taken into account in the calculation of credit risk mitigation techniques.

d) Rules with respect to wrong-way risk:

Internal model is not used for CCR; and as such, no calculation is made with respect to the wrong-way risk.

e) The impact in terms of the amount of collateral that the bank is required to provide in case of a credit rating downgrade:

For the cash risk-bearing transactions that the branch owes, Borrowing is not ensured by providing collateral in the current situation. Therefore, there will be no such influence in the downgrading of a possible rating of the Branch, such contracts do not include such articles.

f) Counterparty credit risk (CCR) approach analysis

	Current Period	Replacement cost	Potential future exposure	EEPE (Effective Expected Positive Exposure)	Alpha used for computing regulatory EAD	EAD post-CRM	RWA
1	Standardised Approach CCR (for derivatives)						
2	Internal Model Method (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
3	Simple Approach for credit risk mitigation (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
4	Comprehensive Approach for credit risk mitigation (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
5	Value-at-Risk (VaR) for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions	-	-	-	-	-	-
6	**Total**	-	-	-	-	-	-

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

	Prior Period	Replacement cost	Potential future exposure	EEPE (Effective Expected Positive Exposure)	Alpha used for computing regulatory EAD	EAD post-CRM	RWA
1	Standardised Approach CCR (for derivatives)						
2	Internal Model Method (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
3	Simple Approach for credit risk mitigation (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
4	Comprehensive Approach for credit risk mitigation (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
5	Value-at-Risk (VaR) for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions	-	-	-	-	-	-
6	**Total**	-	-	-	-	-	-

g) Capital requirement for credit valuation adjustment (CVA)

	Current Period	EAD post-CRM	Risk Weighted Amounts
	Total portfolios subject to the Advanced CVA capital obligation	-	-
1	(i) VaR component (including the 3×multiplier)	-	-
2	(ii) Stressed VaR component (including the 3×multiplier)	-	-
3	All portfolios subject to the Standardised CVA capital obligation	-	-
4	**Total subject to the CVA capital obligation**	**-**	**-**

	Prior Period	EAD post-CRM	Risk Weighted Amounts
	Total portfolios subject to the Advanced CVA capital obligation	-	-
1	(i) VaR component (including the 3×multiplier)	-	-
2	(ii) Stressed VaR component (including the 3×multiplier)	-	-
3	All portfolios subject to the Standardised CVA capital obligation	-	-
4	**Total subject to the CVA capital obligation**	**-**	**-**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

h) CCR exposures by risk class and risk weights

31 December 2017

	Risk Classes / Risk Weights	%0	%10	%20	%50	%75	%100	%150	%200	Others	Total credit risk
1	Receivables from central governments and Central Banks	221.266	-	-	-	-	3	-	-	-	221.269
2	Receivables from regional and local government	-	-	-	-	-	-	-	-	-	-
3	Receivables from administrative bodies and non-commercial entities	-	-	-	-	-	-	-	-	-	-
4	Receivables from multilateral development banks	-	-	-	-	-	-	-	-	-	-
5	Receivables from international organizations	-	-	-	-	-	-	-	-	-	-
6	Receivables from banks and brokerage houses	-	-	486.711	41.224	-	235.284	-	-	-	763.219
7	Receivables from corporate	-	-	-	-	-	1.547	-	-	-	1.547
8	Retail receivables	-	-	-	-	-	3.876	458	-	-	4.334
9	Receivables secured by residential property	-	-	-	-	-	-	-	-	-	-
10	Receivables secured by commercial property	-	-	-	-	-	-	-	-	-	-
11	Non-performing receivables	-	-	-	-	-	5.535	-	-	-	5.535
12	Receivables in high-risk categories	-	-	-	-	-	-	-	-	-	-
13	Mortgage-backed securities	-	-	-	-	-	-	-	-	-	-
14	Short term receivables to banks, brokerage houses and corporates	-	-	-	-	-	-	-	-	-	-
15	Investments similar to collective investment funds	-	-	-	-	-	-	-	-	-	-
16	Equity share investments	-	-	-	-	-	755	-	-	-	755
17	Other receivables	22.477	-	-	-	-	9.919	-	-	-	32.396
18	**Total**	**243.743**	**-**	**486.711**	**41.224**	**-**	**256.919**	**458**	**-**	**-**	**1.029.055**

31 December 2016

	Risk Classes / Risk Weights	%0	%10	%20	%50	%75	%100	%150	%200	Others	Total credit risk
1	Receivables from central governments and Central Banks	86.565	-	-	-	-	40.551	-	-	-	127.116
2	Receivables from regional and local government	-	-	-	-	-	-	-	-	-	-
3	Receivables from administrative bodies and non-commercial entities	-	-	-	-	-	-	-	-	-	-
4	Receivables from multilateral development banks	-	-	-	-	-	-	-	-	-	-
5	Receivables from international organizations	-	-	-	-	-	-	-	-	-	-
6	Receivables from banks and brokerage houses	-	-	159.159	78.387	-	113.015	-	-	-	350.561
7	Receivables from corporate	1.466	-	-	-	-	4.934	-	-	-	6.400
8	Retail receivables	176	-	-	-	-	107	215	-	-	498
9	Receivables secured by residential property	-	-	-	-	-	-	-	-	-	-
10	Receivables secured by commercial property	-	-	-	-	-	-	-	-	-	-
11	Non-performing receivables	-	-	-	-	-	4.451	-	-	-	4.451
12	Receivables in high-risk categories	-	-	-	-	-	-	-	-	-	-
13	Mortgage-backed securities	-	-	-	-	-	-	-	-	-	-
14	Short term receivables to banks, brokerage houses and corporates	-	-	-	-	-	-	-	-	-	-
15	Investments similar to collective investment funds	-	-	-	-	-	-	-	-	-	-
16	Equity share investments	-	-	-	-	-	654	-	-	-	654
17	Other receivables	12.482	-	-	-	-	9.595	-	-	-	22.077
18	**Total**	**100.689**	**-**	**159.159**	**78.387**	**-**	**173.307**	**215**	**-**	**-**	**511.757**

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

d. Explanations on securitization positions

None.

e. Qualitative explanations on market risk

1. Bank's processes and strategies:

The branch defines market risk as market prices and changes in market parameters such as interest, exchange rate and stocks as the value of assets in the resulting trading accounts.

The Risk Management Policies and Implementation Procedures prepared in the framework of "Regulation on Assessment of Internal Systems and Internal Capital Adequacy of Banks" and "Regulation on Measurement and Assessment of Capital Adequacy of Banks" published in the Official Gazette No. 29057 dated 11 July 2014.

The Branch does not actively trade on its own behalf and account, it does not carry any trading securities or commodity position and does not use derivative instruments.

The effects of fluctuations in the interest rates of the Turkish lira, especially due to the securities available for sale, are assessed using the method of durations

Another market risk that the bank is exposed to is the currency risk. This authority has been transferred to the Risk Committee by the Board of Managers together with the authority of the Board of Managers in principle to determine the rules and limitations regarding the direction, amount and composition of the branch foreign exchange position. Risk Committee evaluates economic developments in Turkey and in the world at appropriate intervals and makes amendments that are appropriate for limits and limitations on foreign exchange position.

The components of the market risk are closely monitored within the limits accepted by the Board of Managers.

2. The organization and structure of the market risk management function:

Definition of the market risk management structure established for the implementation of the branch's strategies and processes and the communication mechanism and relationship between the different parties involved in market risk management, as described in part 1.

The market risk service operates under Risk Management Department. This service directly reports to the Board Member responsible for Internal Systems. The results of risk measurement and risk monitoring are shared with other related units. The activities coordinated within the Internal Capital Adequacy Assessment Process are carried out together with other relevant departments of the Branch

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

3. Structure and scope of risk reporting and/or measurement systems:

Within the scope of risk management system, the Branch established a reporting system which ensures effective analysis and evaluation for market risks. The risk measurement and risk monitoring results is reported to the Board Member responsible for Internal Systems and Board of Managers on a timely manner.

There is a risk measurement system which covers the scope and complexity of significant market risk components including transactions and operations exposed to market risk.

Notes and explanations prepared in accordance with "the Communiqué on Disclosures about Risk Management to be Announced to Public by Banks" published in Official Gazette no. 29511 on 23 October 2015 and became effective as of 31 March 2016 are presented in this section. The notes to be presented within the scope of internal rating based approach have not been presented due to use of standard approach for the calculation of capital adequacy ratio by the Bank.

4. Market risk under standardised approach:

		Risk Weighted Amounts	
		Current Period	**Prior Period**
	Direct (Pre-paid) Products	**3.366**	**1.608**
1	Profit share risk (general and specific)	-	-
2	Equity risk (general and specific)	-	-
3	Foreign exchange risk	3.366	1.608
4	Commodity risk	-	-
	Options	-	-
5	Simplified approach	-	-
6	Delta-plus method	-	-
7	Scenario approach	-	-
8	**Securitisation**	-	-
9	**Total**	**3.366**	**1.608**

f. Explanation on Operational Risk

The operational risk base amount is calculated according to the basic indicator method in accordance with Article 14 of the Regulation on Measurement and Evaluation of Capital Adequacy of Banks.

Annual gross income is calculated as the sum of the net amounts of interest incomes and non-interest income after deducting the profit / loss arising from the sale of marketable securities that are available for sale and securities held to maturity and the amounts compensated from extraordinary income and insurance.

Current Year

Basic Indicator Method	31.12.2014	31.12.2015	31.12.2016	Total/ No. of Years of Positive Gross	Rate (%)	Total
Gross Income	15.680	22.957	41.071	26.569	15	3.985
Value at Operational Risk (Total*12.5)						49.817

Prior Year

Basic Indicator Method	31.12.2013	31.12.2014	31.12.2015	Total/ No. of Years of Positive Gross	Rate (%)	Total
Gross Income	18.149	15.552	22.820	56.521	15	2.826
Value at Operational Risk (Total*12.5)						35.326

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

g. Profit-share rate risk related to banking book:

1. Economic value differences arising from fluctuations in profit share rates in accordance with the regulation on measurement and evaluation of profit share rates derived from banking accounts with standard shock method

Current Period

Currency	Applied Shock (+/- x basis points)	Gains/Losses	Gains/Shareholder's equity-Losses/shareholder's equity
1. TL	(+) 500	(4.792)	%(1,63)
	(-) 400	4.099	%1,40
2. USD	(+) 200	(1)	%0,00
	(-) 200	1	%0,00
3. EURO	(+) 200	(33)	%(0,011)
	(-) 200	(11)	%(0,004)
Total (For negative shocks)		**4.089**	**%1,39**
Total (For positive shocks)		**(4.826)**	**%(1,64)**

Prior Period

Currency	Applied Shock (+/- x basis points)	Gains/Losses	Gains/Shareholder's equity-Losses/shareholder's equity
1. TL	(+) 500	(4.303)	%(1,79)
	(-) 400	3.723	%1,55
2. USD	(+) 200	1	%0,0005
	(-) 200	(1)	%0,0
3. EURO	(+) 200	(43)	%(0,02)
	(-) 200	(14)	%(0,01)
Total (For negative shocks)		**3.708**	**%1,54**
Total (For positive shocks)		**(4.345)**	**%(1,81)**

h. Risk management objectives and policies:

Risk is defined as the probability of a loss of monetary loss related to a transaction or activity, or a decrease in economic benefit if a loss or damage occurs.

The branch is exposed to some risks due to the activities it has undertaken to achieve its objectives. The aim of risk management is to identify, measure, report, monitor and control the risks exposed through defined application procedures and limits and to determine the internal capital requirement in accordance with the risk profile to be adopted in this context

In defining risk management policy and implementation procedures, the following points are taken into consideration.

- The vision, mission, strategy and goals of the branch
- Priority and weighted areas of activity of the branch, products and their volume and characteristics
- The organizational structure of the branch, human resources
- Past events and experiences related to exposure risks
- Database coverage and quality of risk management,
- The level of technological competence of the branch and its contribution to risk monitoring and management activities,
- Intrinsic capital requirement and actual equity level and the level of risk compatible with them.

Risk management policies and procedures are determined and developed taking into account such factors as the size of the bank, the scope and complexity of the activities, and the product variety used. Management of credit risk is of great importance when evaluated from these angles.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

Hierarchy of valuation techniques which establishes basis for fair value calculation of financial assets and liabilities:

Level 1: Quoted prices in active markets for identical assets and liabilities.

Level 2: Inputs other than quoted prices included within Level 1 that are observable market information for the assets or liability, either directly or indirectly.

Level 3: Inputs for the asset or liability that is not based on observable market information.

According to the classification principles, the fair value classification of the financial assets and liabilities for which the Branch is carrying at fair value is as follows:

31 December 2017	**Level 1**	**Level 2**	**Level 3**	**Total**
Financial Assets in Fair Value Reflected to Profit or Loss	**-**	**-**	**-**	**-**
Government Debt Securities	-	-	-	-
Securities Representing Shareholding in the Company	-	-	-	-
Derivative Financial Assets Held for Trading	-	-	-	-
Financial Assets Available for Sale	**376.764**	**-**	**-**	**376.764**
Government Debt Securities	100.228	-	-	100.228
Other Marketable Securities	276.536	-	-	276.536
Total Assets	**376.764**	**-**	**-**	**376.764**
Derivative financial liabilities held for trading	-	-	-	-
Derivative financial liabilities for hedging purposes	-	-	-	-
Total Liabilities	**-**	**-**	**-**	**-**
31 December 2016	**Level 1**	**Level 2**	**Level 3**	**Total**
Financial Assets in Fair Value Reflected to Profit or Loss	**-**	**-**	**-**	**-**
Government Debt Securities	-	-	-	-
Securities Representing Shareholding in the Company	-	-	-	-
Derivative Financial Assets Held for Trading	-	-	-	-
Financial Assets Available for Sale	**232.561**	**-**	**-**	**232.561**
Government Debt Securities	60.904	-	-	60.904
Other Marketable Securities	171.657	-	-	171.657
Total Assets	**232.561**	**-**	**-**	**232.561**
Derivative financial liabilities held for trading	-	-	-	-
Derivative financial liabilities for hedging purposes	-	-	-	-
Total Liabilities	**-**	**-**	**-**	**-**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION FIVE

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS

I. EXPLANATIONS AND NOTES RELATED TO ASSETS:

a. Information related to cash and the account of the Central Bank of the Republic of Turkey (the "CBRT):

1. Information related to cash and the account of CBRT:

	31 December 2017		31 December 2016	
	TL	**FC**	**TL**	**FC**
Cash	244	21.455	351	12.131
The CBRT	22.798	88.911	21.882	40.548
Other	-	-	-	-
Total	**23.042**	**110.366**	**22.233**	**52.679**

2. Information related to the account of the CBRT:

	31 December 2017		31 December 2016	
	TL	**FC**	**TL**	**FC**
Demand Unrestricted Account (1)	286	-	1.107	-
Time Unrestricted Account	-	4.503	-	16.889
Time Restricted Account	22.512	-	20.775	4.790
Reserve Requirement	-	84.408	-	18.869
Total	**22.798**	**88.911**	**21.882**	**40.548**

(1) The TL reserve requirement booked as average has been classified in "Central Bank Demand Unrestricted Account" based on the correspondence with BRSA as of 3 January 2008.

3. Information on reserve requirements:

As of 31 December 2017, the reserve rates for the reserve deposits at the Central Bank of Turkey for Turkish Lira are implemented within an interval from 4% to 10,5% depending on the maturity of deposits and the reserve rates for the foreign currency liabilities are within an interval from 4% to 24% depending on the maturity of deposits. (31 December 2016: The reserve rates for the reserve deposits at the Central Bank of Turkey for Turkish Lira are implemented within an interval from 4% to 10,5% depending on the maturity of deposits and the reserve rates for the foreign currency liabilities are within an interval from 4,5% to 24,5% depending on the maturity of deposits.

b. Information on financial assets at fair value through profit or loss:

As of 31 December 2017, the Branch does not have any financial assets at fair value through profit or loss (31 December 2016: None).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

c. Information on Banks:

1. Information on banks:

	31 December 2017		31 December 2016	
	TL	**FC**	**TL**	**FC**
Banks				
Domestic	97.166	218.252	47.960	127.309
Foreign	-	126.670	-	779
Head Quarters and Branches Abroad	1	41.426	1	24.686
Other Financial Institutions	-	-	-	-
Total	**97.167**	**386.348**	**47.961**	**152.774**

2. Information on foreign banks account:

	Unrestricted Amount		Restricted Amount	
	31 December 2017	**31 December 2016**	**31 December 2017**	**31 December 2016**
EU Countries	126.319	211	-	-
USA, Canada	-	-	-	-
OECD Countries (*)	34	299	-	-
Off-Shore Banking Regions	-	-	-	-
Other	41.743	269	-	-
Total	**168.096**	**779**	**-**	**-**

(*) OECD countries except EU countries, USA and Canada.

d. Information on available-for-sale financial assets, net:

1. As of 31 December 2017 there are no available for-sale-financial assets subject to repo transactions (31 December 2016: None).

2. As of 31 December 2017 there are no available-for-sale financial assets given as collateral/blocked amount (31 December 2016: None).

3. Information on available-for-sale financial assets:

	31 December 2017	31 December 2016
Debt Securities	376.133	231.907
Quoted on Stock Exchange	376.133	231.907
Not Quoted	-	-
Share Certificates	1.237	1.237
Quoted on Stock Exchange	1.237	1.237
Not Quoted	-	-
Impairment Provision (-)(*)	(606)	(583)
Total	**376.764**	**232.561**

(*) As of 31 December 2017 impairment provision for share certificates is TL 482, impairment provision for debt securities is TL 124. As of 31 December 2016 impairment provision for share certificates is TL 583, there is no impairment provision for debt securities.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans:

1. Information on all types of loans and advances given to shareholders and employees of the Branch:

	31 December 2017		31 December 2016	
	Cash	Non-cash	Cash	Non-cash
Direct Loans Granted to Branch's Shareholders	-	-	-	-
Corporate Shareholders	-	-	-	-
Real Person Shareholders	-	-	-	-
Indirect Loans Granted to Branch's Shareholders	-	-	-	-
Loans Granted to Branch's Employees	463	-	282	-
Total	463	-	282	-

2. Information on the first and second group loans, other receivables and loans that have been restructured or rescheduled and other receivables:

Cash Loans (31 December 2017)	Standard Loans and Other Receivables			Loans and Other Receivables Under Close Monitoring		
	Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms		Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms	
		Extension of Repayment Plan	Other		Extension of Repayment Plan	Other
Non-specialized Loans	2.819	-	-	-	-	-
Working Capital Loans	-	-	-	-	-	-
Export Loans	-	-	-	-	-	-
Import Loans	-	-	-	-	-	-
Loans to Financial Sector	-	-	-	-	-	-
Consumer Loans	463	-	-	-	-	-
Credit Cards	-	-	-	-	-	-
Others (*)	2.356	-	-	-	-	-
Specialization Loans	-	-	-	-	-	-
Other Receivables	-	-	-	-	-	-
Total	2.819	-	-	-	-	-

(*) Discount notes are included that the balance.

Cash Loans (31 December 2016)	Standard Loans and Other Receivables			Loans and Other Receivables Under Close Monitoring		
	Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms		Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms	
		Extension of Repayment Plan	Other		Extension of Repayment Plan	Other
Non-specialized Loans	2.249	-	-	1.115	430	-
Working Capital Loans	-	-	-	-	-	-
Export Loans	-	-	-	574	430	-
Import Loans	-	-	-	-	-	-
Loans to Financial Sector	-	-	-	-	-	-
Consumer Loans	282	-	-	23	-	-
Credit Cards	-	-	-	-	-	-
Others (*)	1.967	-	-	518	-	-
Specialization Loans	-	-	-	-	-	-
Other Receivables	-	-	-	-	-	-
Total	2.249	-	-	1.115	430	-

(*) Discount notes are included that the balance.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira (“TL”).

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

Loans and other receivables with extended payment plans;

31 December 2017

No. of Extensions	Performing Loans and Other Receivables	Loans and Other Receivables Under Follow-up
1 or 2 times	-	-
3, 4 or 5 times	-	-
Over 5 times	-	-

31 December 2016

No. of Extensions	Performing Loans and Other Receivables	Loans and Other Receivables Under Follow-up
1 or 2 times	-	430
3, 4 or 5 times	-	-
Over 5 times	-	-

31 December 2017

Extension Periods	Performing Loans and Other Receivables	Loans and Other Receivables Under Follow-up
0 - 6 months	-	-
6 - 12 months	-	-
1 - 2 years	-	-
2 - 5 year	-	-
5 years and over	-	-

31 December 2016

Extension Periods	Performing Loans and Other Receivables	Loans and Other Receivables Under Follow-up
0 - 6 months	-	-
6 - 12 months	-	430
1 - 2 years	-	-
2 - 5 year	-	-
5 years and over	-	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

3. Maturity analysis of cash loans:

	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring	
31 December 2017	**Loans and other receivables**	**Restructured or Rescheduled**	**Loans and other receivables**	**Restructured or Rescheduled**
Short-term Loans and Other Receivables	**2.300**	**-**	**-**	-
Non-specialised Loans	2.300	-	-	
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-
Medium and Long-term Loans and Other Receivables	**519**	**-**	**-**	**-**
Non-specialised Loans	519	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-

	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring	
31 December 2016	**Loans and other receivables**	**Restructured or Rescheduled**	**Loans and other receivables**	**Restructured or Rescheduled**
Short-term Loans and Other Receivables	**322**	**-**	**-**	-
Non-specialised Loans	322	-	-	
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-
Medium and Long-term Loans and Other Receivables	**1.927**	**-**	**1.115**	**430**
Non-specialised Loans	1.927	-	1.115	430
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

4. Information on consumer loans, consumer credit cards, personnel loans and personnel credit cards:

31 December 2017	Short-term	Long and medium term	Total
Consumer Loans - TL	**-**	**-**	**-**
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Loans - FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL	**-**	**463**	**463**
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	463	463
Other	-	-	-
Personnel Loans – FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Personnel Loans-FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Personnel Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	-	-	-
Overdraft-FC (Real Person)	-	-	-
Total	**-**	**463**	**463**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

31 December 2016	Short-term	Long and medium term	Total
Consumer Loans - TL	**-**	**23**	**23**
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	23	23
Other	-	-	-
Consumer Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Loans - FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL	**-**	**282**	**282**
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	282	282
Other	-	-	-
Personnel Loans – FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Personnel Loans-FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Personnel Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	-	-	-
Overdraft-FC (Real Person)	-	-	-
Total	**-**	**305**	**305**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

5. Information on commercial installment loans and corporate credit cards:

	31 December 2017			31 December 2016		
	Short Term	Medium and Long Term	Total	Short Term	Medium and Long Term	Total
Commercial Loans with Installment Facility - TL	**300**	**56**	**356**	**-**	**2.123**	**2.123**
Business Loans	-	-	-	-	-	-
Vehicle Loans	-	-	-	-	-	-
General Purpose Loans	300	56	356	-	2.123	2.123
Other	-	-	-	-	-	-
Commercial Loans with Installment Facility – Indexed to FC	**-**	**-**	**-**	**-**	**-**	**-**
Business Loans	-	-	-	-	-	-
Vehicle Loans	-	-	-	-	-	-
General Purpose Loans	-	-	-	-	-	-
Other	-	-	-	-	-	-
Commercial Loans with Installment Facility – FC	**-**	**-**	**-**	**-**	**-**	**-**
Business Loans	-	-	-	-	-	-
Vehicle Loans	-	-	-	-	-	-
General Purpose Loans	-	-	-	-	-	-
Other	-	-	-	-	-	-
Corporate Credit Cards – TL	-	-	-	-	-	-
Installment	-	-	-	-	-	-
Non – Installment	-	-	-	-	-	-
Corporate Credit Cards – FC	-	-	-	-	-	-
Installment	-	-	-	-	-	-
Non – Installment	-	-	-	-	-	-
Overdraft Accounts – TL (Legal Entities)	-	-	-	-	-	-
Overdraft Accounts – FC (Legal Entities)	-	-	-	-	-	-
Total	**300**	**56**	**356**	**-**	**2.123**	**2.123**

(i) Information on loans by types and specific provisions

31 December 2017	**Corporate Loans**	**Consumer Loans**	**Total**
Standard loans	2.356	463	2.819
Non-Performing loans	8.305	-	8.305
Specific Provisions (-)	(3.172)	-	(3.172)
Total	**7.489**	**463**	**7.952**

(*) Discounted loans are included.

31 December 2016	**Corporate Loans**	**Consumer Loans**	**Total**
Standard loans	3.489	305	3.794
Non-Performing loans	6.957	-	6.957
Specific Provisions (-)	(2.787)	-	(2.787)
Total	**7.659**	**305**	**7.964**

(*) Discounted loans are included.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

(ii) Fair value of collaterals (Loans and advances given to customers):

31 December 2017	Corporate Loans	Consumer Loans	Total
Watch listed	-	-	-
Non-Performing loans (*)	5.133	-	5.133
Total	**5.133**	**-**	**5.133**

(*) Refers net amounts

31 December 2016	Corporate Loans	Consumer Loans	Total
Watch listed	1.545	-	1.545
Non-Performing loans (*)	4.170	-	4.170
Total	**5.715**	**-**	**5.715**

(*) Refers net amounts

7. Loans according to type of borrowers::

	31 December 2017	31 December 2016
Public	-	-
Private	2.819	3.794
Total	**2.819**	**3.794**

8. Distribution of domestic and foreign loans: Loans are classified according to the locations of the customers.

	31 December 2017	31 December 2016
Domestic Loans	1.118	3.472
Foreign Loans	1.701	322
Total	**2.819**	**3.794**

9. Loans granted to investments in associates and subsidiaries:

None (31 December 2016: None).

10. Specific provisions provided against loans:

	31 December 2017	31 December 2016
Loans and other receivables with limited collectability	-	-
Loans and other receivables with doubtful collectability	-	-
Uncollectible loans and other receivables	(3.172)	(2.787)
Total	**(3.172)**	**(2.787)**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

11. Information on non-performing loans (Net):

(i) Information on loans and other receivables rescheduled or restructured from non-performing loans:

The Branch has no loans and other receivables rescheduled or restructured from non-performing loans.

(ii) Information on the movement of total non-performing loans:

	III. Group	IV. Group	V. Group
	Loans and Other Receivables with Limited Collectability	**Loans and Other Receivables with Doubtful Collectability**	**Uncollectible Loans and Other Receivables**
31 December 2016	**-**	**-**	**6.957**
Additions (+)	-	-	1.351
Transfers from other categories of non-performing loans (+)	-	-	-
Transfers to other categories of non-performing loans (-)	-	-	-
Collections (-)	-	-	(3)
Write-offs (-)	-	-	-
Corporate and commercial loans	-	-	-
Consumer loans	-	-	-
Credit cards	-	-	-
Others	-	-	-
31 December 2017	**-**	**-**	**8.305**
Specific provisions (-)	-	-	(3.172)
Net Balance on Balance Sheet	**-**	**-**	**5.133**

	III. Group	IV. Group	V. Group
	Loans and Other Receivables with Limited Collectability	**Loans and Other Receivables with Doubtful Collectability**	**Uncollectible Loans and Other Receivables**
31 December 2015	**-**	**-**	**7.613**
Additions (+)	-	-	106
Transfers from other categories of non-performing loans (+)	-	-	-
Transfers to other categories of non-performing loans (-)	-	-	-
Collections (-)	-	-	(762)
Write-offs (-)	-	-	-
Corporate and commercial loans	-	-	-
Consumer loans	-	-	-
Credit cards	-	-	-
Others	-	-	-
31 December 2016	**-**	**-**	**6.957**
Specific provisions (-)	-	-	(2.787)
Net Balance on Balance Sheet	**-**	**-**	**4.170**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira (“TL”).

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

(iii) Information on non-performing loans granted as foreign currency loans:

The Branch has no foreign currency loans and other receivables in non-performing loans.

(iv) Information on non-performing loans according to user groups:

	III. Group	IV. Group	V. Group
	Loans and Other Receivables with Limited Collectability	**Loans and Other Receivables with Doubtful Collectability**	**Uncollectible Loans and Other Receivables**
31 December 2017 (Net)	**-**	**-**	**5.133**
Loans to real and legal persons (Gross)	-	-	8.305
Specific provisions (-)	-	-	(3.172)
Loans to real and legal persons (Net)	-	-	5.133
Banks (Gross)	-	-	-
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-
31 December 2016 (Net)	**-**	**-**	**4.170**
Loans to real and legal persons (Gross)	-	-	6.957
Specific provisions (-)	-	-	(2.787)
Loans to real and legal persons (Net)	-	-	4.170
Banks (Gross)	-	-	-
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-

12. The policy followed for the collection of uncollectible loans and other receivables:

Uncollectible loans and other receivables are aimed to be liquidated through the collection of collaterals and legal procedures. The policy of the Branch regarding the writing-off the non – performing loans is as writing-off the ones that are proved as uncollectible.

f. Information on the write-off policy

The Bank’s general policy for write-offs of loans and receivables under follow-up is to write of such loans and receivables that are proven to be uncollectible in legal follow-up process.

g. Information on held-to-maturity investments:

As of 31 December 2017 and 31 December 2016, the Branch has no held-to-maturity securities.

h. Information on investment in associates (Net):

As of 31 December 2017 and 31 December 2016, the Branch has no investments in associates.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

i. Information on subsidiaries (Net):

As of 31 December 2017 and 31 December 2016, the Branch has no subsidiaries.

j. Information on joint ventures:

As of 31 December 2017 and 31 December 2016, the Branch has no joint ventures.

k. Information on finance lease receivables (Net):

None (31 December 2016: None).

l. Explanations on hedging derivative instruments:

None (31 December 2016: None).

m. Explanations on property and equipment:

	Immovables	Vehicles	Other Tangible Fixed Assets	Total
31 December 2017				
Cost	11.133	58	1.437	12.628
Accumulated depreciation	(3.315)	(54)	(329)	(3.698)
Net book value	**7.818**	**4**	**1.108**	**8.930**
31 December 2017				
Net book value at beginning of the year	**7.993**	**17**	**216**	**8.226**
Additions	-	-	1.021	1.021
Disposals	-	-	-	-
Transfers	-	-	-	-
Depreciation	(175)	(13)	(129)	(317)
Depreciation, Disposals	-	-	-	-
Depreciation, Transfers	-	-	-	-
Closing net book value	**7.818**	**4**	**1.108**	**8.930**
Cost at year end	11.133	58	1.437	12.628
Accumulated depreciation at year end	(3.315)	(54)	(329)	(3.698)
Closing net book value	**7.818**	**4**	**1.108**	**8.930**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

n. Explanations on intangible assets:

	Software	Total
31 December 2017		
Cost	779	779
Accumulated depreciation	(327)	(327)
Net book value	**452**	**452**
31 December 2017		
Net book value at beginning of the year	**388**	**388**
Additions	304	304
Disposals, net	-	-
Transfers	-	-
Depreciation	(240)	(240)
Depreciation, Disposals	-	-
Depreciation, Transfers	-	-
Closing net book value	**452**	**452**
Cost at year end	779	779
Accumulated depreciation at year end	(327)	(327)
Closing net book value	**452**	**452**

o. Explanations on investment property:

None (31 December 2016: None).

p. Explanations on investment property:

The Branch has no carry forward tax loss that can be deducted from current tax liability. Assets and liabilities, which are calculated over the temporary differences arising between applied accounting policies and valuation principles and tax legislation are accounted as TL 662 (31 December 2016: TL 698) on net basis to deferred tax assets.

	31 December 2017		31 December 2016	
	Tax Base	**Deferred Tax**	**Tax Base**	**Deferred Tax**
Property, equipment and intangibles, net	715	143	1.045	209
Reserves for employment termination benefit	2.537	508	1.734	347
Court case provision	56	11	124	25
Shares	-	-	583	117
Other	-	-	-	-
Total deferred tax asset	**-**	**662**	**-**	**698**
Total deferred tax liability	**-**	**-**	**-**	**-**
Deferred Tax Asset, net	**-**	**662**	**-**	**698**

r. Explanations on assets held for resale:

Net carrying value of assets held for sale is not available as of 31 December 2017 (December 2016: None).

s. Explanations on other assets:

Other assets amount to TL 955 (31 December 2016: TL 648) and do not exceed 10% of the total balance sheet, excluding off-balance sheet commitments.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES:

a. Information on deposits

1. Information on maturity structure of the deposits:

There are no deposits with seven days notification and accumulative deposits.

(i) 31 December 2017:

	Demand	Up to 1 Month	1 – 3 Months	3 – 6 Months	6 month – 1 year	1 year and over	Total
Saving Deposits	67	-	-	-	-	-	67
Foreign Currency Deposits	194.420	-	-	-	-	-	194.420
Residents in Turkey	26.933	-	-	-	-	-	26.933
Residents Abroad	167.487	-	-	-	-	-	167.487
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	3.227	21	-	-	-	-	3.248
Other Institutions Deposits	12	-	-	-	-	-	12
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	380.410	120.120	-	9.968	-	-	510.498
The CBRT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	380.410	120.120	-	9.968	-	-	510.498
Special Finance Institutions	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	**578.136**	**120.141**	**-**	**9.968**	**-**	**-**	**708.245**

(ii) 31 December 2016:

	Demand	Up to 1 Month	1 – 3 Months	3 – 6 Months	6 month – 1 year	1 year and over	Total
Saving Deposits	77	-	-	-	91	-	168
Foreign Currency Deposits	81.387	-	-	-	162	615	82.164
Residents in Turkey	46.595	-	-	-	-	-	46.595
Residents Abroad	34.792	-	-	-	162	615	35.569
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	5.129	806	-	-	-	-	5.935
Other Institutions Deposits	14	-	-	-	-	-	14
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	177.337	-	9.973	-	-	-	187.310
The CBRT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	177.337	-	9.973	-	-	-	187.310
Special Finance Institutions	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	**263.944**	**806**	**9.973**	**-**	**253**	**615**	**275.591**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

2. Information on saving deposits insurance:

(i) Information on saving deposits under the guarantee of the saving deposits insurance fund and amounts exceeding the limit of the deposit insurance fund:

	Under the Guarantee of Deposit Insurance		Exceeding the Limit of Deposit Insurance	
	31 December 2017	31 December 20	31 December 2017	31 December 201
Saving Deposits	67	168	-	-
Foreign Currency Saving Deposits	2.085	3.044	3.304	3.562
Other Deposits in the Form of Saving Deposits	-	-	-	-
Foreign Branches' Deposits under Foreign Authorities' Insurance	-	-	-	-
Off-Shore Banking Regions' Deposits under Foreign Authorities'Insurance	-	-	-	-

(ii) Saving deposits which are not under the guarantee of deposit insurance fund:

None (31 December 2016: None).

(iii) Saving deposits which are not under the guarantee of saving deposit insurance fund of real persons:

	31 December 2017	31 December 2016
Foreign Branches' Deposits and other accounts	-	-
Saving Deposits and Other Accounts of Controlling Shareholders and Deposits of their Mother, Father, Spouse, Children in care	-	-
Saving Deposits and Other Accounts of President and Members of Board of Managers, CEO and Vice Presidents and Deposits of their Mother, Father, Spouse, Children in care	225	35
Saving Deposits and Other Accounts in Scope of the Property Holdings Derived from Crime Defined in Article 282 of Turkish Criminal Law No:5237 dated 26.09.2004	-	-
Saving Deposits in Deposit Bank Which Established in Turkey in Order to Engage in Off-shore Banking Activities Solely	-	-

b. Information on trading derivative financial liabilities:

As of 31 December 2017 and 31 December 2016, the Branch has no trading derivative financial liabilities.

c. Information on borrowings:

1. Information on banks and other financial institutions:

As of 31 December 2017, the Branch has no borrowings (31 December 2016: None).

2. Information on maturity structure of borrowings:

As of 31 December 2017, the Branch has no borrowings (31 December 2016: None).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

d. Information on other liabilities:

Other liabilities amount to TL 2.517 (31 December 2016: TL 1.503) and do not exceed 10% of the total balance sheet.

e. Information on financial leasing agreements:

As of 31 December 2017 and 31 December 2016, the Branch has no financial lease payables.

f. Information on hedging derivative financial liabilities:

None (31 December 2016: None).

g. Information on provisions:

1. Information on general loan loss provisions:

	31 December 2017	31 December 2016
General Loan Loss Provisions		
Loans and Receivables in Group I	26	17
- Additional Provision for Loans and Receivables with extended maturities	-	-
Loans and Receivables in Group II	-	30
- Additional Provision for Loans and Receivables with extended maturities	-	-
Non-Cash Loans	18	9
Others	2.115	1.741
Total	**2.159**	**1.797**

2. Information on reserve for employee rights:

The provision for employee rights has been calculated by estimating the present value of the future probable obligation of the Branch arising from the retirement of its employees. TAS 19 requires actuarial valuation methods to be developed to estimate the enterprise's obligation for such benefits. Accordingly, the following actuarial assumptions were used in the calculation of the total liability.

	31 December 2017	31 December 2016
Discount rate (%)	4,69	3,49
Rate for the Probability of Retirement (%)	95,12	94,21

The principal actuarial assumption is that the maximum liability will increase in line with inflation. Thus, the discount rate applied represents the expected real rate after adjusting for the effects of future inflation. As the maximum liability is revised semi-annually, the maximum amount of TL 5.001,76 (1 January 2017: TL 4.426,16) effective from January 1, 2018 has been taken into consideration in calculating the reserve for employment termination benefits.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

Movements in the reserve for employment termination benefits during the periods are as follows:

	31 December 2017	31 December 2016
Prior Period Ending Balance	**1.509**	**1.444**
Provisions Recognised During the Period	709	195
Actuarial loss / (Gain)	53	(70)
Paid During the Period (-)	(56)	(60)
Reversed During the Period (-)	-	-
Balance at the End of the Period	**2.215**	**1.509**

In addition as of , the Branch has provided a provision for unused vacation rights amounting to TL 322 as of 31 December 2017 (31 December 2016: TL 225).

3. Information on Provisions Related with Foreign Currency Difference of Foreign Indexed Loans:

As of 31 December 2017, the Branch has no provision related to foreign currency difference of foreign indexed loans (31 December 2016: TL None).

4. Specific provisions for non-cash loans that are non-funded and non-transformed into cash:

As of 31 December 2017, the Branch has specific provision for non-cash loans amounting to TL 100 (31 December 2016: TL 94).

5. Information on other provisions:

(i) Information on provisions for possible risks::

As of 31 December 2017 and 31 December 2016, the Branch has no provisions for possible risks.

(ii) Other provisions if they exceed 10% of total provisions:

From the previous period of 2007 some employees and previous employees of the Branch sued the Branch claiming their employee benefits related to previous periods. As of 31 December 2017, the Branch had prudently provided a provision amounting to TL 56 (31 December 2016: TL 124), the remaining TL 100 (31 December 2016: TL 94) provision is provided for imdemnified cash loans. Mentioned provisions are classified in the balance sheet under "Other Provisions".

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

g. Information on tax payable:

1. Information on current tax payable:

(i) Information on taxes payable:

	31 December 2017	31 December 2016
Corporate Tax Payable	3.579	3.215
Taxation of Marketable Securities	-	-
Property Tax	2	2
Banking Insurance Transaction Tax (BITT)	114	180
Foreign Exchange Transaction Tax	-	-
Value Added Tax Payable	11	7
Other	156	91
Total	**3.862**	**3.495**

(ii) Information on premium payables:

	31 December 2017	31 December 2016
Social Security Premiums – Employee	51	41
Social Security Premiums – Employer	75	63
Bank Social Aid Pension Fund Premiums – Employee	-	-
Bank Social Aid Pension Fund Premiums – Employer	-	-
Pension Fund Membership Fees and Provisions – Employee	-	-
Pension Fund Membership Fees and Provisions – Employer	-	-
Unemployment Insurance – Employee	4	3
Unemployment Insurance – Employer	7	6
Other	-	-
Total	**137**	**113**

2. Information on deferred tax liability:

The Branch has no deferred tax liability (31 December 2016: None).

i. Information on liabilities for property and equipment held for sale and related to discontinued operations:

None (31 December 2016: None).

j. Explanations on subordinated loans:

The Branch has no subordinated loans as of 31 December 2017 and 31 December 2016.

k. Information on Shareholders' Equity:

1. Presentation of paid-in capital: Since the entity has the status of a branch, paid-in capital is not received in exchange for shares.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

2. The amount of paid-in capital, explanation on whether the registered share capital system is used, if this system is used the amount of registered share capital:

Capital system	Paid-in capital	Ceiling
Registered Share Capital	200.000	200.000

3. Information on share capital increases and their sources; other information on increased capital shares in current period:

None. (31 December 2016: The branch has increased its paid in capital by TL 43.086 to TL 200.000 in the second quarter by with the addition of TL 39.394 of profits for the past year 2012-2013-2014, by adding TL 757 reserve funds and payment in cash TL 2.935 by the Headquarter / Iran)

4. Information on share capital increases from capital reserves in current period:

None (31 December 2016: None).

5. Information on capital commitments, the general purpose and the estimated sources needed for these commitments until the end of the fiscal year and the subsequent interim period:

None. (31 December 2016: The branch has increased its paid in capital by TL 43.086 to TL 200.000 in the second quarter by with the addition of TL 39.394 of profits for the past year 2012-2013-2014, by adding TL 757 reserve funds and payment in cash TL 2.935 by the Headquarter / Iran)

6. Information on income, profitability and liquidity of the Group by taking into consideration prior period indicators and uncertainities and their possible effects on shareholders' equity:

There is no adverse change expected in the profitability and liquidty of the Branch.

7. Summarised information about privileges given to shares representing the capital:

None (31 December 2016: None).

l. Information on marketable securities value increase fund:

	31 December 2017		31 December 2016	
	TL	**FC**	**TL**	**FC**
From Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-
Valuation Difference	(602)	-	(169)	-
Foreign Currency Difference	-	-	-	-
Total	**(602)**	**-**	**(169)**	**-**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS:

a. Explanations on off-balance sheet commitments:

1. Type and amount of irrevocable commitments:

As of 31 December 2017, all commitments of the Branch are irrevocable. The commitments for cheques is TL 87 (31 December 2016: TL 80).

2. Type and amount of probable losses and obligations arising from off-balance sheet items:

The Branch has no probable losses arising from off-balance sheet items. Obligations arising from the off-balance sheet are disclosed in "Off-balance sheet commitments".

(i) Non-cash loans including guarantees, bank avalized and acceptance loans, collaterals that are accepted as financial commitments and other letters of credit:

	31 December 2017	**31 December 2016**
Bank acceptance loans	-	-
Letters of credit	2.935	375
Other guarantees	-	-
Total	**2.935**	**375**

(ii) Revocable, irrevocable guarantees and other similar commitments and contingencies:

	31 December 2017	**31 December 2016**
Revocable letters of guarantee	-	-
Irrevocable letters of guarantee	551	1.029
Letters of guarantee given in advance	-	209
Guarantees given to customs	3.000	3.000
Other letters of guarantees	2.437	635
Total	**5.988**	**4.873**

(i) Total amount of non-cash loans:

	31 December 2017	**31 December 2016**
Non-cash Loans Given for the Purpose of Obtaining Cash Loans	-	-
With Original Maturity of 1 Year or Less Than 1 Year	-	-
With Original Maturity of More Than 1 Year	-	-
Other Non-cash Loans	8.923	5.248
Total	**8.923**	**5.248**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira (“TL”).

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS (Continued):

(ii) Information on sectoral risk concentrations of non-cash loans:

	31 December 2017				31 December 2016			
	TL	(%)	FC	(%)	TL	(%)	FC	(%)
Agricultural	-	-	-	-	-	-	-	-
Farming and Raising livestock.	-	-	-	-	-	-	-	-
Forestry	-	-	-	-	-	-	-	-
Fishing	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	-	-	-	-
Mining	-	-	-	-	-	-	-	-
Production	-	-	-	-	-	-	-	-
Electric, Gas and Water	-	-	-	-	-	-	-	-
Construction	-	-	-	-	-	-	-	-
Services	**5.402**	**94,41**	**3.156**	**98,59**	**4.180**	**95,76**	**858**	**97,17**
Wholesale and Retail Trade	3.002	52,46	402	12,56	4.110	94,16	582	65,91
Hotel, Food and Beverage	-	-	-	-	-	-	-	-
Transportation and Telecommunication	30	0,52	125	3,91	30	0,69	185	20,95
Financial Institutions	2.340	40,89	2.629	82,13	-	-	91	10,31
Real Estate and Leasing Services	-	-	-	-	-	-	-	-
Self-Employment Services	30	0,52	-	-	40	0,92	-	-
Education Services	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	-
Other	**320**	**5,59**	**45**	**1,41**	**185**	**4,24**	**25**	**2,83**
Total	**5.722**	**100,00**	**3.201**	**100,00**	**4.365**	**100,00**	**883**	**100,00**

(iii) Information on non-cash loans classified in Group I and Group II:

31 December 2017	Group I		Group II	
	TL	FC	TL	FC
Non- Cash Loans				
Letters of Guarantee	5.722	266	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	-	2.935	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	-	-	-	-
Total	**5.722**	**3.201**	-	-

31 December 2016	Group I		Group II	
	TL	FC	TL	FC
Non- Cash Loans				
Letters of Guarantee	4.365	508	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	-	375	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	-	-	-	-
Total	**4.365**	**883**	-	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS (Continued):

(iv) Maturity distribution of non-cash loans:

31 December 2017 [1]	Indefinite	Up to 1 year	1-5 Years	Above 5 years	Total
Letter of Credit	402	-	2.533	-	2.935
Letter of Guarantee	3.541	2.340	107	-	5.988
Other	-	-	-	-	-
Total	**3.943**	**2.340**	**2.640**	**-**	**8.923**

31 December 2016 [1]	Indefinite	Up to 1 year	1-5 Years	Above 5 years	Total
Letter of Credit	375	-	-	-	375
Letter of Guarantee	4.460	249	164	-	4.873
Other	-	-	-	-	-
Total	**4.835**	**249**	**164**	**-**	**5.248**

[1] The distribution is based on the original maturities.

b. Explanations on derivative financial instruments:

The Branch has no derivative financial instruments as of 31 December 2017 and 31 December 2016.

c. Explanations on loan derivatives and risks imposed:

None (31 December 2016: None).

d. Explanations on contingent liabilities and assets:

From the previous period of 2007 some employees and previous employees of the Branch sued the Branch claiming their employee benefits related to previous periods. As of 31 December 2017, the Branch had prudently provided a provision amounting to TL 56 (31 December 2016: TL 124). The remaining provision amounting to TL 100 (31 December 2016: 94 TL) is provided for imdemnified cash loans. Mentioned provisions are classified in the balance sheet under "Other Provisions".

e. Explanations on activities carried out on behalf and account of other parties:

The Branch does not carry out trading, custody and fund management services on behalf of others and on their account as of 31 December 2017 and 31 December 2016.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT:

a. Information on interest income:

1. Information on interest income on loans:

	31 December 2017		31 December 2016	
	TL	**FC**	**TL**	**FC**
Short-Term Loans	87	222	334	5
Medium and Long-Term Loans	101	20	618	97
Interest on Non-Performing loans	21	20	-	1.258
Premiums Received from the Resource Utilisation Support Fund	-	-	-	-
Total	**209**	**262**	**952**	**1.360**

2. Information on interest income on banks:

	31 December 2017		31 December 2016	
	TL	**FC**	**TL**	**FC**
From the CBRT	725	522	314	114
From Domestic Banks	8.019	323	5.134	48
From Foreign Banks	-	-	-	2
Headquarters and Branches Abroad	-	10	1.281	350
Total	**8.744**	**855**	**6.729**	**514**

3. Information on interest income on marketable securities:

	31 December 2017		31 December 2016	
	TL	**FC**	**TL**	**FC**
From Trading Financial Assets	-	-	-	-
From Financial Assets at Fair Value Through Profit or Loss	-	-	-	-
From Available-for-Sale Financial Assets	36.856	-	18.348	-
From Held-to-Maturity Investments	-	-	-	-
Total	**36.856**	**-**	**18.348**	**-**

4. Information on interest income received from investments in associates and subsidiaries:

The Branch has no interest income received from investments in associates and subsidiaries (31 December 2016: None).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

b. Information on interest expense:

1. Information on interest expense on borrowings:

The Branch has no interest expense on borrowings (31 December 2016:None).

2. Information on interest expense given to investments in associates and subsidiaries:

The Branch has no interest expense given to investments in associates and subsidiaries (31 December 2016: None).

3. Interest expense on Securities Issued:

The Branch has no interest expense given to securities issued (31 December 2016: None).

4. Maturity structure of the interest expense on deposits:

There are no deposits with seven days notification and accumulative deposits.

		Time Deposit					
31 December 2017	**Demand Deposits**	**Up to 1 Month**	**1 – 3 Months**	**3 – 6 Months**	**6 Months - 1 Year**	**1 Year and Over**	**Total**
TL							
Bank Deposits	-	-	-	-	3.124	-	**3.124**
Saving Deposits	-	-	-	-	-	3	**3**
Public Sector Deposits	-	-	-	-	-	-	**-**
Commercial Deposit	-	26	-	-	-	-	**26**
Other Deposits	-	-	-	-	-	-	**-**
Total	**-**	**26**	**-**	**-**	**3.124**	**3**	**3.153**
FC							
Foreign Currency Deposits	-	-	-	-	-	1	**1**
Bank Deposits	-	-	-	-	-	-	**-**
Gold Vault	-	-	-	-	-	-	**-**
Total	**-**	**-**	**-**	**-**	**-**	**1**	**1**
Grand Total	**-**	**26**	**-**	**-**	**3.124**	**4**	**3.154**

		Time Deposit					
31 December 2016	**Demand Deposits**	**Up to 1 Month**	**1 – 3 Months**	**3 – 6 Months**	**6 Months - 1 Year**	**1 Year and Over**	**Total**
TL							
Bank Deposits	-	-	-	-	448	-	**448**
Saving Deposits	-	-	-	-	-	6	**6**
Public Sector Deposits	-	-	-	-	-	-	**-**
Commercial Deposit	-	31	-	-	-	-	**31**
Other Deposits	-	-	-	-	-	-	**-**
Total	**-**	**31**	**-**	**-**	**448**	**6**	**485**
FC							
Foreign Currency Deposits	-	-	3	2	-	3	**8**
Bank Deposits	-	-	-	-	25	-	**25**
Gold Vault	-	-	-	-	-	-	**-**
Total	**-**	**-**	**3**	**2**	**25**	**3**	**33**
Grand Total	**-**	**31**	**3**	**2**	**473**	**9**	**518**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

c. Explanations on dividend income:

None (31 December 2016: None).

d. Explanations on trading loss/income (Net):

	31 December 2017	31 December 2016
Income	**15.187**	**8.448**
Income from Capital Market Transactions	-	-
Derivative Financial Transactions	-	-
Other	-	-
Foreign Exchange Gains	15.187	8.448
Loss (-)	**(4.712)**	**(1.903)**
Loss from Capital Market Transactions	-	-
Derivative Financial Transactions	-	-
Other	-	-
Foreign Exchange Loss	(4.712)	(1.903)
Net Income / Loss	**10.475**	**6.545**

e. Explanations on other operating income:

The Branch's other operating income; including reversal of provisions is TL 1.045 (31 December 2016: Including reversal of provision amount to TL 2.340).

f. Provision expenses related to loans and other receivables of the Branch:

	31 December 2017	31 December 2016
Specific Provisions for Loans and Other Receivables	385	107
III. Group Loans and Receivables	-	-
IV. Group Loans and Receivables	-	-
V. Group Loans and Receivables	385	107
General Provision Expenses	1.281	1.374
Provision Expense for Possible Risks	-	-
Marketable Securities Impairment Expense	606	-
Financial Assets at Fair Value Through Profit or Loss	-	-
Available-for-sale Financial Assets	606	-
Investments in Associates, Subsidiaries and Held-to-Maturity Securities Value Decrease	-	-
Investments in Associates	-	-
Subsidiaries	-	-
Joint Ventures	-	-
Held–to-maturity Securities	-	-
Other	-	-
Total	**2.272**	**1.481**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

g. Information related to other operating expenses:

	31 December 2017	31 December 2016
Personnel Expenses	8.162	5.925
Reserve for Employee Termination Benefits	709	195
Bank Social Aid Provision Fund Deficit Provision	-	-
Impairment Expenses of Fixed Assets	-	-
Depreciation Expenses of Fixed Assets	317	296
Impairment Expenses of Intangible Assets	-	-
Goodwill Impairment Expenses	-	-
Amortization Expenses of Intangible Assets	240	159
Impairment Expenses of Equity Participations for Which Equity Method is Applied	-	-
Impairment Expenses of Assets Held for Resale	-	-
Depreciation Expenses of Assets Held for Resale	-	-
Impairment Expenses of Fixed Assets Held for Sale	-	-
Other Operating Expenses	1.617	1.393
Operational Leasing Expenses	140	135
Maintenance Expenses	115	86
Advertisement Expenses	11	11
Other Expenses	1.351	1.161
Loss on Sales of Assets	-	-
Other	2.364	1.903
Total	**13.409**	**9.871**

h. Explanations on profit and loss from continuing operations before tax:

Profit and loss before tax consists of net interest income amounting to TL 43.772 (31 December 2016: TL 27.577), net fee and commission income amounting to TL 26.527 (31 December 2016: TL 9.694) and total other operating expense amounting TL 13.409 (31 December 2016: TL 9.871).

i. Explanations on tax provision:

1. Explanations on calculated current tax income or expense and deferred tax income or expense:

As of 31 December 2017, the Branch has a current tax expense of TL 13.300 (31 December 2016: TL 7.012) and deferred tax expense of TL 89 (31 December 2016: TL 33 deferred tax expense).

2. Explanations on deferred tax income or expense arising from the temporary differences occurred or closed:

The Branch calculated net deferred tax expense of TL 89 due to the occurrence of temporary differences as of 31 December 2017 (31 December 2016: TL 33 deferred tax expense).

3. Explanations on reflection of temporary difference, financial loss, diminution of tax and exceptions on income statement:

The Branch calculated net deferred tax expense of TL 89 due to the occurrence of temporary differences as of 31 December 2017 (31 December 2016: TL 33 deferred tax expense).

j. Explanations on net income/loss for the period:

To understand the Branch's current year performance, the characteristics of income or expense items arising from common banking transactions, and the dimension and recurrence of these transactions are not required.

k. Other items do not exceed 10% of the total income statement.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

V. EXPLANATIONS AND NOTES RELATED TO CHANGES IN SHAREHOLDERS' EQUITY:

a. Explanation on profit distributions:

Retained earnings of the Branch can be distributed through the permission of the BRSA.

b. Amounts transferred to legal reserves:

None (31 December 2016: None).

c. Information on capital increase:

None (31 December 2016: Branch, the addition of past years profits for 2012-2013-2014 amounting to TL 39.394 within the 2nd quarter, addition of reserve funds amounting to TL 757 and payment of cash amounting to TL 2.935 by Headquarters / Iran, the total paid-up capital has increased by TL 43,086 to TL 200,000)

d. Explanations on available-for-sale financial assets:

"Unrealised gain/loss" arising from changes in the fair value of securities classified as available-for-sale are not recognised in current year profit or loss statement but recognised in the "Marketable securities value increase fund" account under shareholders' equity, until the financial assets are derecognised, sold, disposed of or impaired.

VI. EXPLANATIONS AND DISCLOSURES ON STATEMENT OF CASH FLOWS:

a. Information on cash and cash equivalents:

1. Components of cash and cash equivalents and the accounting policy applied in their determination:

Cash and effectives together with demand deposits at banks including the CBRT are defined as "Cash"; interbank money market placements and time deposits in banks with original maturities less than three months are defined as "Cash Equivalents".

2. Effect of a change on the accounting policies:

None (31 December 2016: None).

3. Reconciliation of cash and cash equivalent items with balance sheet and cash flow statements:

(i) Information on cash and cash equivalents at the beginning of the year:

	31 December 2016	31 December 2015
Cash	**205.967**	**101.644**
Cash and Effectives	12.482	15.817
Demand Deposits in Banks	193.485	85.827
Cash Equivalents	**69.328**	**65.627**
Interbank Money Market Placements	-	7.200
Time Deposits in Banks	69.328	58.427
Total Cash and Cash Equivalents	**275.295**	**167.271**

The total amount from the operations the in prior period gives the total cash and cash equivalents amount at the beginning of the current period.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

VI. EXPLANATIONS AND DISCLOSURES ON STATEMENT OF CASH FLOWS: (Continued)

(ii) Information on cash and cash equivalents at the end of year:

	31 December 2017	**31 December 2016**
Cash	**483.401**	**205.967**
Cash and Effectives	21.698	12.482
Demand Deposits in Banks	461.703	193.485
Cash Equivalents	**133.012**	**69.328**
Interbank Money Market Placements	-	-
Time Deposits in Banks	133.012	69.328
Total Cash and Cash Equivalents	**616.413**	**275.295**

b. Information on cash and cash equivalent assets of the Branch that is not available for free use due to legal restrictions or other reasons:

None (31 December 2016: None).

c. Explanations on the other cash flow items and effect of changes in foreign exchange rates on cash and cash equivalents:

Decrease in the "Other" item amounting to TL 2.537 (31 December 2016: TL 2.612 increase) which is classified under "Cash flows from banking operations"consists mainly of items such as fees and commissions, foreign exchange gains/losses and other operating expenses excluding personnel expenses.

The effect of changes in the foreign currency rates on the cash and cash equivalents is calculated approximately TL 9.561 as of 31 December 2017 (31 December 2016: TL 1.120).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP:

The volume of transactions relating to the Branch's risk group, outstanding loan and deposit transactions and profit and loss of the period:

1. 31 December 2017:

	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
Branch's Risk Group (1), (2)	**Cash**	**Non-Cash**	**Cash**	**Non-Cash**	**Cash**	**Non-Cash**
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	24.878	-
Balance at the End of the Period	-	-	-	-	169.391	-
Interest and Commission Income Received	-	-	-	-	**366**	**240**

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.
(2) The information in table above includes banks as well as loans.

2. 31 December 2016:

	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
Branch's Risk Group (1), (2)	**Cash**	**Non-Cash**	**Cash**	**Non-Cash**	**Cash**	**Non-Cash**
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	61.127	-
Balance at the End of the Period	-	-	-	-	24.878	-
Interest and Commission Income Received	-	-	-	-	**1.631**	**107**

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.
(2) The information in table above includes banks as well as loans.

3. Information on deposits of the Branch's risk group:

Branch's risk group (1)	**Investments in Associates, Subsidiaries and Joint Ventures**		**Direct and Indirect Shareholders of the Branch**		**Other Real and Legal Persons That Have Been Included in the Risk Group**	
Deposit	**31 December 2017**	**31 December 2016**	**31 December 2017**	**31 December 2016**	**31 December 2017**	**31 December 2016**
Balance at the Beginning of the Period	-	-	-	-	108.901	83.696
Balance at the End of the Period (2)	-	-	-	-	415.495	108.901
Interest Expense on Deposits	-	-	-	-	**2.977**	**25**

(1) Defined in the Subsection 2, article 49 of the Banking Act No. 5411.
(2) (As of 31 December 2017, TL 98.859 of deposits denominated in the deposit-risk group line of the balance sheet belongs to Bank Mellat Iran Central and TL 316.636 to the Central Bank of Iran.)
(3) (As of 31 December 2016, TL 58.019 of deposits denominated in the deposit-risk group line of the balance sheet belongs to Bank Mellat Iran Central and TL 50.882 to the Central Bank of Iran.)

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP (Continued):

The volume of transactions relating to the Branch's risk group, outstanding loan and deposit transactions and profit and loss of the period (Continued):

4. Information on borrowings from the Branch's risk group:

Branch's risk group [(1)]	**Investments in Associates, Subsidiaries and Joint Ventures**		**Direct and indirect shareholders of the Branch**		**Other items that have been included in the risk group[(2)]**	
Borrowings	**31 December 2017**	**31 December 2016**	**31 December 2017**	**31 December 2016**	**31 December 2017**	**31 December 2016**
Beginning of the Period	-	-	-	-	-	-
End of the Period	-	-	-	-	-	-
Interest Expense	-	-	-	-	-	-

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.
(2) As of 31 December 2017: None (31 December 2016: None).

5. Information on forward and option agreements and other similar derivative transactions with the Branch's risk group:

   The Branch has no forward and option agreements and other similar derivative transactions as of 31 December 2017 and 31 December 2016.

6. Information on benefits provided to key management:

   As of 31 December 2017, benefits provided to the Branch's key management amount to TL 2.309 (31 December 2016: TL 1.665).

VIII. EXPLANATIONS RELATED TO THE DOMESTIC, FOREIGN, OFF-SHORE BRANCHES AND FOREIGN REPRESENTATIVES OF THE BRANCH

	Number	**Number of Employees**			
Domestic Branch	3	50			
			Country of Incorporation		
Foreign Rep. Offices					
				Total Assets	**Statutory Share Capital**
Foreign Branch					
Off-Shore Banking Region Branch					

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IX. EXPLANATIONS AND NOTES RELATED TO SUBSEQUENT EVENTS:

Shareholding structure of the Bank Mellat of Tehran-Iran presented herein below as of 31 December 2017, holding the whole equity of the Branch.

31 December 2017

No	**Shareholder**	**Rate**
1	JUSTICE SHARE RECIPIENTS (PROVINCIAL INVESTORS)	30,00
2	ISLAMIC REPUBLIC OF IRAN	17,00
3	BANK MELLAT'S STAFF FUTURE SECURITY FUND	6,45
4	SABA TAMIN INVESTMENT CO.	4,22
5	SOCIAL SECURITY ORGANISATION OF IRAN	3,81
6	MELLAT FINANCIAL GROUP CO.	3,77
7	MOEIN ATIYE KHAHAN COOPERATIVE CO.	2,90
8	MELLAT INVESTMENT FUND BFM	2,62
9	MODABBERAN EGHTESAD INVESTMENT	1,78
10	MEHR AYANDEGAN FINANCIAL GRUP CO.	1,53
11	NATIONAL IRANIAN OIL REFINING AND DISTRIBUTION CO.	1,44
12	1.BANK KESHAVARZİ CORRESPONDENT FUNDS	1,41
13	AHDAF MANAGEMENT SERVICES DEVELOPMENT CO.	1,23
14	SHIRIN ASAL CO.	1,21
15	IRAN NATIONAL INVESTMENT CO.	1,14
16	OTHER SHARES (LOWER THAN 1%)	19,49
	TOPLAM	**100**

31 December 2016

No	**Shareholder**	**Rate**
1	JUSTICE SHARE RECIPIENTS (PROVINCIAL INVESTORS)	30,00
2	ISLAMIC REPUBLIC OF IRAN	17,00
3	SABA TAMIN INVESTMENT CO.	8,71
4	BANK MELLAT'S STAFF FUTURE SECURITY FUND	6,45
5	SOCIAL SECURITY ORGANISATION OF IRAN	3,81
6	MELLAT FINANCIAL GROUP CO.	3,40
7	MOEIN ATIYE KHAHAN COOPERATIVE CO.	2,90
8	NATIONAL IRANIAN OIL REFINING AND DISTRIBUTION CO.	1,44
9	MELLAT INVESTMENT FUND BFM	1,40
10	MEHR 78 SUPPORT SERVICES COMPANY	1,37
11	IRAN'S OIL INDUSTRY PENSION FUND INVESTMENT CO.	1,21
12	SHIRIN ASAL CO.	1,21
13	IRAN NATIONAL INVESTMENT CO.	1,14
14	OTHER SHARES (LOWER THAN 1%)	19,96
	TOTAL	**100,00**

SECTION SIX

OTHER EXPLANATIONS AND NOTES

I. OTHER EXPLANATIONS ON THE BRANCH'S OPERATIONS:

None.

SECTION SEVEN

EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT

I. EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT:

The financial statements and disclosures of the Bank as of 31 December 2017 were audited by PwC Bağımsız Denetim ve Serbest Muhasebeci Mali Müşavirlik A.Ş. and the independent auditor's report dated 29 March 2018 is presented preceding the financial statements.

II. EXPLANATIONS AND NOTES PREPARED BY INDEPENDENT AUDITOR:

There is no significant matter or disclosure which may be in connection with the Bank's operations but not explained in the above sections.

………………………